OECD Economic Surveys

New Zealand

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OECD ECONOMIC SURVEYS

2001-2002

New Zealand

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BASIC STATISTICS OF NEW ZEALAND

THE LAND

Area (1 000 sq. km)	268.0
Percentage of total pasture and arable land, 1996	49.5
Urban population[1], percentage of total (June 2001)	77.2
Population of major urban areas (June 2001, 1 000 persons):	
Auckland	1 119.9
Christchurch	343.7
Wellington	346.7

THE PEOPLE

Resident population, June 2001 (000's)	3 850.1
Inhabitant per sq. km	14.4
Civilian employment, 2001 (000's)	1 823.4
of which:	
Agriculture, forestry, hunting, fishing	166.2
Manufacturing	288.9
Trade (wholesale and retail)	393.6
Community and personal services	509.1

PARLIAMENT AND GOVERNMENT

Present composition of Parliament :	
Labour Party	49
National Party	39
Alliance	10
ACT New Zealand	9
Green	7
New Zealand First	5
United New Zealand Party	1

Present Government : Labour Party/Alliance coalition
Next general election: November 2002

PRODUCTION (2001)

Gross Domestic Product (NZ$ millions)	117 878
GDP per capita (NZ$)	30 575

FOREIGN TRADE (2001)

Main exports (percentage of total):	
Manufactures	18.6
Meat and edible offal	13.2
Dairy produce	19.4
Wool	2.5
Main imports (percentage of total):	
Machinery and transport equipment	39.4
Manufactures	18.8
Mineral, chemicals, plastic materials	27.1
of which:	
Mineral fuels, lubricants, etc.	9.7

THE CURRENCY

Monetary unit: New Zealand dollar

Currency unit per US dollar, average of daily figures:	
Year 2001	2.3817
April 2002	2.2597

1. Defined as the population in the 30 main and secondary urban areas.

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of Member countries.

•

The economic situation and policies of New Zealand were reviewed by the Committee on 11 April 2002. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 23 April 2002.

•

The Secretariat's draft report was prepared for the Committee by Pietro Catte and Dave Rae under the supervision of Peter Jarrett.

•

The previous Survey of New Zealand was issued in December 2000.

Assessment and recommendations

Economic performance has been resilient, thanks to robust consumer spending growth…

The New Zealand economy has been remarkably resilient over the past year, particularly given the background of a world economy in mild recession. Economic activity gradually gathered strength in 2001, after having been held back in the second half of 2000 by deteriorating confidence, higher energy prices and rising interest rates. The impact of slowing external demand and subdued investment was more than offset by the vigorous expansion of consumer spending, supported by robust employment growth and rising export incomes. In this, New Zealand benefited from the favourable effects of high world prices for its export commodities (particularly dairy and meat products), together with a weak real exchange rate. The unemployment rate reached its lowest level in more than a decade, and there was a temporary pick-up in wage increases, especially in the public sector. As the headline rate of consumer price inflation trended down over the course of 2001, real wage gains supported the expansion of disposable income and consumer spending.

… which has offset slowing exports and falling tourism revenues

As the synchronised nature of the global downturn became clearer in the second half of 2001, the risk increased that the factors that until then had sustained domestic spending in New Zealand would eventually give way if foreign demand continued to weaken significantly. Indeed, export volume growth was already slowing, and after September tourist flows contracted sharply, commodity export prices plunged and business and consumer confidence deteriorated. The fall in dairy prices was exacerbated by the reversal of previous subsidy reductions by the European Union and the United States. Since the turn of the year, however, these risks have receded. Initial signs of recovery have started to appear in the United States and, to a lesser extent, in Europe.

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In New Zealand consumer spending has remained buoyant, and signs of recovery have emerged in the depressed housing market, driven in part by strong migration inflows.

Near-term growth prospects look favourable…

The economy is poised to expand by 2.6 per cent in 2002, only slightly below its potential growth rate, and to accelerate in 2003, with just a temporary, modest rise in unemployment. Nevertheless, some external and domestic risks remain. The recovery in North America and in Europe is just beginning, and it is difficult to predict its intensity. Were it to prove vigorous, as seems increasingly likely, at least in North America, demand for New Zealand's exports could start rising soon, adding pressure in goods and especially labour markets, where little slack is available. Additional impetus might result from the revival of residential investment and from rising house prices. On the other hand, if the upswing in the rest of the world were to stall, export prices could fall further, removing one of the mainstays of consumption.

… but the current account deficit is expected to remain large

In a more medium-term perspective, the size and persistence of the current account deficit, together with the low level of private saving, are causes for concern. Despite very favourable terms of trade and exchange rate conditions, the deficit declined only as far as 3 per cent of GDP in 2001. The net external debt position also remains large at 83 per cent of GDP. Although this does not pose an immediate sustainability issue (partly because foreign-currency debt is almost fully hedged), a persistent deficit represents an important element of vulnerability, since a large adverse shock could bring it to levels where such questions may start to be raised. This underscores the importance of maintaining credibility through strong macroeconomic and structural frameworks. It also highlights the need for ensuring that the fiscal position remains sound, with no slippage from current budgetary plans.

Monetary policy was eased cautiously in 2001, as inflationary pressures proved temporary…

The stance of monetary policy, which had been tightened significantly until mid-2000 to counter the inflationary pressures resulting from higher oil prices and earlier exchange rate depreciation, became increasingly supportive of economic activity over the course of 2001. Headline inflation peaked at 4 per cent in the fourth quarter of 2000 and remained slightly above the Reserve Bank's 0 to 3 per cent target range in the first half of 2001. Nevertheless, imported

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inflationary pressures were being passed through to domestic prices to only a limited extent. Underlying inflation increased only moderately, and so did inflation expectations. Hence, when the deterioration in the global economic situation over the course of the year pointed to increased downside risks, the Reserve Bank was able to begin to ease monetary policy. Quite appropriately, however, it chose to proceed with caution, given the fact that consumer demand remained strong, the exchange rate was still at a very low level and the labour market tight. Interest rates were cut further after the September terrorist attacks as insurance against the potential deflationary impact of any pronounced global downturn, a scenario that was quite plausible at that time.

... but moving toward a more neutral stance has started and will need to continue

The decision to ease monetary policy cautiously last year struck the right balance. The positive momentum of the domestic economy was maintained, and inflation remained under control. Nevertheless, in early 2002 the balance of risks for price stability and economic activity started to shift toward the upside. Thus, the Reserve Bank's 20 March decision to begin the process of returning the monetary stance to a more neutral position was fully appropriate and consistent with its forward-looking strategy. A further gradual firming in rates will be called for in the course of this year and 2003, if the global economy progresses as projected and domestic demand remains strong, especially since most measures of underlying inflation remain in the upper half of the 0 to 3 per cent target range and there is little spare capacity in the economy. That will help guide the economy toward non-inflationary growth with high employment in the medium term.

The fiscal stance has remained fairly prudent...

Since the mid-1990s, the government's operating surplus in cyclically-adjusted terms has been reasonably stable, oscillating around 1½ per cent of GDP. Over the past few years, the stance of fiscal policy has been largely unchanged. The government is in general on track to achieve its fiscal plans for the current parliamentary term. Current projections for the operating balance and net debt in 2002/03 are similar to those set in 2000. However, gross debt projections are a little higher, reflecting the purchase

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of a majority share in Air New Zealand and the refinancing of hospital and housing debt. The provisions framework, which is a self-imposed cap on new discretionary spending, is the principal tool used to realise the government's fiscal plans and has contributed to maintaining expenditure restraint. However, success has not been complete. The limit on new spending was increased in 2001 by NZ$ 265million (¼ per cent of GDP) to a cumulative NZ$ 6.1 billion, even though some of the initial limit was unallocated at the time. Looking forward, the operating surplus is projected to rise to 2½ per cent of GDP, although achieving this will require restraint, particularly over fast-growing health spending. The recent decision to set a three-year funding cap for such spending should help, provided it is adhered to. However, forthcoming accounting changes have the effect that the government's long-term expenditure-to-GDP target is increased by around 1 percentage point of GDP.

… although the quality of some investment decisions could have been better…

On the capital side of the budget, investment plans are putting the debt target under pressure. These investments include hospitals, schools, prisons and defence equipment. In addition, there are financial capital requirements such as student loans, contributions to the superannuation fund, the Air New Zealand investment and the refinancing of Crown entity debt. As a result, gross debt is likely to remain slightly above the government's long-term target of 30 per cent of GDP until at least 2007. But to put this into perspective, debt levels are not high by OECD standards, and net debt is likely to continue falling in relation to GDP. In any case, the limited room to move within the expenditure and debt ceilings and the abundance of competing investment proposals imply that only projects with the highest social payoff should be selected. In that respect, some recent decisions have been disappointing. The biggest single capital spending decision has been to increase the generosity of the student loan scheme, but this is unlikely to boost participation in tertiary education, especially because funding for private training enterprises has been restricted, and will largely benefit middle- and higher-income families. The decision to create Kiwibank, a retail bank operating through the branch network of New Zealand Post, does not seem to have represented an efficient allocation of public funds, as it did not address any evident market failure. The purchases

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of Air New Zealand and part of Auckland's rail infrastructure also entail significant fiscal cost with little clear social payoff over the medium term. In any event, non-strategic assets such as these should be sold in order to free up funds for higher social priorities.

... and greater advantage of the fiscal opportunities of the past decade could have been taken

Demographic trends over the past decade created a window of opportunity to lock in surpluses and thereby make room for looming age-related spending pressures. That opportunity was partly taken up: while debt was reduced significantly, taxes were cut and spending was maintained as a share of GDP. Operating surpluses are now being set aside in a superannuation fund; this is a useful step, although it is hard to judge whether paying down debt or lowering taxes would be better than building up a fund. The fund does not reduce the economic burden of an ageing population, unless it raises the overall level of national savings and investment, although it spreads the cost more evenly through time. Further reforms to the superannuation system itself may be needed if pensions and health spending are not to crowd out other activities. Regardless, projected increases in ageing-related expenditures will place an extra burden on other areas of spending and will force greater attention on where funds are allocated and on how value for money and better outcomes can be assured.

The public spending machinery is in good shape...

Overall, however, New Zealand's public spending framework is in good shape. Agencies are given clear, specific tasks and have an unusually high degree of freedom as to how to achieve them, and managers are held accountable for the results. Consequently, most departments are efficient, responsive and innovative. Financial information is clear and comprehensive, budget decisions are transparent, and top-down expenditure control is reasonably strong. The operating provision has played an integral part in the success by restraining the tendency for spending to creep upwards (despite the small slippage noted earlier), while still allowing automatic stabilisers to work fully. Budgeting for capital expenditure has been less rigorous, but the government has taken some steps to correct this, such as bringing more capital spending decisions within the budget process.

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... but resource re-allocation mechanisms can be improved

Although radical public management reforms have increased efficiency, they have been less successful at encouraging active reprioritisation. New Zealand is not alone in this, and a decade of fiscal surpluses and falling public debt have dulled the top-down pressure for resource shifting. Some changes to the management system (and culture) may help and the government's recent *Review of the Centre* seeks to address many issues such as fragmentation, reporting requirements and accountability. Regular programme review is needed, along with a more systematic process for evaluating value for money. A stronger role for central agencies would be useful. Several attempts to strengthen strategic management have been made, but each has been hamstrung by broad strategic goals that are too vague to be useful. Re-allocation is also made difficult by the fragmentation of the budget, which splits spending into too many small units. A greater effort to work towards the ultimate objective of linking budget decisions to desired outcomes is needed, and underway.

Enhancing job-search incentives in the income-support system would help build an inclusive economy

Social assistance is an area of spending that might be improved by a sharper focus on the extent to which the system is achieving desired results. One objective is to underwrite incomes, and it is certainly doing this, but it does not place sufficient weight on the risks of benefit dependency. The government has signalled that it wishes to reform the income support system in order to deliver better social outcomes, a more inclusive economy and higher-quality government spending. Several policy changes are needed to achieve these goals. *First*, the social assistance safety net is on the generous side in some areas and is available for an unlimited time. Hence, there is room to boost work incentives by lowering benefit levels the longer someone remains out of work. *Second*, the system is biased towards passive income support rather than active policies designed to get people into work. More emphasis on active policies is needed, and the government is committed to move in this direction. Where active policies are currently undertaken, the government's emphasis has been shifting towards training. This training will need to be carefully targeted and focussed, as the international evidence suggests that general training is one of the least effective kinds of interven-

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tion. T*hird*, the work test needs to be administered more consistently (the current test is, in some areas, quite lenient by OECD standards). There is no work test for some groups, such as single parents. Its re-introduction needs to be considered as part of the case management approach.

Competition, choice and market mechanisms are no longer being encouraged

Market-based approaches (such as user-charges, contracting out and competitive delivery of services) have been widely used in the public sector and had been extended to some social policy areas such as education and health. Recently, however, that trend has been reversed, despite generally positive experiences. For example, a voucher system in tertiary education plus an efficient student loan scheme led to enormous increases in participation and greater diversity and innovation, but competition is now being reduced. In compulsory education, successive changes in school zoning policies have missed an opportunity to enhance effective parental choice due to the absence of actions to make supply more responsive. The purchaser-provider split in health was eliminated (although genuine competition never took hold when the split was in place), and the public monopoly on workplace accident insurance (ACC) has been re-imposed, despite promising outcomes in the brief period of competition. Recent changes to local government legislation mean that user charges are no longer encouraged. While congestion pricing (tolls) will soon be able to be used to fund Auckland's much needed road-building programme, they cannot be used on existing roads. Several of these decisions were made without formal evidence or evaluation, suggesting that effectiveness and economic efficiency are taking second place to other considerations.

Long-term growth performance has improved, but not by enough to narrow the income gap with the rest of the OECD

New Zealand's productivity and per-capita growth performance improved over the 1990s, especially in the latter part of the decade. However, the pick-up in productivity has not yet been as large as many had hoped would result from the economic reforms initiated in the 1980s, and has not been enough to start reducing the income gap with the rest of the OECD. Several factors have probably played a part: the fact that reforms take time to show their full impact, especially as the key agricultural export sectors were fully

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reformed only recently; a specialisation in primary products that have few spin-offs and whose relative prices have been on a declining trend (due in part to protectionist policies in other countries); New Zealand's small size and distance from the world's main markets; and a high cost of capital, possibly resulting in part from inadequate domestic savings. They all contain elements of truth, but probably not the whole story. Although past reforms have removed the most damaging distortions and impediments to growth, there is still unfinished business in several areas. A broad effort is needed to identity and fill any gaps in the fundamentals for growth and to remove obstacles to business development and innovation. More pro-active and selective interventions should be limited to cases where they are clearly justified by identifiable market failures.

Greater consistency is needed between stated goals and actions in policies for boosting human capital

Developing and more fully utilising human capital is a key priority. Employment rates can be boosted further by the sorts of measures already mentioned, including active labour market policies and improving the design and administration of the tax and benefit systems. The quality of human capital is above average, and the education system delivers good outcomes on average. However, there is a persistent problem of a large number of under-achievers, particularly among ethnic minorities. This may be best handled by shifting resources to extend access to early-childhood education for disadvantaged groups and to improve its quality. In addition, remedial teaching needs to be improved and better targeted, and more emphasis is being placed in this area. There is a need to improve poorly performing schools. This is likely to require, among other things, stronger school leadership, greater management flexibility in the use of resources, increased parental choice and, in the most severe cases, central intervention. In the area of tertiary education, participation has increased dramatically in the past decade, owing in part to the success of the student loan scheme and to the growth of publicly-funded private training enterprises. The government is considering changes to funding arrangements for the sector, including separating funding streams for tuition and research, making research funding more performance-related and seeking ways to steer students' course selec-

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tions. These moves should improve the system, but in making any changes it is important that private and public providers of education be treated equally.

The government intends to try actively to foster innovation…

Another key element in the government's strategy is to foster innovation, since international evidence shows that small countries cannot just free ride on the research of others: having a strong domestic R&D base is necessary in order to make use of research done elsewhere. Private-sector R&D is low but growing quickly (and recent moves to simplify its tax treatment should help); research productivity is high. The government funds a large proportion of R&D *via* a contestable funding pool, and much of this is provided through its own laboratories and universities. The government wishes to enhance links among these laboratories, universities and industry. Collaboration is close by OECD standards, except between industry and universities, so efforts should be concentrated there. The government has also selected three priority sectors (biotechnology, ICT and creative industries). This choice appears sensible, as the areas are broadly enough defined and may have spillovers to a range of other economic activities. However, international best practice suggests a strategy consisting of: promoting flexibility rather than picking winners; channelling funds to industry, universities and government laboratories, in that order; encouraging contracts and grants over institutional funding; and ensuring that researchers can reap some of the financial gains from their work.

… and efforts are being made to reduce business compliance costs and to encourage firm creation…

While encouraging firms to become more innovative, the government is also attempting to assist small-firm creation and development. Since 2000, *Industry New Zealand* has created programmes intended to provide assistance in the form of training and advice, with some limited funds available for direct grants (but under relatively stringent criteria). However, it is not clear that these initiatives fill a gap in what was already on offer in the marketplace. In addition, there is still a considerable overlap between business development programmes across government agencies that needs to be tidied up. Another component of the strategy is to accelerate the development of the venture capital market. With this in mind, the government is setting up ten pri-

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vately managed closed-end funds with a mixture of private and public capital. However, without a clear understanding of the reasons for any gaps in the market, the initiative may not have been needed, especially if the uncertainty surrounding the tax treatment of capital gains on such investments had been resolved. Potentially more useful are the government's attempts to reduce regulatory compliance costs, especially for small firms. While the regulatory framework is generally simple, transparent and of a high quality, a ministerial review identified several areas where the burden is still unnecessarily onerous. Foremost among them is the implementation of environmental legislation at the local level, which is often a source of uncertainty and delays, but work safety regulation and tax rules are also needlessly burdensome. To address problems associated with this environmental legislation effectively, the government should commit adequate resources to eliminating case backlogs and introduce time limits for local council decisions. It should also quickly implement the other recommendations of the review, as it has already started to do.

... but attempting to design tax incentives to attract FDI will not be easy

The government is also considering ways to increase inflows of foreign direct investment (FDI). Last year's tax review suggested introducing a lower company tax rate, either for all foreign-owned companies or for new activities only. While this may help attract larger FDI flows, providing for differential tax rates is an issue which is still under discussion in the OECD's project on harmful tax practices. Limiting tax incentives to greenfields investment would reduce the financial cost and contain the risk of subsidising investment that would have taken place anyway, but might increase the scope for active tax avoidance. The government needs to carefully consider these trade-offs before going ahead with the proposal, and in any case it should not regard tax incentives as a substitute for improving fundamentals in helping to make the country an attractive location for investment. Other recommendations of the tax review panel were helpful, including that of aligning the top personal and company tax rates. On the other hand, the panel chose not to recommend eliminating the main gap in the tax base, *i.e.* the absence of a comprehensive capital gains tax, which distorts the allocation of capital (for exam-

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ple, in favour of housing). That should not stop the government from addressing this issue.

Firms are not yet taking full advantage of e-commerce

Electronic commerce could play a significant role in allowing firms to overcome the handicap of distance from markets. The country's telecommunications infrastructure is relatively advanced, at least for low-speed internet access, but there is some evidence that the proportion of businesses that make use of e-commerce is low. High-speed internet access, on the other hand, is still limited, since the low price of dial-up internet access makes high-speed access relatively unattractive to many consumers, and investment in broadband infrastructure may be lagging. The government has strengthened the framework by introducing access regulations, although this may create its own problems if the access prices are set so low that they stifle incentives to invest in new infrastructure. However, the government has made the judgement that it is neither necessary nor efficient to go all the way and require the local loop to be unbundled. Even so, it has hedged its bets by committing to re-assess that decision by the end of next year.

The regulatory framework is relatively sound

While the overall regulatory framework is relatively sound, various improvements have been made of late. The electricity sector has been adapting to a new regime. That sector's institutions were put to a severe test during the winter of 2001 by power shortages due to a combination of low rainfall and high demand. The industry coped well, and blackouts were avoided. Nevertheless, the fact that retail prices did not move may raise questions about the degree of retail competition, although this is far from evident. The bottlenecks in the transmission grid will also need to be addressed, since they are encouraging regional monopolies to form. New regulatory frameworks have also been introduced in a number of primary foodstuff markets (dairy products, apple and pear, kiwifruit), in parallel with the reform of producer boards. Following their corporatisation, regulations were appropriately enacted to constrain their market power. Although greater competition in these markets should help increase efficiency, the effects of the reforms will need to be monitored, in particular to assess whether incentives for innovation are adequate.

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To sustain the current expansion and set the stage for a higher standard of living, policies in all areas will need to have a clear growth-promoting focus

While New Zealand's macroeconomic and structural policies are sound and productivity has picked up, growth outcomes have still been no better than OECD average performance. Raising the growth potential of the economy must, therefore, continue to be the central focus of the government's economic policies. In the short term, growth is projected to pick up to above potential rates and inflation to remain moderate. The monetary stance will need to continue moving gradually back toward a more neutral position if the pace of economic activity accelerates as projected. It is also important that fiscal policy exercise restraint, resisting spending pressures, especially in the area of health. Moreover, the government will need to be more selective in allocating scarce capital funds. Over the medium term, there is a need to improve the quality of public spending and to make it more focused. The efficient public management framework established by past reforms should help in this effort, but what is still missing is a systematic assessment of the cost-effectiveness of existing programmes. Building a more inclusive economy will be facilitated by a shift from passive income support to more active labour market policies. In areas such as health, education and investment in infrastructure a greater reliance on market mechanisms could be helpful. The government's strategy for raising the country's growth potential is broadly similar to what has emerged from the recent OECD work on growth. Both strengthening fundamentals and fostering innovation are being appropriately stressed. What is still lacking in many cases is a clear identification of the market failures that policy interventions are intended to address and a focus on well defined and verifiable goals. A coherent set of policies designed to enhance the country's long-term growth potential is the best strategy for meeting the goal of improving incomes for all.

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I. Recent economic performance

The New Zealand economy has performed well since bouncing back from the effects of 1997's Asian crisis. Growth rates were above 5 per cent per year through 1999 and early 2000 and, after a brief pause in 2000, continued to hold up reasonably well last year (Figure 1). The country has been riding on a terms of trade boom, as the prices of its major exports were out of line with general global commodity prices until late in 2001 (Figure 2). It has also enjoyed the rare combination of having a weak exchange rate at the same time as high export prices, so prices in local-currency terms were extraordinarily favourable. A second key driver of activity has been reasonable growth in export volumes, although manufactured export growth has been less impressive. Agricultural exports benefited from an excellent growing season, while the low New Zealand dollar gave a significant boost to tourism, at least until September last year. Since then, however, export prices and volumes have fallen significantly. But, in the meantime, income gains in the rural sector had begun to flow through to the rest of the economy, and this fortuitous timing has ensured that robust domestic demand is now cushioning the post-September external slump.

The pause in growth in 2000 reflected several opposing influences, with the weakening coming mainly from the household side (Figure 3). On the one hand, private consumption, after growing at over 4 per cent the previous year, started to show signs of slowing as real disposable incomes were hit by the impact of rising inflation and, in particular, by higher energy prices. Residential investment declined sharply, reflecting in part higher borrowing costs, as monetary policy was progressively tightened during the year. On the other hand, exports continued to be a driving force of economic expansion, benefiting from rising commodity prices and from the earlier depreciation of the New Zealand dollar. In addition, business fixed investment was accelerating, as the economy started to encounter capacity constraints.

The pace of growth strengthened during 2001

However, the slowdown recorded around the turn of that year proved temporary, and over the course of 2001 economic activity in New Zealand gradu-

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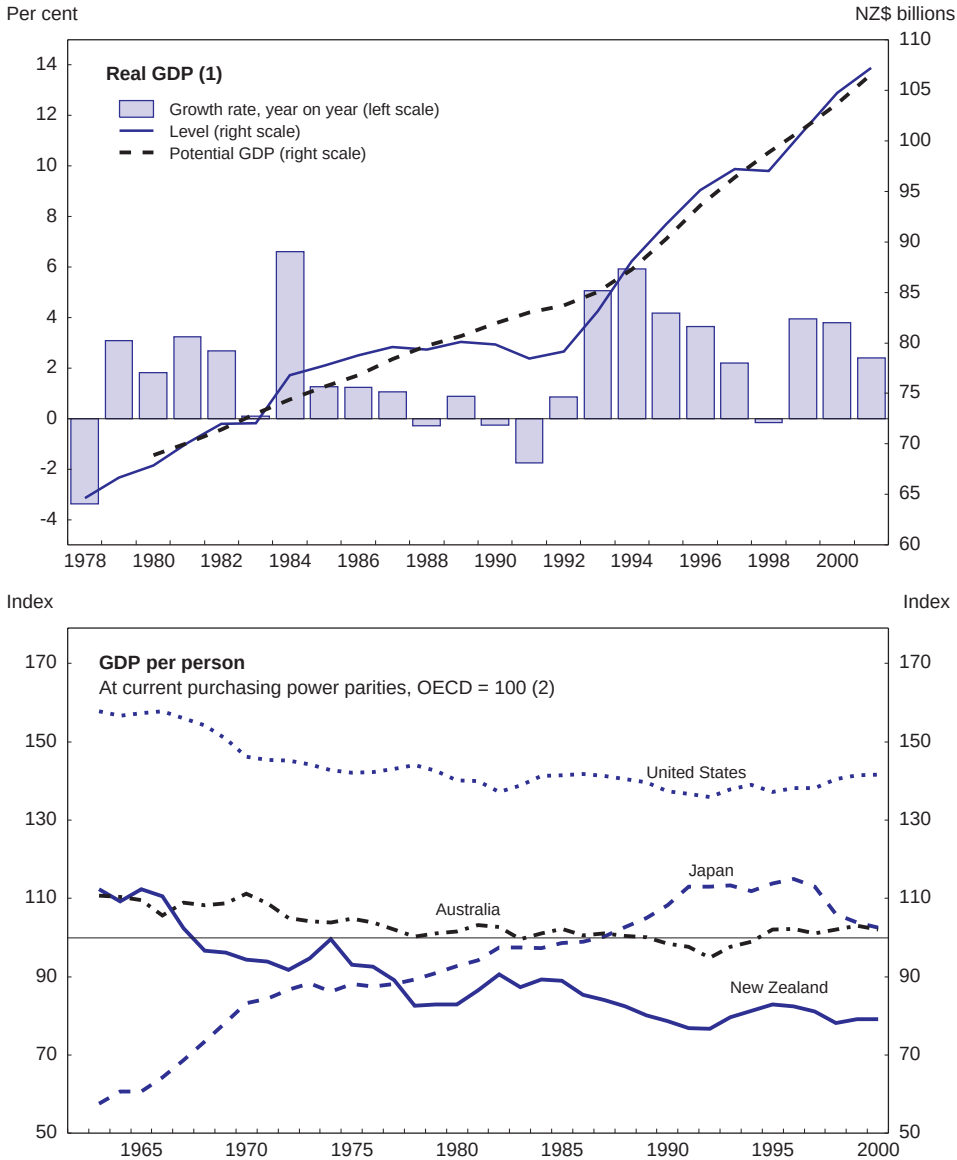
Figure 1. **Long-term growth trends**



1. Output measure; 1995-96 prices.
2. 25 countries.

Source: Statistics New Zealand and OECD.

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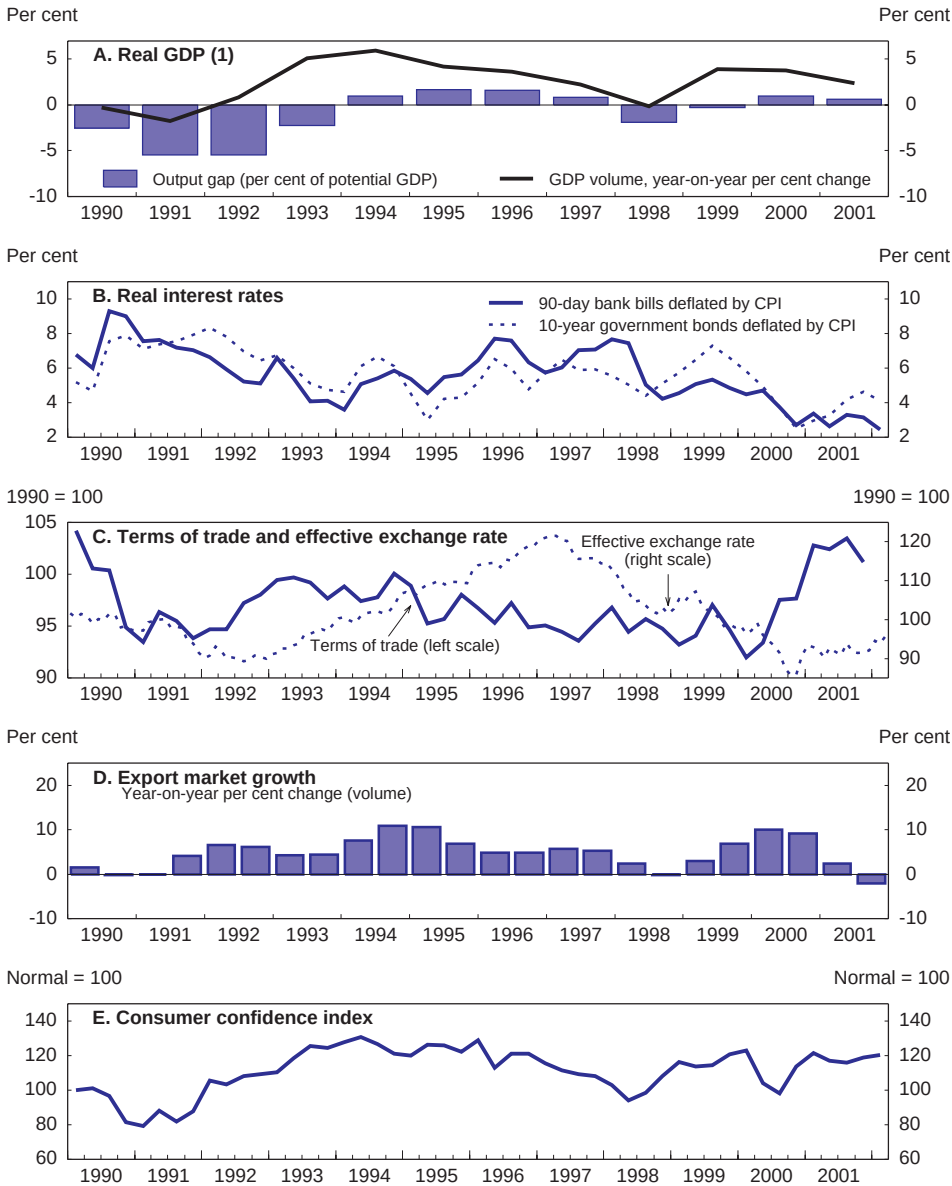
Figure 2. **Conditions for growth**



1. Output measure.
Source: Statistics New Zealand, Reserve Bank of New Zealand and OECD.

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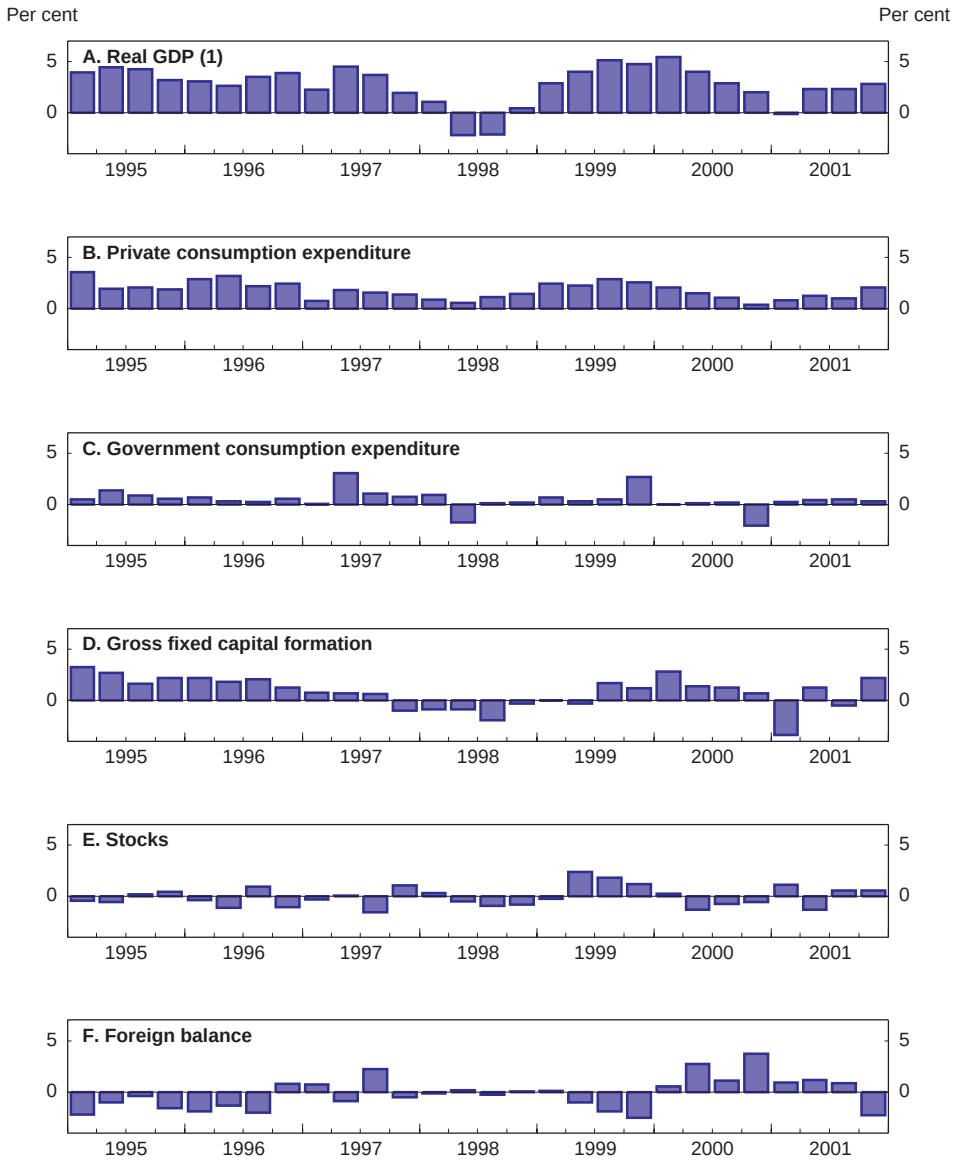
Figure 3. **Contributions to GDP growth**
Per cent change over 4 quarters



1. Expenditure measure; chain-volume series expressed in 1995-96 prices.
Source: Statistics New Zealand and OECD.

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ally strengthened, in marked contrast with the increasingly serious cyclical downturn in most other OECD countries. Both consumer demand and exports contributed significantly to this resilient performance, although the relative weight of these two components gradually shifted toward the former during the year (Table 1). On the other hand, the contribution of total capital formation to demand growth was modest: business fixed investment continued to grow, but at a slower and more volatile pace than in 2000 reflecting in part the uncertainty of the global outlook, while residential investment virtually stagnated at low levels for most of the year, showing signs of a recovery only in the fourth quarter. Overall, GDP grew 2.4 per cent in 2001.

Unlike the upswings of the mid-1990s and 1999-2000, when output expansion was relatively balanced across sectors, in 2001 growth was concentrated in the

Table 1. **Demand and output**

Volume percentage change at annual rates, calendar years

	1997 NZ$ billion	1970-83	1983-91[1]	1991-98	1997	1998	1999	2000	2001
Private consumption	57.6	1.5	1.9	3.0	2.3	1.7	4.2	2.1	2.1
Government consumption	17.8	3.0	1.4	2.4	7.0	–0.8	5.7	–2.5	2.1
Gross fixed investment	21.3	2.2	–0.4	6.5	1.1	–4.8	3.1	7.3	–0.6
Public	3.5	4.2	–5.3	1.3	21.5	–5.8	–2.4	5.7	–9.7
Residential	6.0	0.0	1.7	4.6	6.4	–16.1	11.0	–0.4	–9.6
Non-residential	11.8	2.0	1.7	9.3	–6.1	1.7	1.0	11.5	5.6
Final domestic demand	**96.8**	**1.9**	**1.4**	**3.6**	**2.9**	**–0.1**	**4.2**	**2.2**	**1.6**
Stockbuilding[2]	0.7	–0.1	0.0	0.1	–0.2	–0.5	1.3	–0.6	0.2
Total domestic demand	**97.5**	**1.7**	**1.5**	**3.7**	**2.7**	**–0.7**	**5.5**	**1.4**	**1.7**
Exports of goods and services	29.2	3.9	5.0	4.4	3.7	1.2	7.1	7.6	2.1
Imports of goods and services	28.7	2.8	4.7	6.7	2.4	1.4	11.7	1.1	1.7
Foreign balance[2]	**0.5**	**0.3**	**0.3**	**–0.5**	**0.4**	**0.0**	**–1.3**	**2.0**	**0.2**
GDP (expenditure basis)	**97.9**	**2.0**	**1.6**	**3.0**	**3.1**	**–0.7**	**4.2**	**3.6**	**1.8**
Agriculture, forestry and fishing	7.1	..	3.1	2.4	3.5	–2.9	4.2	5.9	1.6
Mining and quarrying	1.5	..	0.7	2.2	18.4	–15.2	–1.1	–2.8	0.3
Manufacturing	16.5	..	–3.1	2.5	1.9	–4.6	2.3	4.3	0.5
Construction	4.1	..	–9.1	3.4	5.4	–9.2	4.7	3.0	–5.9
Services	62.1	..	0.6	3.5	2.3	2.3	4.2	3.6	4.0
GDP (output basis)	**97.2**	**2.1**	**1.1**	**3.1**	**2.2**	**–0.2**	**3.9**	**3.8**	**2.4**
Memorandum item:									
Per capita GDP	26.0[3]	1.0	0.7	1.7	1.8	–1.6	3.7	3.0	1.1

1. 1988-91 for components of GDP by industry.
2. Contribution to GDP volume growth.
3. NZ$ thousands.

Source: Statistics New Zealand and OECD.

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primary sector and in services, while the industrial sector experienced volatile and on average negative output growth. In the case of construction, the output contraction reflected to a large extent the depressed state of the housing market. The utilities sector suffered from the severe but temporary effect of the winter 2001 electricity crisis, caused by the lowest water inflows to the hydroelectricity system in 71 years (see Chapter IV and Annex III). Since the crisis resulted in sharp increases in electricity prices for commercial users, it also had a negative, albeit temporary, effect on manufacturing output, as several firms slowed production or advanced maintenance work to cut their energy bills. In addition, manufacturing industries seem to have felt the dampening influence of slowing world demand. By contrast, all service sectors continued to record robust growth for most of the year, reflecting buoyant consumer demand. In primary sectors, activity remained at high levels, but slowed during the year due to less favourable weather conditions.

Export prices and tourism underpinned growth during most of the year

As was the case in 2000, a substantial push to economic activity came from *exports*, which benefited from a high level of commodity export prices and a depreciated exchange rate. Although largely stable in 2001 and in early 2002, the New Zealand dollar remained at levels about 40 per cent lower than its peak in early 1997 against the US dollar and about 30 per cent lower in trade-weighted terms. At the same time, while most global commodity prices were weak in 2001, New Zealand's were relatively strong (Table 2). Several underlying factors were at play. The BSE scare and Britain's foot-and-mouth outbreak boosted prices of New Zealand-produced lamb and beef, and meat prices in general were supported by strong demand from Asian countries. In addition, dairy prices benefited from strong demand and reductions in agricultural subsidies in Europe. Consequently, the terms of trade rose to a ten-year high over the course of the year. When combined with a weak exchange rate, export prices in local currency terms were extraordinarily high for most of the year, and have remained favourable even after a sharp price decline in late 2001. The dairy industry was the primary engine of export growth, partly because it is the biggest single exporter, but also because price increases there were amongst the most substantial. In value terms, dairy exports rose 40 per cent in 2001, accounting for just under half of all commodity export growth.

A boom in tourism was the main component of strong service exports. In the first eight months of 2001, visitor arrivals were 11.7 per cent higher than in the previous year. Arrivals plunged after 11 September, but quickly returned to a level only slightly lower than a year earlier before moving on to set new record highs in early 2002. Unfortunately, however, the southern summer is the high season for the industry, which, therefore, missed out on the full extent of the significant income gains that it had been planning for. The decline was across-the-board, with arrivals

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Table 2. **Trade volumes and prices**
Percentage change

	1995 shares	1994	1995	1996	1997	1998	1999	2000	2001
Export volumes									
Total goods	100.0	10.1	2.9	4.8	5.6	–1.0	1.6	6.1	3.1
Food	42.3	8.0	5.2	7.5	5.7	–1.7	–0.1	7.6	5.6
Manufactures[1]	35.4	13.0	3.6	4.3	9.2	1.0	5.8	5.4	0.8
Raw materials	20.0	8.9	–2.3	–0.4	–1.1	–4.2	1.0	7.2	2.9
Export prices									
Total goods		–4.0	–1.7	–3.5	–2.7	4.8	1.4	17.1	9.2
Food		–8.3	–5.3	0.1	–3.0	9.7	3.2	11.6	14.5
Manufactures[1]		1.4	2.1	–7.1	–2.5	3.5	–2.0	20.7	7.5
Raw materials		0.4	3.4	–8.8	–2.6	–2.6	–1.2	17.8	–0.1
Import volumes									
Total goods	100.0	16.3	6.5	3.4	3.6	2.4	13.4	–2.7	1.9
Manufactures[1]	84.4	17.4	7.1	3.4	4.3	1.0	15.6	–3.4	1.6
Energy	5.3	16.2	1.6	11.8	0.7	13.1	1.0	3.6	–3.1
Import prices									
Total goods		–3.6	–0.1	–2.6	–1.1	3.8	2.2	16.5	1.5
Manufactures[1]		–2.8	–0.1	–3.7	–2.1	5.0	1.4	11.0	1.3
Energy		–15.6	0.7	6.5	6.2	–14.7	19.7	84.5	–0.8
Terms of trade		**–0.5**	**–1.6**	**–1.0**	**–1.6**	**0.9**	**–0.8**	**0.6**	**7.6**

1. Non-food manufactures.
Source: Statistics New Zealand.

from all countries falling significantly, but by far the biggest decline was Japanese tourists who followed their government's advice not to travel. Merchandise exports had already started to decelerate before September in volume terms, reflecting the effects of slowing world demand and probably also the gradually dwindling effects of the past exchange-rate depreciation. Their year-on-year growth in the first three quarters of 2001 (3.7 per cent) was substantially lower than that achieved in 2000, particularly for manufactures. Export volumes continued to slow down in the fourth quarter, led by a retrenchment of dairy exports.

Rising employment and export sector incomes boosted consumer spending

As the external sector gradually slowed during the year, a growing contribution to the economy's resilient performance came from *private consumption*, which in 2001 increased at an annual rate of about 2¼ per cent. Throughout the year consumption expenditure was supported by the expansion of disposable income. Employment continued to grow at a strong pace, and wage increases, at around 3½ per cent, outpaced current inflation, recovering some of the ground lost in real terms during the previous year. At the same time, households bene-

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fited from high income levels in the primary export sector. Indeed, retail sales grew especially quickly in farming regions. Lower interest rates supported spending on consumer durables, which accelerated in the latter part of the year, but the strong growth in car purchases in the fourth quarter (reflected in imports) was due in good part to temporary factors (the expected introduction of stricter safety standards on imported used vehicles). Consumer confidence, which had already recovered strongly in the last quarter of 2000, remained at high levels until about mid-2001. It declined in advance of the September 2001 terrorist attacks, but the impact of the latter seems to have been milder and more short-lived than in most other countries. By early 2002 the index was back at high levels, consistent with the signs of robust consumer spending coming from retail sales and other short-term indicators.

Although supported by a broad set of favourable conditions, the growth of consumer spending proceeded at a considerably more moderate pace than in 1999 and in the mid-1990s boom, when it had exceeded 4 per cent. Households' propensity to spend was probably restrained in part by balance-sheet considerations. Over the past few years, their debt levels have continued to rise, while their total wealth, about 60 per cent of which is represented by housing, was stagnant, with house prices virtually unchanged since 1998. Thus, households seem to have preferred to save part of the income gains from the favourable terms of trade, perceived as at least in part temporary. This behaviour may also have reflected a precautionary motive, given the uncertainties connected with the global situation.

Investment's contribution to growth was modest

In contrast to consumption, investment growth was relatively subdued. After recording strong increases in 2000, *business fixed investment* expanded more moderately in 2001 (Figure 4). Its considerable volatility during the year makes trends difficult to read, but its level remained relatively high and held up surprisingly well also in the latter part of the year. While uncertainty increased enormously through the fourth quarter, and business confidence fell, that does not appear to have led to an economy-wide postponement of investment plans. In part this may be because firms expected the global slowdown to be short-lived, but probably reflects also lower interest rates and sound company balance sheets. In any event, both business confidence and investment intentions have recovered their pre-September levels. With indicators of capacity utilisation still relatively high and no investment overhang from previous years, business capital formation seems poised to rise strongly in 2002. *Residential investment* remained very weak in 2001, as it unwound the effects of the over-exuberance of the mid-1990s (Figure 4). However, after bottoming around mid-year, it has since begun to turn. Strong employment growth, lower interest rates and a significant turnaround in

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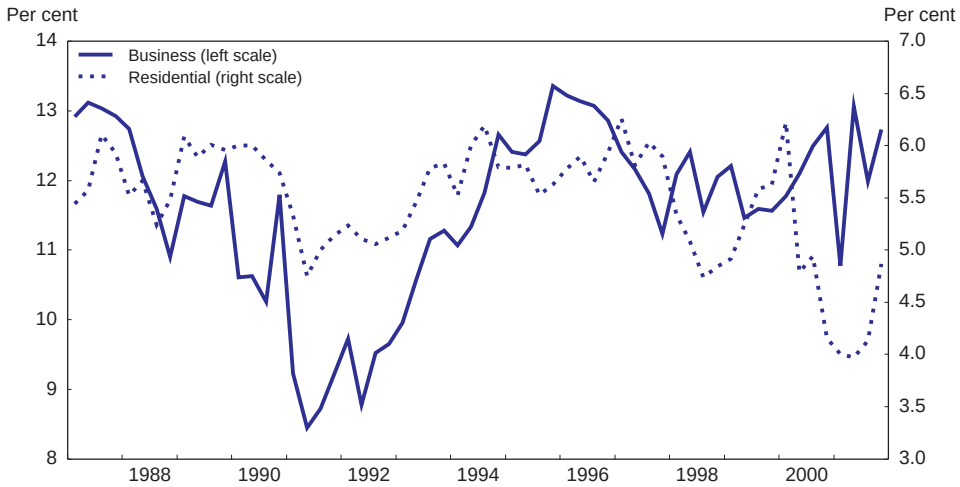
Figure 4. **Private gross fixed investment**
Per cent of GDP



Source: Statistics New Zealand and OECD.

migration flows are all contributing. Rising house sales and shorter average time to sell indicate the market is picking up, and this started to show up in homebuilding towards the end of 2001 and, to a limited extent, in house prices in early 2002. Both are likely to strengthen in coming months. Finally, the contribution of *changes in inventories* to growth was virtually nil in 2001. As their level seems consistent with the current phase of the business cycle, no major adjustments are expected in 2002.

The labour market was tight

After growing strongly in 1999 and 2000, employment accelerated further in 2001, to an annual growth rate of 2½ per cent (Table 3 and Figure 5). Last year's expansion was remarkably broad-based across contract types (full-time and part-time), gender, age and ethnic groups, and sectors of the economy. Most industries recorded an increase in numbers employed, although the largest occurred in agriculture and the public sector. Moreover, the increase in total employment derived both from a decline in the ranks of the unemployed and from new labour-market entrants. The unemployment rate declined to an average of 5¼ per cent, from 6 per cent in 2000. This was the lowest level since the late 1980s, even lower than

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Table 3. **The labour market**

Annual percentage change over corresponding period

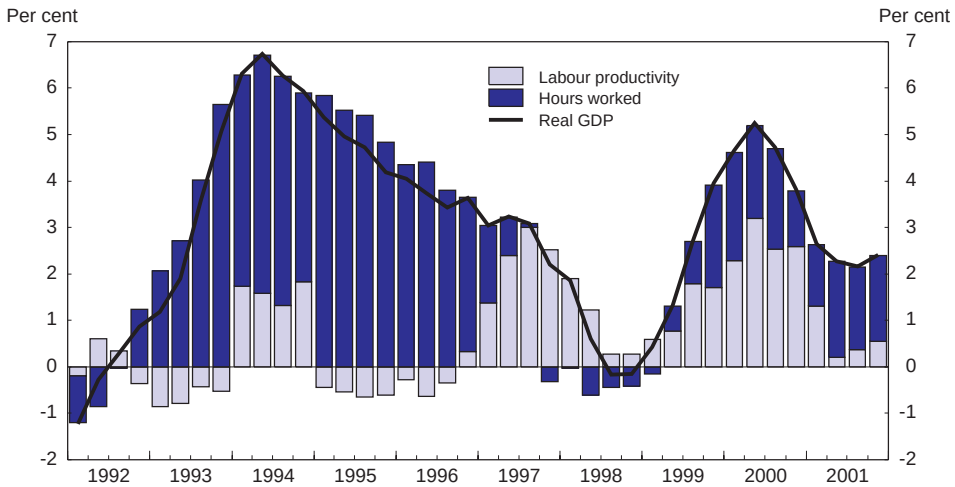
	1997	1998	1999	2000	2001	2001 Q1	2001 Q2	2001 Q3	2001 Q4
Working age population	1.3	0.9	0.6	0.7	0.8	0.7	0.7	0.9	1.1
Labour force	1.0	0.2	0.7	0.8	1.8	1.3	2.3	1.5	2.0
Employment	0.4	–0.6	1.4	1.6	2.5	2.3	3.2	2.2	2.3
Full time	–0.1	–1.2	1.1	2.6	2.4	3.2	3.3	1.5	1.8
Part time	1.9	1.2	2.8	–1.6	2.7	–0.7	3.0	4.5	4.0
Unemployment rate[1]	6.7	7.5	6.8	6.0	5.3	5.4	5.2	5.2	5.4
Participation rate[2]	65.6	65.2	65.3	65.4	66.0	65.6	65.9	65.9	66.4
Employment ratio[3]	61.3	60.3	60.8	61.4	62.5	62.0	62.5	62.5	62.8
Labour productivity[4]									
Output basis	1.8	0.5	2.5	2.2	–0.1	–1.3	0.0	0.3	0.6
Expenditure basis	2.7	–0.1	2.7	1.9	–0.7	–2.4	–0.9	0.1	0.5
Memorandum item:									
Net migration[1]	0.1	–0.1	–0.1	–0.2	0.1	–0.3	–0.1	0.3	0.6

1. Per cent of labour force.
2. Labour force/population 15 years and over.
3. Employment/population 15 years and over.
4. GDP per person employed.

Source: Statistics New Zealand.

Figure 5. **Labour productivity and hours worked**

Annual average percentage change



Source: Statistics New Zealand and OECD.

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that reached at the peak of the protracted economic expansion of the mid-1990s. At the same time, the participation rate increased by 1 percentage point, to 66.4 per cent. Although the current increase in participation is partly cyclical, in the case of the female population this rise is superimposed on a clear uptrend observed since the early 1990s.

The global slowdown throughout last year, combined with a local economy that was doing reasonably well, was probably the underlying factor leading to the sharp turnaround in net long-term migration flows, with arrivals beginning to exceed departures. The pace picked up significantly after 11 September. Large numbers of New Zealanders, who may have been considering the idea of returning home some time in the next year, seemed to regard that event as a catalyst. At the same time, departures declined. There are two differences between this immigration boom and the very large inflows of the mid-1990s. F*irst*, the flows have included both New Zealanders returning home and foreigners deciding to settle there. Many are young, skilled and bring back substantial savings (especially when converted to New Zealand dollars). S*econd*, the flow is primarily a mix of people of working age and secondary level students, whereas the boom in the mid-1990s saw more families with children. Consequently, net arrivals have been boosting the labour force at an annualised rate of around 1½ per cent in late 2001 and early 2002.

With unemployment at historically low levels and strong employment growth, labour-market conditions had become increasingly tight in the first half of 2001. Skill shortages were emerging in some sectors. However, with labour-market participation rising, migration flows turning positive around the middle of the year and the pace of economic activity remaining slightly below potential, these pressures appeared to ease in the latter part of the year.

Wage developments have contributed to keeping domestic inflationary pressures moderate in recent years, and they continued to do so in 2001 in spite of tightening labour-market conditions. Fears that wage behaviour might be affected by the introduction of the E*mployment Relations Act* in 2000 (OECD, 2000*a*) have not, so far, been borne out by actual developments. Although the increase in average hourly earnings, at 3.3 per cent, was over one percentage point higher than in 2000, they were most likely a delayed response to the higher 2000 inflation, which had generated a real wage loss. Wage pressures in the public sector, however, have been stronger. There has also been a pickup in strike activity, especially in the health and education sectors.

Headline inflation has declined, but some price pressures remain in the system

Consumer price inflation spiked in 2000 as a result of rising oil prices and an increase in tax on tobacco (Table 4 and Figure 6). The weak currency also added to inflationary pressures. Headline inflation remained above the Reserve

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Table 4. **Wages, prices and costs**
Annual percentage change over corresponding period

	1997	1998	1999	2000	2001	2001 Q2	2001 Q3	2001 Q4	2002 Q1
Wages									
Average weekly earnings	3.4	2.6	2.4	2.1	3.5	4.0	3.9	3.6	..
Salary and wage rates									
Private sector	2.0	1.6	1.5	1.4	2.0	1.9	2.1	2.1	..
Central government	3.2	2.5	1.7	2.2	1.9	1.4	1.9	2.2	..
Unit labour costs	1.7	0.9	..	..	..	..	..	..	
Prices									
Consumer prices	1.2	1.3	–0.1	2.6	2.6	3.2	2.4	1.8	2.6
Non-food, non-energy	0.9	0.8	–0.4	2.9	2.0	2.8	1.7	0.9	..
Food	2.2	3.2	1.0	1.3	6.0	6.0	6.6	6.7	5.3
Petrol	0.2	–6.1	0.6	24.7	–2.0	9.6	–7.0	–15.4	–7.0
Producer prices									
Inputs	0.4	0.7	1.0	7.6	7.4	8.1	6.2	1.8	..
Outputs	0.7	0.8	0.9	5.2	5.6	6.1	4.7	2.6	..
GDP price deflator	0.1	1.4	–0.4	2.5	4.9	6.1	4.4	3.5	..
Import price deflator	–0.7	5.4	0.6	13.8	2.4	8.0	1.0	–7.6	..
Export price deflator	–2.3	5.6	–0.3	14.2	7.9	14.2	5.4	–2.5	..

Source: Statistics New Zealand; OECD, *Main Economic Indicators*.

Bank's 0-3 per cent target range until mid-2001. While it has fallen back below 3 per cent since then, most measures of core or underlying inflation have been progressively increasing since early 2000, and tend to be near the top of the target range. Food prices have been a large contributor, having increased at around 5-6 per cent for much of 2001. In part this has been caused by high commodity prices. On the other hand, prices of non-tradables did not seem to be recording any indirect impact of the acceleration of tradables' prices, and continued to grow between 2 and 2½ per cent throughout the year (if a temporary downward effect due to lower rents on public housing is excluded). This should provide some comfort to the Reserve Bank now that commodity prices have turned down, and presumably therefore so will tradables price inflation. The deceleration of food prices in early 2002 seems to indicate that this is indeed starting to happen.

The limited impact of the large previous exchange-rate depreciation on domestic prices has helped the task of the monetary authorities considerably in the recent phase. As in several other countries, the pass-through has declined significantly in recent years. The Reserve Bank estimates that a 1 per cent fall in the trade-weighted exchange rate will push up consumer prices by between 0.1 and 0.2 per cent, compared to their estimate of 0.4 a decade ago. Domestic profit margins do not appear to be particularly squeezed at present – although there is wide

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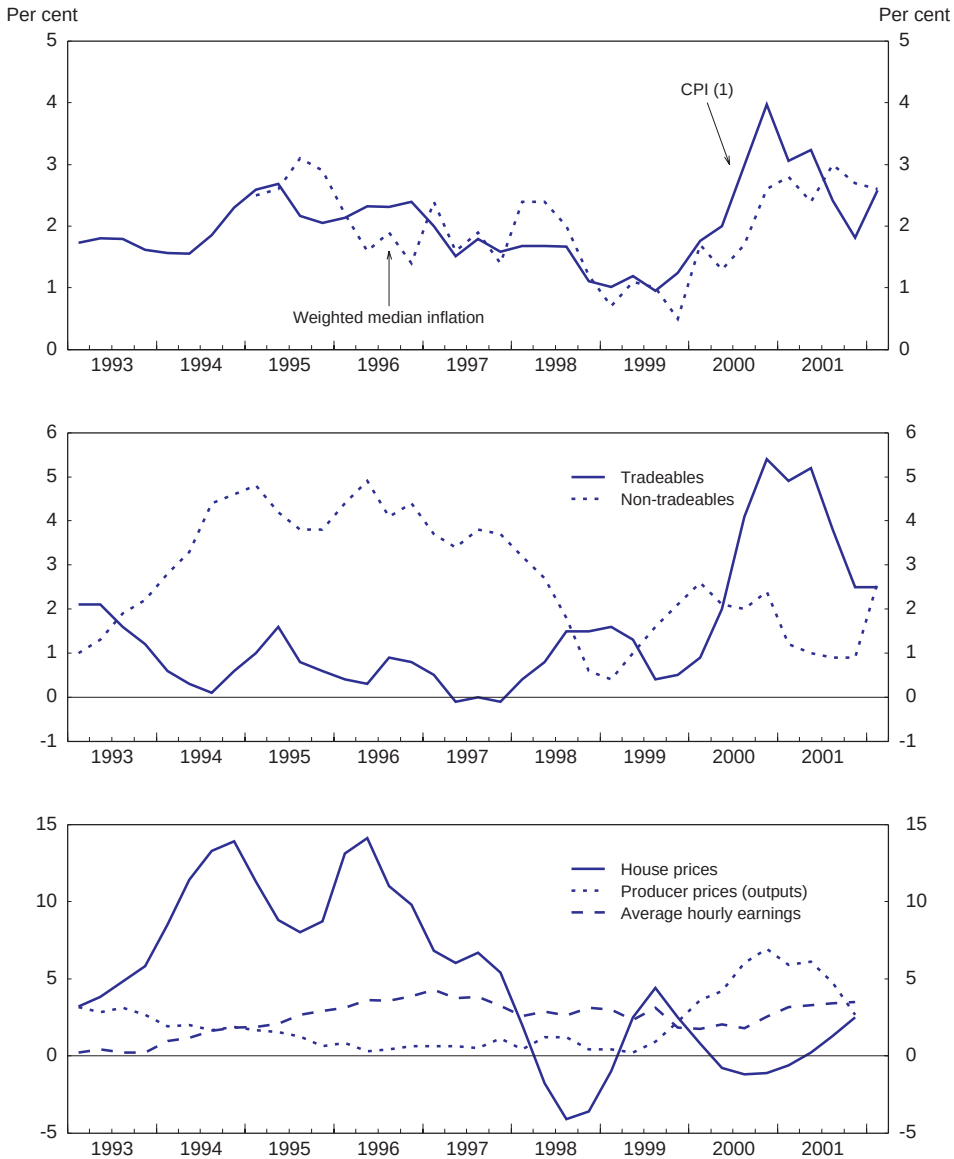
Figure 6. **Inflation indicators**
Annual percentage change



1. Current headline CPI, *i.e.* CPI all items, excluding interest and housing prices.
Source: Statistics New Zealand and Reserve Bank of New Zealand.

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variation across sectors – suggesting the phenomenon may be due to greater pricing-to-market behaviour. Some importers attribute this to the weakness in Asia following the 1997 crisis, which has created a highly competitive buyers' market. However, they also feel that those economies' recovery is now limiting their ability to bargain down prices. If so, exchange-rate passthrough may pick up again, in which case the Reserve Bank might need to be a little more concerned than otherwise with any further currency weakness. Moreover, with output close to potential and most measures of underlying inflation still in the upper part of the target range, the risk of demand-driven pressure on domestic prices remains high, as also indicated by surveys of retailers consistently showing a majority expecting to raise prices.

The external deficit has improved, but only temporarily

The current account deficit, which had averaged almost 6 per cent of GDP during the previous five years, has declined substantially, running at around 3 per cent of GDP in 2001 (Figure 7 and Table 5). The substantial increase of the trade surplus was a major factor behind this result, but the improvement of the service balance, mainly as a result of tourism receipts, was also important. However, given the extent of the previous depreciation, the deficit could have been expected to narrow further. In particular, the shift of resources to the tradables sector has been relatively limited, and the performance of manufacturing exports a little disappointing. A perception that a depreciated exchange rate is required in order to generate a sufficient trade surplus to service a growing external debt may be one of the factors that so far has kept the New Zealand dollar from moving back toward its long-term trend level.

While part of the recent improvement in the current account balance may be structural, the component that is due to the terms of trade has begun to reverse. According to the government projections the current account deficit should stabilise at around 4 per cent of GDP. As net external liabilities currently amount to slightly over 80 per cent of GDP, a deficit of this magnitude would imply an approximately constant ratio of net debt to GDP under the reasonable assumption that the long-term growth of nominal output is around 5 per cent. This scenario would continue to imply a substantial vulnerability of New Zealand's external position to adverse shocks. It is true that, while about 60 per cent of New Zealand's external debt is denominated in foreign currency, a very high proportion of that is hedged (either with financial instruments or by natural hedges). Moreover, the banking system is in good shape and the financial positions of both the business and household sectors are relatively sound. Nevertheless, even in the absence of major financial fragilities, an adverse shock hitting an economy with an already large structural deficit and net debtor position could raise sustainability concerns, bringing about a substantial depreciation and real income losses. In addition, the current position means that ongoing access to international capital

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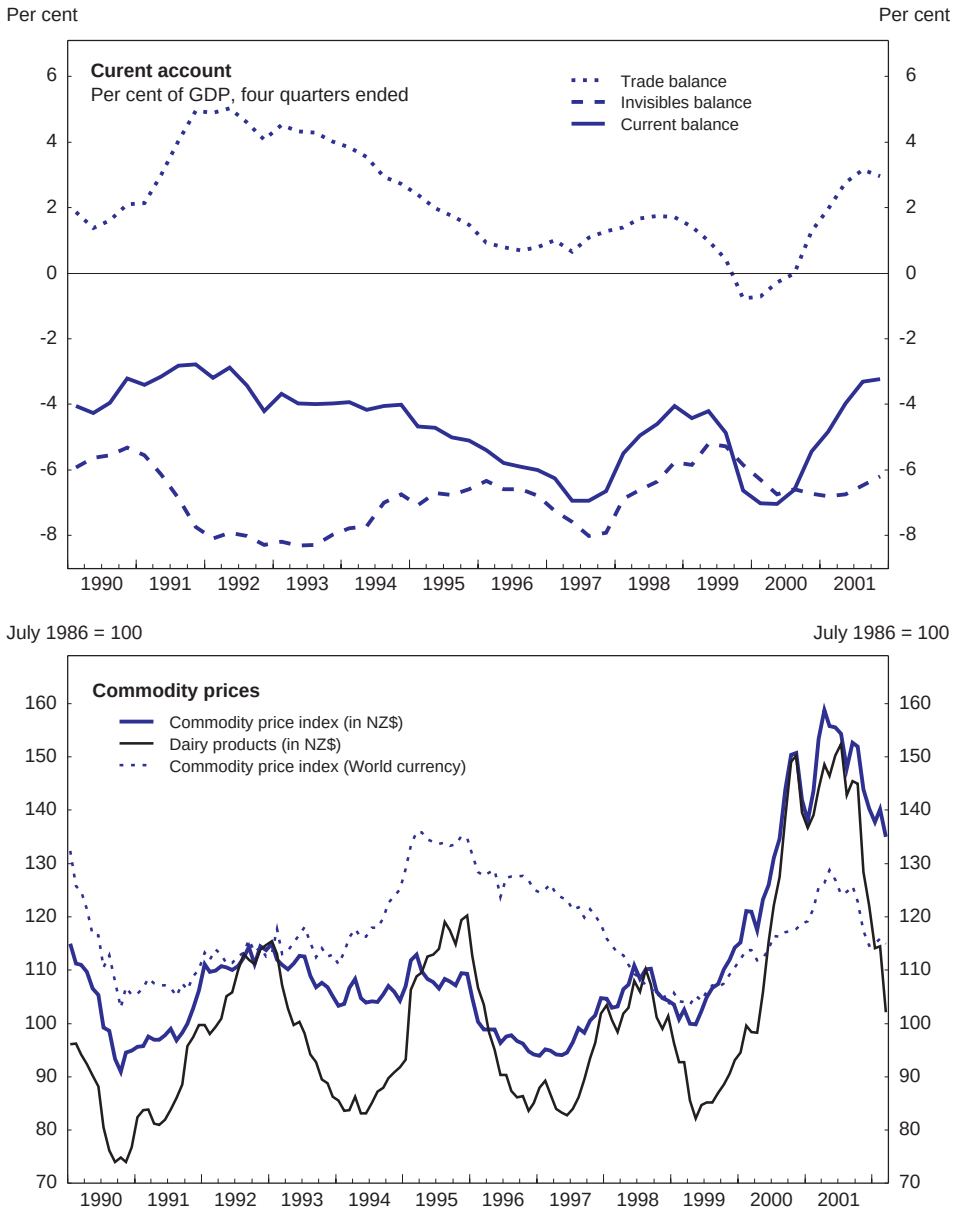
Figure 7. **Current account and commodity prices**



Source: Statistics New Zealand and ANZ.

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Table 5. **Balance of payments**
NZ$ million, calendar years

	1994	1995	1996	1997	1998	1999	2000	2001
Exports	20 189	20 515	20 858	21 515	22 881	23 809	29 697	33 115
Imports	17 880	19 166	20 074	20 228	21 181	24 678	28 356	29 622
Trade balance	2 309	1 349	783	1 288	1 702	–871	1 339	3 494
Non-factor services, net	–552	–307	–375	–986	–1 500	–552	–480	–108
Investment income, net	–5 751	–6 033	–6 845	–7 289	–4 882	–5 916	–7 529	–7 450
Transfers, net	495	303	700	384	537	394	528	267
Invisibles, net	–5 808	–6 037	–6 520	–7 891	–5 845	–6 074	–7 481	–7 291
Current balance	–3 499	–4 688	–5 737	–6 603	–4 145	–6 945	–6 142	–3 800
Per cent of GDP	–4.1	–5.1	–5.9	–6.6	–4.1	–6.7	–5.6	–3.2

Source: Statistics New Zealand.

at reasonable interest rates is particularly important. This underscores the need to maintain credibility through sound monetary and fiscal management and a strong structural framework.

Underlying the persistent current account deficit has been the low aggregate saving rate. Even after the end of the real estate price inflation, which during the 1990s had boosted the household sector's wealth and encouraged it to accumulate substantial debt, measured household savings remained negative in 1998-2000, and overall national savings continued to average slightly over 15 per cent of GDP. Unless private savings recover in coming years (as seems to have been the case in 2001), and continue to be supported by growing government savings, financing the likely cyclical increase in business investment and the substantial projected public investments (see Chapter II) may require larger current account deficits than those envisaged in official projections.

Short-term outlook: the lucky country

The short-term outlook reflects what has been, to some extent, fortunate timing. Domestic demand has been gaining momentum as a result of the trickle-down effects of high farm incomes and the sudden increase in net migration flows. In addition, consumers bringing forward purchases of (used) imported cars before safety regulations were tightened on 1 April boosted consumption in late 2001 and early 2002. This component of demand will be correspondingly soft in the middle of this year as this temporary effect unwinds. All these factors were well timed to offset the slump in export earnings, the major impact of which is being felt in the first half of 2002. As a consequence, overall economic activity has cruised through the global turbulence reasonably smoothly (Figure 8). Looking

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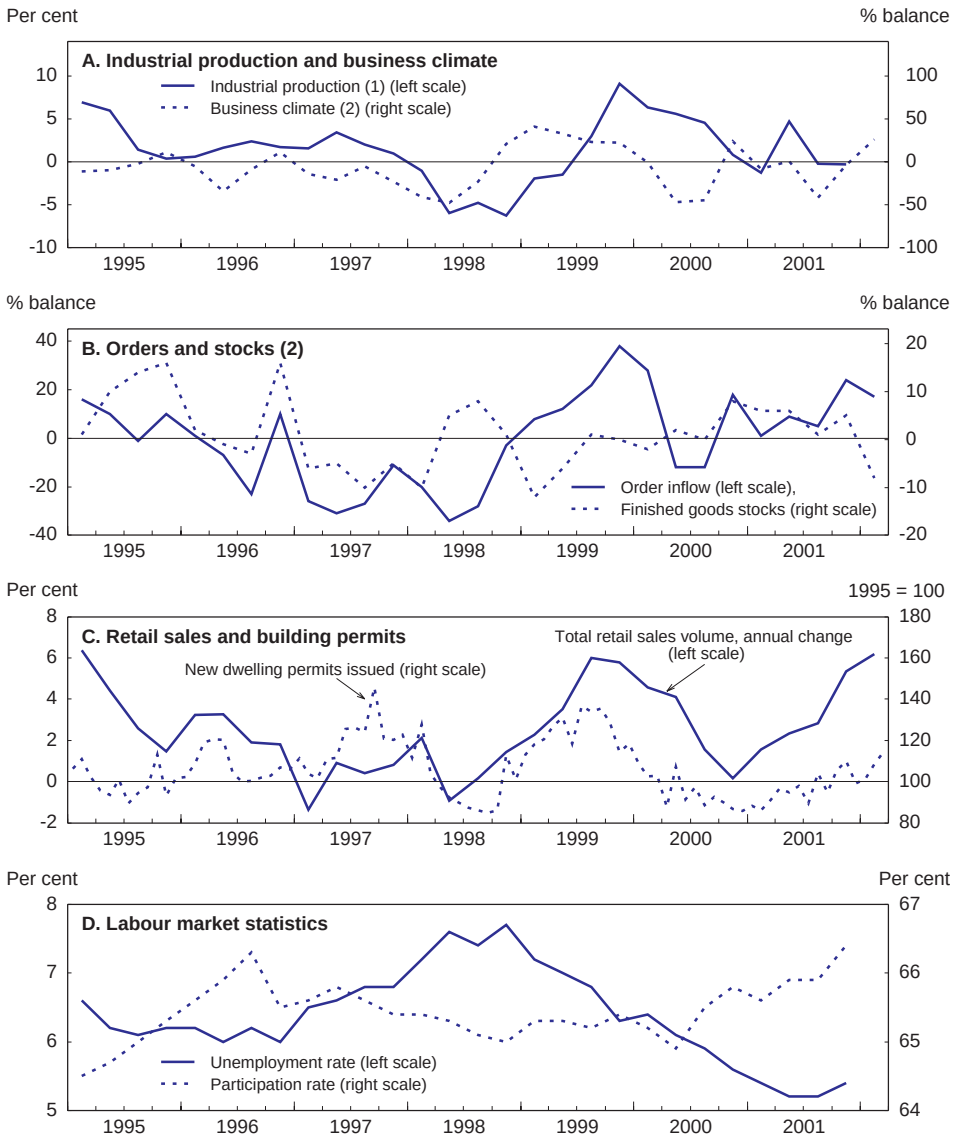
Figure 8. **Short-term economic indicators**



1. Manufacturing, annual change.
2. Survey balance.

Source: Statistics New Zealand and OECD, *Main Economic Indicators*.

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forward, GDP is expected to grow at annual rate of around 2 per cent in the first half of 2002 and then rise into the 3–4 per cent range until the end of 2003 (Table 6).

After falling throughout 2001, New Zealand's export markets are projected to rebound in the second half of this year and to grow by around 7½ per cent in 2003. This should boost all categories of exports. *Tourism*, which has already more than fully bounced back, partly in response to the pickup in world income growth, is likely to continue to benefit from the low exchange rate, which will ensure that New Zealand remains a cheap destination. However, the full benefit of this recovery will not be seen until the next southern summer. *Agricul-*

Table 6. **Short-term economic projections**

	Level, 2000		Percentage change		
	Current prices, NZ$ billion	Per cent of GDP	2001	2002	2003
Private consumption	66.6	60.3	2.1	2.8	3.1
Government consumption	20.0	18.1	2.1	2.0	2.8
Gross fixed investment	22.1	20.0	–0.6	11.1	5.2
Final domestic demand	108.7	98.5	1.6	4.3	3.5
Stockbuilding[1]	0.7	0.6	0.2	–0.3	0.0
Total domestic demand	109.4	99.1	1.7	4.3	3.4
Exports of goods and services	39.1	35.5	2.1	1.4	7.5
Imports of goods and services	38.2	34.6	1.7	5.2	7.5
Foreign balance[1]	1.0	0.9	0.2	–1.2	0.0
GDP at constant prices			**1.8**	**2.9**	**3.5**
GDP price deflator			4.9	1.6	2.6
GDP at current prices	110.4	100.0	6.8	4.6	6.2
GDP production at constant prices			**2.4**	**2.7**	**3.5**
Consumer Price Index			2.6	2.5	2.0
Private compensation per employee			3.6	3.5	3.5
Total employment			2.5	1.4	1.3
Unemployment rate (per cent of labour force)	6.0		5.3	5.7	5.3
Breakdown of gross fixed investment					
Private non-residential	12.7	11.5	5.6	6.5	5.5
Private residential	6.0	5.4	–9.6	21.5	4.3
General government	3.4	3.1	–9.7	12.8	5.5
Short-term interest rate (per cent)	6.5		5.7	5.5	6.0
Long-term interest rate (per cent)	6.9		6.4	6.9	6.6
Current account balance as a per cent of GDP	–6.0	–5.5	–3.2	–4.0	–4.0

1. As a percentage of GDP in the previous period.
Source: OECD.

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tural exports are likely to be assisted by recent favourable growing conditions and by China's entry to the World Trade Organisation, but this will be partly offset by the adverse impact on world prices of the latest increase in United States and European Union subsidies. M*anufactured* exports should also benefit to some extent from the rebound in global imports, although that sector has surprisingly been losing market share since the mid-1990s. Looking further out, *forestry* is projected make a major contribution over the medium term. A large stock of mature forests means there is potential for the harvest to expand by at least a fifth over the next five years, so considerable volume growth can be expected as soon as forestry prices recover.

Although more goods and services are expected to be shipped over the next few years, growth in export incomes will be less vigorous. The terms of trade have fallen from their recent peak and are not projected to bounce back, although they should still settle at a level that is fairly high by recent standards. The net result of higher volumes and weaker prices is a current account deficit that is projected to rise to over 4 per cent of GDP, from the recent trough of around 3 per cent.

Net immigration should continue to be a key influence on the outlook at least until the end of this year. While the rate of inflow is expected to decline throughout 2002, it is expected to add up to ¾ of a per cent to the working-age population. That will have three effects. F*irst*, migration will continue to lift the housing market. Construction is projected to continue rising, especially in Auckland, and house prices will soon follow. However, the lift will probably be significantly gentler than the mid-1990s housing boom: the migration inflow will be smaller and not as long-lasting; house prices are not starting from a position of significant under-valuation; and household debt levels have now risen to around OECD norms, so further gearing-up is not likely. Consequently, housing investment relative to GDP is likely to fall well short of its last two cyclical peaks. S*econd*, the inflow will underpin consumption. That is partly by weight of numbers, but partly because consumption of durable goods will continue to grow strongly as migrants fit out their new houses. Business investment should also rise further as economic slack becomes quickly exhausted. T*hird*, employment will increase as immigrants are absorbed in the labour market. The increased supply of workers – especially skilled workers – could also take some of the pressure off wages. Normally, however, one would expect the incremental effect of immigration on the demand for goods and services to outstrip the supply effect in the short term.

Headline inflation fell from 4 per cent in late 2000 to 2.6 per cent in the year to March 2002, after being held down last year by the reduction in rents on government-owned houses and a reduction of petrol prices. This year it will be boosted by an increase in petrol tax, which will raise petrol prices by around 5 per cent. After stripping out one-off influences, core inflation is projected to remain

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inside, but in the upper half of, the 0–3 per cent target range. The unemployment rate, although rising slightly, should stay relatively low; the weak exchange rate continues to put pressure on prices of tradable goods and services; and the pickup in activity could quickly eliminate the small negative output gap that is currently estimated to exist. All these factors point to core inflation rates remaining above 2 per cent throughout the projection period, even with short-term interest rates rising to 6 per cent by the end of this year (see Chapter II).

The risks to this outlook remain considerable, even though they have diminished relative to six months earlier. A stronger- or quicker-than-expected recovery in global activity would put pressure on an economy that even now has little spare capacity, especially if the terms of trade also recover. The experience could repeat that of 1993, when a strong global recovery occurred in tandem with a very weak domestic exchange rate. The result at that time was export growth rates over ten per cent per annum, GDP growth rates in the 6–8 per cent range, and inflation picking up about a year later. Any bounce-back this time should be less vigorous since there is less room to grow quickly (the output gap in 1992 was minus 5 per cent). However, that same factor implies that the flare-up of inflation could be quicker and stronger. The risks to inflation would be compounded if importers take advantage of the stronger economy to recover their profit margins. On the other hand, the opposite global scenario could have significant negative impacts on the economy. As noted, the engine of growth in early 2002 has been domestic demand plugging the gap left by a weakening external sector. But that domestic demand is mostly a consequence of last year's high farm incomes, so a further weakening in exports is likely to see domestic economic strength dry up. How quickly weaker world demand will transmit to the domestic economy is not clear; *via* a mix of hedging and forward selling, farm incomes will respond in a lagged way to lower global prices. In essence, both scenarios involve the domestic and external sectors starting to move in tandem, either up or down, instead of the current situation of one offsetting the other. An end to the "lucky timing" would result in an economy that is either unusually strong or unusually weak. In either case, the policy response would need to be quick and fairly aggressive.

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II. Macroeconomic policies

Both monetary and fiscal policies are presently moderately supportive of economic activity. Interest rates were lowered gradually starting in the first half of 2001, as it became progressively clearer that the imported inflationary pressures that had caused the headline rate to rise were being transmitted only to a limited extent to domestic prices and as signs of weakening global demand emerged. Additional rate cuts took place after 11 September, as uncertainties concerning the global situation became more pronounced. Even so, the easing of monetary policy was cautious, in view of the high degree of capacity utilisation and low unemployment. This approach was successful in stabilising domestic confidence, while maintaining underlying inflation under control. As downside risks have subsided in recent months, the Reserve Bank has started to move gradually toward a more neutral monetary stance. Meanwhile, consistent with the medium-term orientation of budgetary policy, the government has allowed the automatic stabilisers to operate, in the sense that it has not significantly changed its plans for operating expenditure. However, over the past three years capital spending has tended to rise and is expected to continue to increase over the next few years. However, medium-term plans continue to project a slight rise in operating surpluses.

Monetary policy

The policy framework

Since 1988 monetary policy in New Zealand has been conducted on the basis of an inflation targeting strategy. The institutional framework, established with the 1989 Reserve Bank Act, confers operational independence on the central bank, which is made responsible for achieving the inflation targets agreed periodically with the Minister of Finance (the *Policy Targets Agreements* or PTAs). PTAs are reviewed periodically, and their content has undergone several small changes over the last 12 years, the most visible of which was the widening of the target band from 0-2 per cent to 0-3 per cent in December 1996. All the PTAs have made an allowance for uncontrollable supply or policy shocks, such as terms-of-trade shocks, changes in indirect taxes or natural disasters. In such cases the Reserve

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Bank is required to explain why the target has been or is projected to be missed and to act to prevent more lasting inflationary effects. In the past, these factors were stripped out and an underlying inflation measure was published, although that index was too judgmental to be used as a basis for accountability. Therefore, the Bank now prefers a more qualitative approach, using a wide array of indicators to assess underlying inflation trends. The current PTA, signed in December 1999, introduced a provision whereby, in pursuing its price-stability objective, the Bank "shall seek to avoid unnecessary instability in output, interest rates and the exchange rate". This has made explicit the Bank's long-standing willingness to trade off some degree of short-term inflation variability against lower volatility of economic activity.

The Reserve Bank takes a forward-looking perspective in pursuing the inflation target. While this has always implied a focus on underlying inflation trends, the set of indicators on which the bank primarily relies to assess such trends has evolved considerably since the inflation-targeting strategy was first adopted. In the early years, the exchange rate was the primary reference variable for policy, as a sort of intermediate target. This choice reflected a still rudimentary understanding of how interest-rate moves would be transmitted to prices in an economy that had recently undergone deep structural changes, as well as past experience indicating a sizeable pass-through from the exchange rate to consumer prices. Over time, as the monetary transmission mechanism became better understood, the Bank shifted its attention toward non-tradables' inflation and to its medium-term determinants, including the output gap. In order to communicate more clearly how, for any given exchange rate, it would determine the appropriate level of interest rates compatible with the desired monetary stance, in June 1997 the bank started to use a Monetary Conditions Index (MCI).[1] However, this indicator was abandoned in March 1999, since it tended to imply a too-mechanical policy reaction to shocks of different types. More generally, the emphasis on the exchange rate has gradually declined. This has reflected, *inter alia*: a desire to avoid interest-rate volatility in response to short-term exchange-rate movements; an awareness that in some cases exchange-rate changes can be an appropriate reaction to external shocks and can contribute to dampen their inflation implications; the realisation that the pass-though from the exchange rate to prices appears to have declined in recent years; and greater confidence that inflation expectations are well-anchored.

In the 14 years since it was first implemented, inflation targeting in New Zealand has been remarkably successful. Inflation has been reduced significantly, from 10.8 per cent on average in the 1980s to 2.1 per cent in the 1990-2001 period – with a greater decline than in most OECD countries (Table 7). Inflation variability has also fallen dramatically. A high degree of credibility also seems to have been won. Two-year-ahead inflation expectations have remained stable within the band, and one-year-ahead expectations have cycled around the two-

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Table 7. **Inflation and GDP growth: average levels and variability**

	CPI inflation						GDP growth					
	Average			Standard deviation			Average			Standard deviation		
	1970s	1980s	1990s	1970s	1980s	1990s	1970s	1980s	1990s	1970s	1980s	1990s
Australia	9.8	8.4	2.5	3.9	2.0	2.0	3.5	3.3	3.3	1.6	2.2	1.7
Austria	6.0	3.8	2.4	1.9	1.9	1.2	4.2	2.1	2.5	2.5	1.2	1.1
Belgium	7.1	4.9	2.1	3.2	2.8	0.8	3.6	2.3	2.0	2.4	1.6	1.4
Canada	7.4	6.5	2.2	2.7	3.1	1.6	4.4	2.9	2.4	1.4	2.3	2.2
Denmark	9.3	6.9	2.1	2.6	3.1	0.4	2.5	1.8	2.1	2.2	1.9	1.5
Finland	10.3	7.2	2.2	4.7	2.8	1.7	3.7	3.6	1.7	2.9	1.0	3.9
France	8.8	7.4	1.9	2.6	4.2	0.9	3.7	2.2	1.7	1.6	1.1	1.2
Germany	4.9	2.9	2.6	1.4	2.1	1.5	3.1	1.8	2.2	2.0	1.4	1.8
Greece	12.3	19.5	11.1	7.0	3.8	5.9	5.5	0.8	1.9	4.5	2.2	1.6
Iceland	39.5	39.4	4.3	6.5	20.1	4.1	6.6	3.2	2.3	3.0	3.1	2.7
Ireland	12.7	9.3	2.3	4.3	6.5	0.7	4.7	3.1	7.0	2.1	2.0	3.2
Italy	12.3	11.2	4.2	5.2	5.7	1.7	3.8	2.4	1.5	2.5	1.1	1.0
Japan	9.3	2.5	1.2	5.7	2.2	1.2	5.2	3.9	1.7	3.0	1.2	1.7
Korea	15.9	8.4	5.7	7.1	8.6	2.3	8.8	7.9	6.1	2.4	4.1	4.6
Luxembourg	6.5	4.8	2.2	2.5	3.3	1.0	2.7	4.4	5.4	3.7	3.7	2.1
Netherlands	7.0	2.9	2.4	2.2	2.6	0.4	3.4	1.9	3.0	1.6	1.7	1.1
New Zealand	**11.5**	**10.8**	**2.0**	**3.3**	**4.5**	**1.4**	**2.0**	**2.6**	**2.4**	**5.2**	**2.4**	**2.4**
Norway	8.4	8.3	2.4	2.0	2.7	0.8	4.4	2.7	3.4	1.2	2.1	1.3
Portugal	18.3	17.6	6.0	7.7	6.4	3.7	5.3	3.4	2.8	4.2	2.9	2.0
Spain	14.4	10.2	4.2	5.6	3.7	1.7	3.9	2.7	2.6	2.7	1.8	1.6
Sweden	8.6	7.9	3.3	1.8	2.9	3.6	2.5	2.2	1.5	2.2	1.2	2.3
Switzerland	5.0	3.3	2.3	3.0	1.7	2.0	1.6	2.1	0.9	3.4	1.8	1.3
United Kingdom	12.6	7.4	3.7	5.3	4.3	2.3	2.4	2.4	2.1	2.3	2.3	1.7
United States	7.1	5.6	3.0	2.5	3.4	1.0	3.3	3.0	3.0	2.5	2.4	1.4
OECD[1]	11.0	9.1	3.3	3.9	4.4	1.8	4.0	2.9	2.7	2.6	2.0	2.0
Small OECD countries[2]	11.8	10.2	2.5	3.3	5.0	1.7	3.5	2.7	2.9	2.8	2.0	2.2

1. Unweighted average of the above listed countries.
2. Unweighted average of countries with population below 10 millions (Austria, Denmark, Finland, Iceland, Ireland, Luxembourg, New Zealand, Sweden and Switzerland).

Source: OECD.

year expectations. This suggests that price shocks are now more clearly seen to be transitory (Figure 9). There was a short-run output cost associated with the disinflation, but the sacrifice ratio was not substantially larger than in other countries that have conducted disinflations, notwithstanding New Zealand's relatively poor starting point. Moreover, output volatility does not seem to have increased, although it remains slightly higher than in the average OECD country (Table 7).

In the three years since the policy implementation regime based on the Official Cash Rate (OCR) began, interest-rate changes have been smoother than previously. Interestingly, the Reserve Bank's predictions of such changes – the

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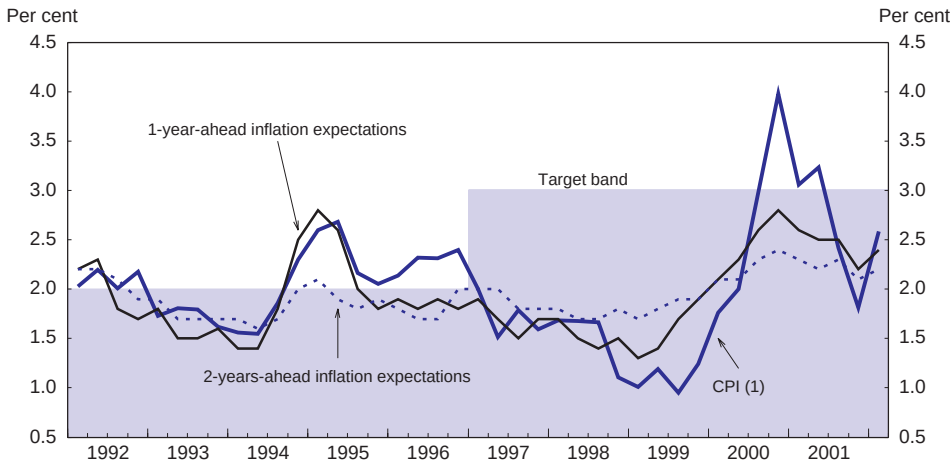
Figure 9. **Inflation and inflation expectations**
Annual percentage change



1. Current headline CPI, *i.e.* CPI all items, excluding interest and housing prices.
Source: Statistics New Zealand and Reserve Bank of New Zealand.

Bank's forecasts are done on the basis of an endogenous monetary policy response to incipient departures of inflation from target – tend to be more variable than the outcome. These forecasts provide a real-time picture of the Bank's analysis. However, this approach risks not adequately conveying the extent of uncertainty in such projections. Perhaps the Bank could present a risk spectrum surrounding its inflation forecasts, as is done by the Swedish Riksbank and the Bank of England.

In 2000 the government commissioned Professor Lars Svensson to undertake an independent review of the operation of monetary policy. The terms of reference for the review indicated that it should examine the efficiency of the ways in which the Reserve Bank pursues its inflation target, including its ability to limit unnecessary volatility of output, interest rates and the exchange rate; the effectiveness of the policy decision-making process and accountability mechanisms; the adequacy of data and operational instruments; the clarity and effectiveness of the communication of policy decisions to the public; and the co-ordination of monetary policy with other economic policies. It was not intended to question the primary goal of price stability, or the Bank's independent status. The review was published in February 2001 (see Box 1), and the government responded to its recommendations in May 2001, after also receiving a submission from the Reserve

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Box 1. The outcome of the independent review of monetary policy formulation

The report prepared by Professor Svensson (Svensson, 2001) gave a very positive assessment of the operation of monetary policy in New Zealand, concluding that it is "currently entirely consistent with the best international practice of flexible inflation targeting", although it pointed to two instances – in 1992-93 and in 1997-98 – when policy moves could have been better timed.[1] The report made a number of recommendations, the most important of which concern the decision-making process and the mechanisms designed to ensure accountability.

The report argued that the current structure, under which decision-making power is vested in a single person (the Governor), entails the risks associated with making the quality of decisions dependent on one person. It observes that, although the current arrangements have worked well under the present Governor, this may not be equally true in the future. Svensson, therefore, recommended that the responsibility for monetary policy decisions be assigned to a committee formed by the Governor, two Deputy Governors and two other senior staff members. This recommendation was not accepted by the government and also received a negative response from the Reserve Bank. Both argued that a single decision-maker more effectively ensures accountability and greatly facilitates a coherent communication of policy decisions to the public, and that the risk of bad decision-making is constrained by an unusually fully-articulated specification of the nature of the policy task. They also pointed out that the existing selection process (which requires the Governor to be named by the Finance Minister on a proposal from the Bank's Board of Directors) contains adequate safeguards to guarantee a high quality of future Governors and that the Bank's internal policy-formation process ensures that the Governor receives a sufficiently diversified set of information and advice.[2]

Regarding the accountability structure, the report argued that the Board of Directors, whose main tasks include monitoring the performance of the Governor and the Bank, should not be chaired by the Governor and should not include the Governor and his two Deputies. Moreover, it proposed that the Board publish an annual report giving its assessment. These recommendations were partly accepted by the government, which agreed that the Board should be chaired by one of its non-executive members, but it felt that the presence of the Governor among its members would help communication flows between the Board and the Bank.[3]

Regarding the formulation of policy targets in the PTA, the Svensson report proposed that, consistent with what has been the Reserve Bank's actual practice, the 0-3 per cent target range be replaced by a point target of 1.5 per cent, while the flexibility around this target could be signalled by explicitly indicating that the target is to be met "in the medium term". In its response, the government indicated its willingness to introduce a reference to the medium-term horizon of the policy target, but rejected the suggestion to move to a point target, arguing that it might be misinterpreted as a reduction in the degree of flexibility. The further suggestion that, in order to ensure greater continuity, PTAs should be

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Box 1. **The outcome of the independent review of monetary policy formulation** (*cont.*)

changed only every five years on the occasion of the Governor's appointment or re-appointment was not accepted. It was argued that, although it would be undesirable for the PTA to be renegotiated too frequently, it is important that an incoming government be able to re-negotiate it at the start of its term, so that at any point in time it fully shares ownership for the definition of the target.

Finally, the report recommended that the Reserve Bank should devote greater attention to inflation expectations indicators, and to that end it should have at its disposal monthly data on consumer prices and industrial production, so as to be able to monitor in a more timely way trends in prices and economic activity. The government responded that such data, due to their likely high volatility, would add little to the information already available to the Bank, so that the gains would not justify the additional cost. However, given the publication lags involved, quarterly price surveys would appear to leave the Bank with a risk of being caught off guard when the economy is hit by unforeseen shocks. The New Zealand economy is surely large enough to be able to afford a monthly survey, something in place all other OECD Member countries, except Australia.

1. In the second instance, the policy mistake is attributed by the Svensson report to the use of the MCI. The shortcomings of these past policy decisions have been recognised by the Reserve Bank itself. See, for example, Drew and Orr (1999), Reserve Bank of New Zealand (2000) and Brash (2002).
2. However, the Bank has already moved to counter any impression that it is too isolated: it is seeking to have more external advice provided to the Governor by bringing in two outsiders during forecasting rounds.
3. The report also made two additional suggestions aimed at strengthening accountability, which are currently under consideration: to support the activity of the Parliamentary Select Committee that oversees the Reserve Bank with a panel of experts; and for the Reserve Bank to organise an annual conference for the assessment of its monetary policy.

Bank on the subject. For the most part, the review commended the framework and execution of policy, though it did make some recommendations for changes in the details of its implementation. Many of these were not accepted by the government, which thereby indicated its substantial satisfaction with the status quo.

The recent conduct of monetary policy

After the Reserve Bank raised the OCR by a total of 200 basis points between November 1999 and May 2000 (Figure 10), against the background of a strong expansion of economic activity and rising inflation – to a large extent the effect of higher world oil prices and the depreciation of the New Zealand dollar –

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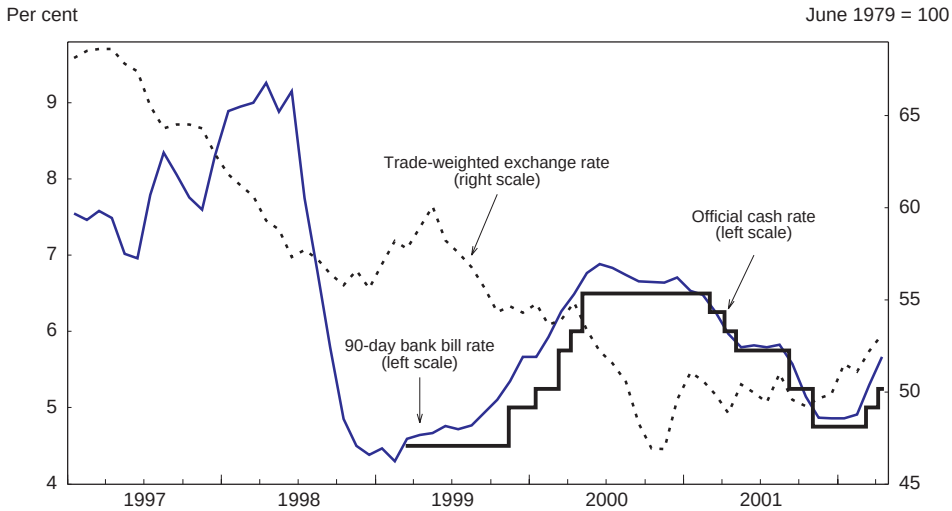
Figure 10. **Interest rate and exchange rate**



Source: Reserve Bank of New Zealand.

that rate was maintained at 6.5 per cent until early 2001. The depreciation had increasingly been translated into upward pressure on tradable goods' prices, and overall CPI inflation reached 4.0 per cent in the year to December 2000, albeit with the significant contribution of a change in excise tax on tobacco. Although world demand had started to soften in late 2000, export revenues, buoyed by high commodity prices, were supporting domestic demand, and the economy was operating at close to full capacity. Thus, there was concern that domestic inflationary pressures might soon add to the external impetus. Even though a process of monetary easing had already started in a number of countries, including the United States, the United Kingdom, Canada and Australia, the cyclical position of the New Zealand economy seemed to warrant a more cautious policy stance.

During the first half of 2001, however, there were increasing signs that the world economy was slowing, while domestic inflationary pressures remained in check after a slump in confidence in 2000 had alleviated emerging pressure on production capacity. The Reserve Bank responded by easing monetary conditions, and the OCR was cut in three steps of 25 basis points each between March and early May. Rates were then maintained until September, given that the prevailing forecasts still indicated that the world economic slowdown would be relatively short-lived and that the favourable exchange rate and commodity price conditions were insulating New Zealand from its effects.

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After the 11 September terrorist attacks, the Bank reacted swiftly to the ensuing sharp deterioration of the international outlook, which also temporarily affected domestic consumer and business confidence, and on 19 September it enacted a half percentage point reduction of the OCR. As elsewhere, the aftermath of the attacks was dominated by greatly increased uncertainty. In New Zealand, however, the uncertainty derived to a large extent from a growing divergence between the external and domestic outlooks. While the likelihood had risen that the world economic slowdown would be deeper and more protracted than previously thought, the pace of domestic private spending appeared to be accelerating. With the unemployment rate low, the risk of wage pressures could not be written off. In this situation, monetary policy had to strike a difficult balance. Data released in the following months, however, increasingly pointed to a synchronised downturn in all the main industrialised economies, and, while some indicators of underlying inflation were showing increases, this effect was expected to be temporary. Responding to the increased downside risk, the OCR was cut by a further ½ percentage point in November.

The evolution of the monetary policy stance and changes in the Bank's official interest rate have not, in general, taken markets by surprise (with the exception of the half-point cut on 19 September), as the Reserve Bank's inflation targeting framework now appears to be well understood. In spite of this and of relatively stable inflation expectations, long-term interest rates were rather volatile in 2001, owing mainly to the uncertainty connected to global developments. As elsewhere, no particular trend lasted for more than a few months. The differential *vis-à-vis* United States bond yields has tended to widen since early 2001, from around 90 basis points to around 160 in early 2002, a larger spread than at any time since mid-1996 (Figure 11). This reflected in part the different cyclical position of the two economies, but probably also higher risk premia, as in the context of the world slowdown international investors have increasingly turned away from peripheral markets. By contrast, changes in the relative cyclical positions do not seem to have had any significant effect on the exchange rate, which since late 2000 has oscillated within a range only moderately above the record low reached in the autumn of that year, both against the US dollar and in trade-weighted terms (Figure 12, Panel C).

The cautious conduct of monetary policy during 2001 appears to have been vindicated by subsequent developments. The downside risks that were present in the latter part of last year have gradually subsided in recent months. Thus far in 2002 the available indicators have confirmed that the economy's performance continues to be resilient. Domestically, retail sales have remained strong, the housing market has shown clear signs of recovery and consumers' propensity to spend does not appear to have been affected by the impact of declining export prices or indeed by the events of 11 September. The degree of uncertainty surrounding the external environment has also started to recede as

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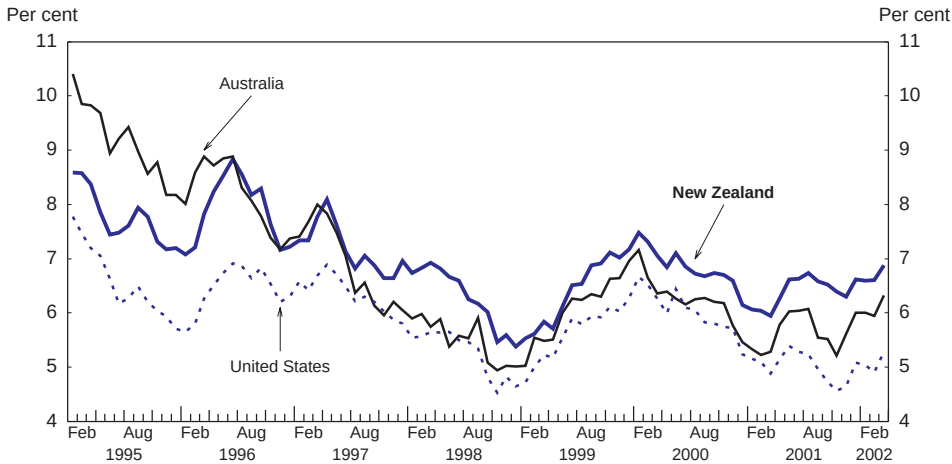
Figure 11. **Long-term interest rates**



Source: Reserve Bank of New Zealand and OECD.

the downturn of North American and European economies seems to have reached a bottom, although the intensity of the recovery remains difficult to predict. At the same time, the risk remains that price pressures might re-emerge over the next two years if a sustained expansion of consumption were to be combined with an acceleration of investment and a robust recovery of world demand, given that unemployment remains at relatively low levels, the degree of capacity utilisation is high and underlying inflation is still in the upper half of the target range.

Thus, the Reserve Bank felt the moment had come to start removing some of the insurance taken out late last year and to move the monetary policy stance back toward a more neutral position. In March, the OCR was raised by one-quarter of a percentage point and a further quarter-point increase was made in April. These moves were fully appropriate, and consistent with the Reserve Bank's forward-looking approach. Even though inflation expectations are now better anchored and pricing behaviour more stable, past experience indicates that it remains important to intervene decisively before price pressures build up.

Yet present monetary conditions are probably still relatively expansionary. Real short-term interest rates, whether they are measured on the basis of current inflation or inflation expectations, are now about ¾ of a percentage point below the level (4 per cent) that the Reserve Bank considers as broadly "neutral".

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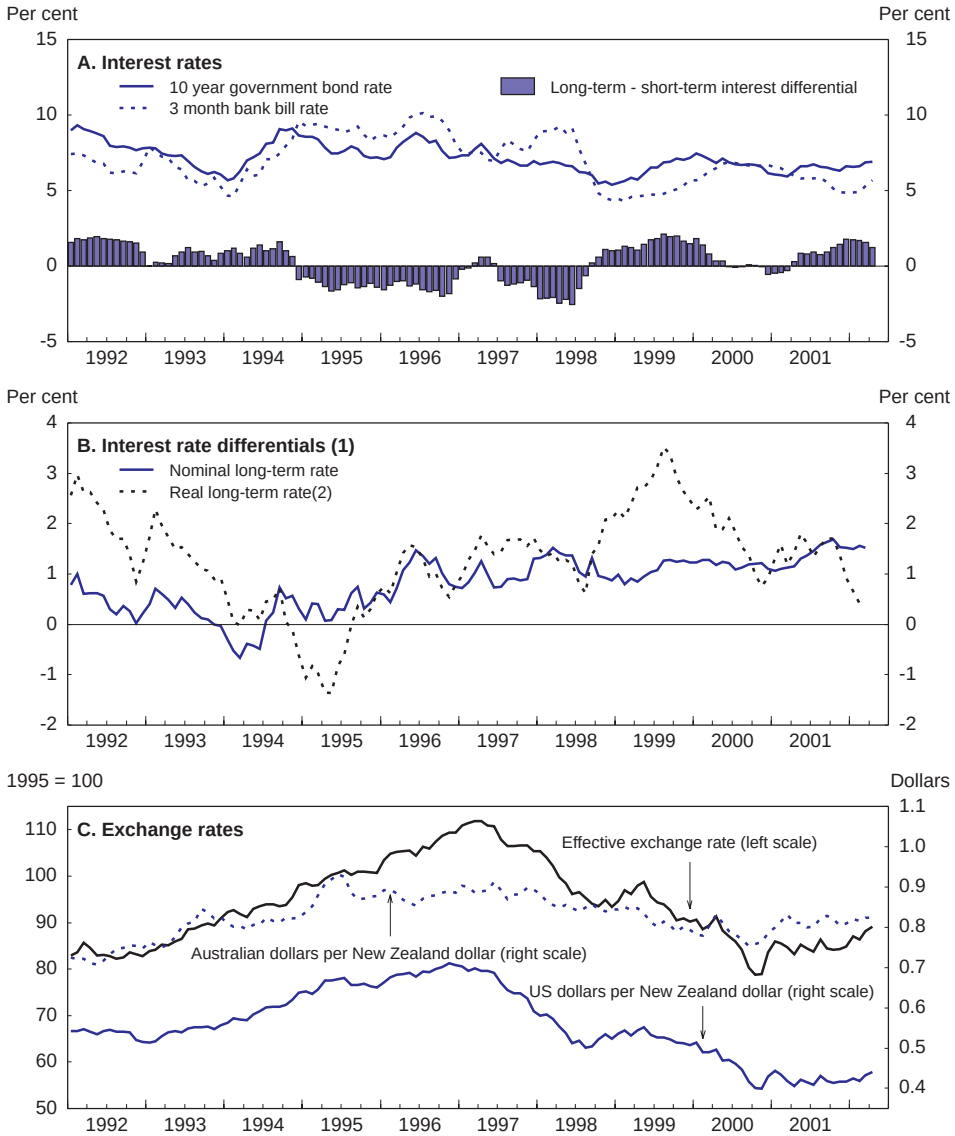
Figure 12. **Interest- and exchange-rate movements**



1. Differentials *vis-à-vis* a weighted average of major trading partners: United States, United Kingdom, Japan, Australia, Germany and Canada.
2. Nominal interest differential *minus* current CPI inflation differential.

Source: Reserve Bank of New Zealand and OECD.

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At the same time, although the real exchange rate has shown signs of firming this year, it remains about 15 per cent below its past long-term average in trade-weighted terms. These indicators of monetary stance, however, need to be taken with a degree of caution. Estimates of the neutral interest rate are subject to considerable uncertainty, and its level can shift over time. Similarly, it is difficult to tell to what extent the exchange rate may be still undervalued, given the persistent current account deficit. As compared to countries that have eased monetary policy more aggressively, such as the United States, interest rates in New Zealand do not need to rise as much to return to a neutral level. However, considering that New Zealand has felt what may well turn out to be only a short-lived impact from the global slowdown and is now already operating close to full capacity, rates may well have to continue to rise, so long as domestic spending continues to rise steadily and the world recovery gathers strength.

The fiscal strategy

The Fiscal Responsibility Act (FRA), which took effect in 1994, sets out several principles of fiscal management, including requirements to run an operating balance on average over the economic cycle and to keep debt at a prudent level (see Annex II for a detailed discussion). Governments are left to define their own fiscal goals, provided they are consistent with the broad principles of the Act. The current government modified several of its predecessor's objectives shortly after coming into office. Most notably, the previous long-term objective to reduce operating spending to below 30 per cent of GDP was replaced with a long-term objective of keeping spending around 35 per cent, reflecting its views about the appropriate role for government. Achieving the previous government's expense objective was unlikely to be achieved without significant reductions in government services over the long term.[2] The goal was clarified in 2001 by making explicit the expenditure-smoothing role of the New Zealand Superannuation (NZS) Fund. While the fund is being built up, operating expenses plus contributions to the Fund will be around 35 per cent of GDP; as the fund is drawn down, expenses minus drawdowns will stay around 35 per cent. In this way, expenditure plans have a 40-year horizon,[3] ensuring that future demographic pressures can have an influence on current budget settings. This long-term view is admirable.

The objectives will soon change again, but not fundamentally, as a result of improvements to accounting standards. At present, the Crown accounts refer only to core government, which consists of departments plus the bulk of spending on health and education. Spending by other government agencies – Crown entities (CEs) and State Owned Enterprises (SOEs) – does not appear "above the line" in the accounts. Instead, only their operating surplus is included as a separate contributor to the Crown operating balance. This is sensible in the case of SOEs, which are commercial enterprises over whose spending levels the government has

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little control. In the case of CEs, any spending that is financed by third party revenue such as levies or fees, rather than through the core Crown, appears off the books and will not show up in the expense-to-GDP figures. From the 2002/03 financial year, accounting changes mean that financial statements will fully consolidate on a line-by-line basis all revenues, expenses, assets and liabilities of SOEs and CEs. As a consequence, the government will make small changes to its long-term targets, although they will be similar in spirit to the previous ones. The debt objective has been simplified and will refer only to gross debt (net and gross debt will diverge due to growth in the student loan portfolio),[4] but the numerical target will remain "below 30 per cent of GDP". However, the expense objective will continue to refer only to the core Crown rather than Crown-plus-CEs. An additional change is that the accounts will move from a GST-inclusive to a GST-exclusive basis, but with no reduction in the numerical targets. This has the effect of increasing the expense target by around 1 percentage point of GDP.

Recent outcomes and fiscal plans

At the start of its term, the government set itself two limits, or fiscal provisions consistent with its long-term fiscal objectives, which in essence are caps on new spending over the term of its office. The first provision is for operating expenditure, the second for capital items. These are described in more detail in Chapter III, but in simple terms they represent limits on discretionary spending, while the amount of non-discretionary spending depends on what the business cycle delivers. The operating provision is calculated in net terms (*i.e.* discretionary spending decisions minus tax policy changes) but is not necessarily allocated to specific areas (NZ$ 500 million remains to be allocated in 2002's Budget set for 23 May). The government initially set itself a limit of a cumulative (net) NZ$ 5.9 billion of new operating expenditure until 2002/03, but it later relaxed this cap by around 3 per cent, to NZ$ 6.1 billion. The increase in the provision is not large, but it is unfortunate that these pressures could not have been managed by finding savings elsewhere.

However, to keep this in perspective, it is useful to compare the fiscal stance with what was inherited when it came into office in 1999. The Pre-election Fiscal Update, published just before 1999's election, had projections of the operating balance based on the then-existing policy settings, including a provision for future changes in spending and tax rates. In its first Budget Policy Statement (BPS) in March 2000, the new government significantly lifted spending plans but funded most of that by cancelling the previous government's proposed tax cuts and raising the top marginal tax rate from 33 to 39 per cent. As a consequence, its projected operating surplus for 2002/03 was largely unchanged. Since then, changes to forecast surpluses have been fairly small and mostly caused by forecasting changes (Table 8).[5] For 2000/01, the operating surplus was around ½ percentage

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Table 8. **Changes to the operating balance**
NZ$ million, June years

	2000	2001	2002	2003	Total
Operating balance, 1999 pre-election update	**14**	**796**	**1 659**	**2 341**	
Policy changes	–24	–28	41	–156	–167
Tax changes	116	862	971	1 024	2 973
Increase in spending provision	–140	–890	–930	–1 180	–3 140
Forecasting changes	410	232	200	16	857
Budget policy statement, March 2000	**400**	**1 000**	**1 900**	**2 200**	
Policy changes	–270	1	22	–30	–277
Revenue initiatives		1	117	123	241
Expense initiatives		–152	–768	–849	–1 769
Drawdown from provision		172	643	716	1 531
Change in provision	–270	–20	30	–20	–280
Forecasting changes	1 319	408	–937	–347	449
Total changes since March 2000	1 049	409	–915	–377	172
Operating balance, December 2001 update	**1 449**	**1 409**	**985**	**1 823**	
Per cent of GDP	1.4	1.2	0.8	1.5	

1. A positive number represents an increase in the surplus.
Source: Crown financial statements.

point higher than the pre-election forecast, and the forecast for 2002/03 is only slightly worse. Hence, the overall fiscal stance is much the same as the previous government's, but with a different mix between spending and taxation. After adjusting for the business cycle and one-off valuation effects, the operating surplus as a proportion of GDP has been about a percentage point either side of 1½ per cent since the mid-1990s (Figure 13).

Under these policy settings, recent fiscal outcomes have been good. The operating balance for 2000/01 came in at 1.2 per cent of GDP, approximately unchanged from the previous year. The underlying balance, which excludes one-off revaluation items, was 1.9 per cent of GDP, up from 0.8 per cent.[6] Since then the impact of the slowdown has trimmed forecast surpluses, although they continue to be healthy. The operating balance in 2002/03 is forecast to be 1½ per cent of GDP, 0.4 percentage points lower than had been forecast in mid-2001.

Looking to the future, the government's December 2001 BPS laid out the broad fiscal settings for 2002 and beyond. Operating surpluses are forecast to rise steadily over the medium-term, reaching 2¾ per cent of GDP by 2005/06, despite allowing for future spending growth and a short-term economic slowdown. Revenues are expected to be fairly stable as a proportion of GDP, so most of the increase in the surplus is due to a reduction in primary expenses, with a small contribution from lower debt-servicing costs.

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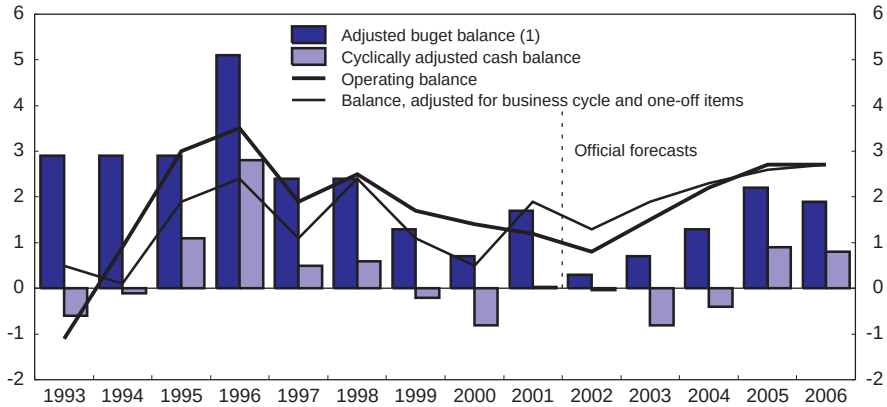
Figure 13. **The fiscal stance**
Per cent of GDP, June years



1. The lines show two measures of the operating balance: the headline operating surplus and the cyclically-adjusted balance excluding valuation changes and extraordinary items (the cyclically-adjusted OBERAC). The bars show two measures of the overall fiscal stance, including capital spending. The dark bars show the adjusted budget balance, which is the cyclically-adjusted primary balance, excluding defence capital (which is mostly imported) and the impact of Air New Zealand (¾ per cent of GDP in 2002). The change in this series is referred to as the fiscal impulse. The lighter bars show the cyclically-adjusted cash balance.

Source: New Zealand Treasury.

By far the greatest pressure on operating expenditures in recent years has come from the health sector, where spending has grown by more than 6 per cent per year for a decade (Figure 14). While demographic changes have played a part, the majority is due to greater demand and increased costs. In an attempt to manage health spending better, the government committed itself to a three-year funding package for the sector, paid for out of the operating provision. The health baseline will increase by NZ$ 400 million each year over-and-above the roughly NZ$ 100 million that comes from automatic demographic adjustments.[7] This move should assist long-term planning in the sector, but it means there is little provision left to manage cost pressures in other areas, and virtually none to allow for volume growth elsewhere. This will require future fiscal discipline to be at least as stringent as it has been over the past few years.

The operating surplus tells only half the story, however. A measure of the "impulse" effect of fiscal policy is the structural primary balance, which takes account of both operating and capital expenditures but excluding debt servicing payments, cyclical effects, and defence investments (as almost all military capital

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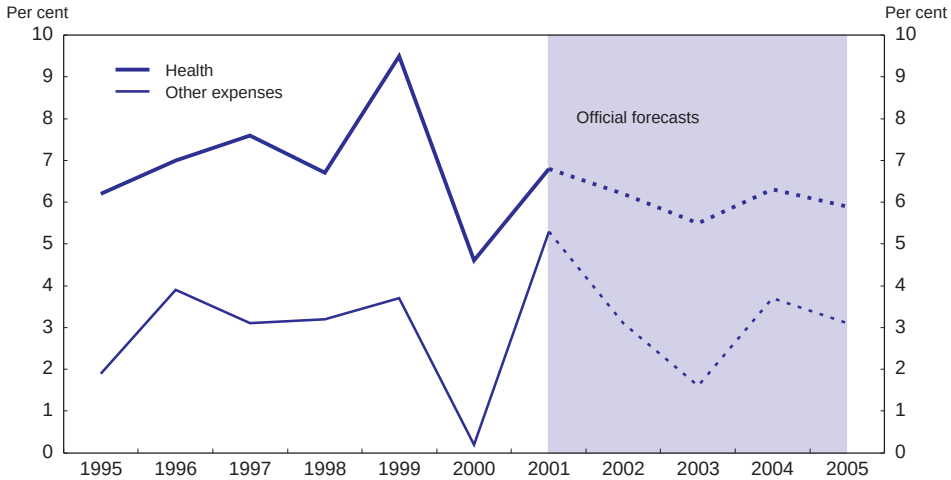
Figure 14. **Health expenditures continue to outstrip other parts of the budget**
Growth in expenses, per cent per year, June years



Source: New Zealand Treasury.

is imported). By this measure, fiscal policy has recently become more stimulatory (Figure 13). The capital provision has been increased substantially as needs arose: it was changed for a fourth time in December's BPS, and now stands at NZ$ 4.4 billion for the current term of office (Table 9). Much of the increase since the 2001 Budget is due to the purchase of Air New Zealand, plus the bringing for-

Table 9. **Evolution of the capital provision**
NZ$, June years

	2000	2001	2002	2003	**Sum 2000 to 2003**	2004	2005	2006
Budget Policy Statement, March 2000[1]		695	737	751	**2 183**			
Budget, June 2000	–54	900	750	750	**2 346**			
Update, December 2000	–69	1 000	1 100	1 100	**3 131**			
Budget, May 2001	–69	639	1 256	1 172	**2 998**	850	850	550
Budget Policy Statement, December 2001	–69	639	2 291	1 585	**4 446**	939	463	435

1. This includes changes to the student loan scheme plus an "indicative" provision that was expected to be, and was, raised in the following Budget.

Source: Crown Financial Statements.

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ward of NZ$ 500 million of investment that was planned for 2005 and beyond. When operating and capital spending are combined, the overall fiscal position (or cash balance) has swung from surpluses well above 3 per cent of GDP in the mid-1990s to a deficit in 2001/02, although it is expected to switch back into surplus reasonably quickly (Table 10).

The major investment requirements are for hospitals, prisons and defence, where assets have become run-down. To this can be added large looming requirements for transport infrastructure, especially road building in Auckland, in which investment may be partially matched by local government (see Chapter IV). However, most of the capital spending over the medium term will go towards financial assets: building up the NZS Fund and student loans. Consequently, gross debt is forecast to remain a percentage point or two above the long-term target of 30 per cent of GDP until the end of the decade, although this should be kept in perspective: debt levels remain modest; net debt is already below the government's long-term target of 20 per cent of GDP; and investment is rising from a relatively low base. If NZS assets are taken into account, net debt is projected to fall to zero by the end of the decade. On the other hand, most of the projected fiscal improvement occurs in the outer years: the outlook until the middle of the decade is for a slight deterioration in most indicators. Consequently, the medium-term fiscal situation will clearly be on a worsening path unless future governments can keep within the allowances for expenditure growth that are built into the medium-term forecasts. Second, projections are subject to forecasting risk. While the official forecasts are based on fairly prudent macroeconomic assumptions, the terms of trade – the key driver of nominal GDP growth in the past couple of years – are assumed to settle at a level that is fairly high by historical standards. The expense and debt objectives will be that much harder to achieve if these forecasts are not realised.

Of greater concern is the quality of some of the investment decisions. Around a quarter of the capital budget has gone towards increasing the generosity of the student loan scheme (Table 11). This was done to make tertiary education more affordable, but whether it is likely to contribute towards the government's desired social outcome of fostering education and training to improve the nation's skills is considered in more detail in the next chapter. Other major decisions include the purchase of Air New Zealand and Auckland's rail assets, and the creation from scratch of a new state-owned bank.

The government bought an 82 per cent stake in the national carrier, Air New Zealand, in January 2002 following the collapse of its Australian subsidiary, Ansett (which had been losing money throughout 2001). This cost NZ$ 885 million, with a commitment for a further NZ$ 150 million before June 2003, plus NZ$ 70 million per year in interest costs. Government financial support or statutory management of the airline were the only viable options given that there was

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Table 10. **Overall financial position (change in debt)**

Revenue, spending and overall surplus of the Crown,[1] per cent of GDP, year to June

	1999	2000	2001	Official projections				
				2002	2003	2004	2005	2006
Revenue	35.7	34.1	34.6	33.9	33.7	34.1	34.4	34.4
Operating expenses (accruals basis)	35.2	33.8	33.4	33.3	32.9	32.6	32.4	32.4
Revenue less expenses	**0.5**	**0.3**	**1.1**	**0.6**	**0.8**	**1.5**	**2.1**	**2.1**
Retained surplus of Crown agencies	1.2	1.0	0.1	0.3	0.7	0.7	0.7	0.6
Extraordinary items[2]	–1.5	–0.5	0.6	0.2				
"Underlying" operating balance (OBERAC)	**0.2**	**0.8**	**1.8**	**1.0**	**1.5**	**2.2**	**2.7**	**2.7**
Net investment in physical assets	0.1	0.1	0.2	1.4	0.7	0.8	0.2	0.2
Purchase of physical assets[3]	0.9	0.8	1.0	2.2	1.6	1.6	1.0	0.9
minus maintenance of existing assets[4]	–0.8	–0.8	–0.8	–0.8	–0.8	–0.8	–0.8	–0.7
Other Items	–2.2	0.4	0.4	0.6	1.0	0.9	0.8	0.8
Impact of asset sales	–2.8	0.0	–0.1	0.0				
Retained earnings	1.2	0.5	0.5	0.4	0.7	0.7	0.7	0.6
Other	–0.7	–0.1	0.1	0.1	0.3	0.2	0.1	0.1
"Net lending" (reduction/(increase) in net debt)[5, 6]	**2.3**	**0.3**	**1.2**	**–0.9**	**–0.3**	**0.5**	**1.8**	**1.8**
Investment in financial assets (excl. NZS[7])	1.2	–0.3	1.9	–1.2	0.0	1.1	0.6	0.6
Student loans	0.5	0.5	0.6	0.6	0.6	0.6	0.6	0.6
Other	0.7	–0.8	1.3	–1.8	–0.6	0.4	0.0	0.1
Contributions to NZS Fund				0.5	1.0	1.5	1.8	1.9
Reduction/(increase) in gross debt[6]	**1.2**	**0.6**	**–0.6**	**–0.3**	**–1.3**	**–2.1**	**–0.7**	**–0.7**
Memorandum Items:[8]								
"Total" expenditure[9]	35.8	34.4	34.2	35.3	34.3	34.0	33.2	33.1
Net debt as per cent of GDP								
Including superannuation fund assets	21.3	20.0	17.5	17.7	17.4	16.0	13.5	11.2
Excluding superannuation fund assets	21.3	20.0	17.5	18.2	18.9	19.0	18.2	17.6
Gross debt as per cent of GDP	36.1	33.6	32.2	31.2	31.4	31.9	31.3	30.7

1. Spending by Crown entities that is funded by third-party revenue (such as levies and charges) is not included. However, their net surplus (revenue minus spending) is included as part of the operating balance.
2. Extraordinary items include the gain on sale of assets, revaluations of the unfunded ACC and Government Superannuation Fund (GSF) liabilities, and other items that make up the difference between the operating balance and OBERAC.
3. The figure for 2002 includes the purchase of Air New Zealand (¾ per cent of GDP).
4. The maintenance of existing assets is subtracted off because it is already accounted for as an operating expense (depreciation).
5. Includes assets in the New Zealand Superannuation (NZS) fund. Hence this definition of net debt is not the same as that used in New Zealand's *Financial Statements*, but it is a more internationally comparable definition.
6. A positive number indicates a "surplus" (a reduction in debt).
7. New Zealand Superannuation Fund.
8. All figures above are "flow" measures, converted to a proportion of GDP. The changes in the debt ratios below reflect both changes in the numerator (shown as the "net lending" and "reduction/(increase) in gross debt" items in this table) and changes in the denominator (*i.e.* nominal GDP).
9. Operating expenses plus net purchase of physical assets and student loans.

Source: Crown Financial Statements.

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Table 11. **Major capital expenditures**
NZ$ million, 2000-03 June years

Student loans[1]	1 152
Purchase of Air New Zealand	1 035
Housing[2]	511
Hospitals and health sector	447
Prisons	206
Other education spending	184
Venture capital fund	100
funded by equity withdrawal from other agencies	–100
Purchase of Auckland's rail corridor	81
Kiwibank	78
Other	261
Unallocated (as at December 2001)	491
Total	**4 446**

1. This is an ongoing expenditure, costing around NZ$ 350 million per year.
2. Around NZ$ 100 million of this is debt-refinancing (core government taking over debt of one of its agencies) so does not represent capital expenditure by consolidated government. Similar refinancing has also taken place in the health sector.

Source: Crown Financial Statements.

little chance of an equity injection from any other party, especially after 11 September. The government chose a financial injection because it was unsure whether trade and tourism would be materially disrupted if the business went into statutory management, and particularly if it then went into liquidation. In any event, there is little public policy rationale for long-term ownership of an airline, so it should be fully privatised when market conditions improve.

The government has also spent NZ$ 78 million creating Kiwibank, a retail bank that will operate through the existing branch network of NZ Post, the state-owned postal company. It is targeting depositors who are currently dissatisfied with transaction fees at other banks. Most lending will be for home mortgages, but that will inevitably draw it into what amounts to small-scale commercial lending as household mortgages are often used to finance small businesses. The investment does not attempt to fill any public policy need: for example, it will not materially increase access to banking services in small town as only 9 out of 300 branches will be in areas that do not have a nearby bank. Instead, NZ Post put forward the proposal in an attempt to maintain profitability in the face of declining demand for its core business of delivering standard letters. Yet that is not a sufficient reason for public investment: the government should not compete with the private sector in a business venture unless there is a sufficient public policy reason, such as an attempt to fix a market failure. The exercise has highlighted an inherent drawback of the government owning commercial enterprises in a market where technological change is forcing those enterprises to either diversify or shrink.

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As of June 2001 government agencies held assets valued at NZ$ 83 billion, split roughly equally between physical and financial assets. Approximately NZ$ 10 billion was in SOEs, the bulk of which are electricity generation or distribution companies. SOEs are run on a fully commercial basis, so they have little if any public policy role. A partial or full sell-off of some of these assets would allow the government to fund its other investment priorities while still remaining within its overall fiscal limits, and would introduce a more market-based approach to corporate governance. The government has ruled out asset sales, but it has begun to explore other ways of raising capital, such as a public-private partnership (PPP) in a new business school in Auckland. PPPs are rare in New Zealand (one prison is run under a PPP scheme), and a greater willingness to use them has the potential to boost the quality of investment spending, although international experience has shown that they can turn out badly unless contracts and incentives are carefully framed.

To sum up, in broad terms the fiscal stance is appropriate in the short term (fiscal stabilisers are being allowed to work fully) and reasonably so in the medium term. The operating balance is in comfortable surplus, most of which is being set aside to help pay for future pension spending. The cash balance has fallen into deficit this year as a result of the purchase of Air New Zealand, but it is forecast to quickly switch back into surplus. The main challenges over the medium term continue to be: *i*) keeping health care spending within its cap; *ii*) ensuring that all other operating spending is held within the limited provision left over once health care has taken its slice; and *iii*) boosting the quality and keeping a rein on investment in physical and financial assets. If these cannot be achieved, then nor will the government's long-term debt and net worth objectives. Achieving all these goals simultaneously without jeopardising social goals or raising taxes will depend on retaining sound top-down expenditure control and taking steps to ensure that resources are focussed on the highest-priority areas. These themes are taken up in more detail in the next chapter.

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III. Next steps for public spending: the pursuit of effectiveness

Overview and main themes

New Zealand began an ambitious fiscal reform in the late 1980s, trying to boost the quality and reduce the level of public spending. This involved a change in the role of the state, re-engineering the public sector and, a few years later, creating a transparency-based framework in an attempt to impose better top-down expenditure control. On the whole, these moves have been successful. Reforms began with one of the OECD's most aggressive corporatisation and privatisation programmes, and this, combined with an efficiency drive, reduced general government outlays from more than 50 per cent of GDP in 1986 to less than 40 per cent at present. The central government operating accounts moved into surplus in 1994 and have remained there since, and the fiscal provisions framework can take some of the credit for this. New Zealand has also moved further than many countries in reforming public management, by removing most input controls and giving managers broad freedoms to run their agencies, but at the same time making them accountable for the results. Consequently, its best public agencies are world class.

However, New Zealand has not pushed further ahead, while other countries have caught up. As a result, one (admittedly uncertain) indicator of government efficiency ranked New Zealand best in the OECD in 1999, but it has since slipped to thirteenth place (IMD, 2001). Demographic trends and a strong economic recovery since the 1991 recession opened a window of opportunity to lock in large surpluses and make room for future age-related spending pressures. While undoubted progress was made, there was an opportunity for more to be done. Consequently, an extra burden will be placed on other areas of spending, implying a need for greater attention to ensuring that scarce resources are channelled to the highest priority areas and to how greater value for money and better outcomes can be delivered.

This chapter reviews the strengths and weaknesses of the public management framework and discusses an agenda for further reform. There are several broad themes. The *first* is that the current public management machinery is good at producing outputs cheaply and often in innovative, responsive and market-driven ways.

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It is less good, however, at choosing what to produce in the first place (in the jargon, technical *versus* allocative efficiency). This is partly because there has been more focus on outputs than outcomes, and not enough evaluation of whether programmes are achieving their objectives. Decisions that are made on the basis of political and economic judgement, but with little supporting evidence, crop up in several places. S*econd*, after being opened up to some extent in the 1990s, competition and choice in the provision of social services are being discouraged for various reasons. Examples include schools, tertiary and early childhood education, accident insurance and health. T*hird*, while market-based mechanisms such as user charges, contracting out and implicit vouchers have become commonplace in several areas, there is a reluctance to extend them further into social policy areas such as education and health, but also into areas such as road transport. A preference for co-operation and partnership as a substitute for instruments that use incentives to achieve desired social outcomes is most clearly seen in the social assistance area. F*inally*, there is a move back towards more universal provision of social services and for public providers to be favoured over private ones. Universal provision is expensive, but it has the advantage of reducing problems associated with high marginal effective tax rates (METRs). There are some cases, however, where the extra expense probably outweighs the potential benefits, so outcomes are not being achieved in the most cost-effective way.

Long-term expenditure trends: rise, fall, stabilisation

Government spending has grown substantially since the 1960s, with most of the growth being in merit goods and transfers rather than public goods (Table 12 and Figure 15). A distinctive feature of New Zealand's history is its very large public investment programme in the 1970s and 1980s, averaging around 7½ per cent of GDP. It began after the second oil shock and was concentrated in major energy projects, such as hydro-electric dams and synthetic petrol plants, in order to reduce the reliance on imported oil. But expenditure growth was not confined to investment. Income transfers have increased from 6 per cent of GDP in the early 1960s to 12½ per cent today, driven by a rise in the unemployment rate and the introduction of a universal pension in 1972. They are now higher than in other English-speaking countries, but much less than in continental Europe.[8] Expenditure growth from all sources led to a blow-out in the structural deficit in the mid-1970s and again in the mid-1980s to as much as 8 per cent of GDP. A reformist government then sought to control spending, but the unemployment that flowed from economic restructuring stymied their plans. Spending continued to rise, and the fiscal gap was plugged by a faster increase in taxation. The net effect was that the general government spending ratio remained around 50 per cent of GDP until serious expenditure control began in the early 1990s. Welfare cutbacks played an important part, with benefit rates being reduced, eligibility criteria tightened, and the pension-eligibility age being raised from 60 to 65.

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Table 12. **General government spending**[1]

Per cent of GDP

		Merit goods				Income transfers					
	Total excluding interest	Total	Education	Health	Other social services	Total	Pensions	Disability and sickness benefits	Family cash benefits	Unemployment	Housing and other benefits
New Zealand											
1999	36.1	12.3	6.0	6.1	0.1	13.8	5.4	2.9	2.4	2.2	0.9
1986	41.8	9.9	4.1	5.8	0.0	13.6	7.1	1.7	2.6	1.7	0.5
1972[2]	28.3	8.4	4.5	3.9	..	8.1	..	..	..	..	..
Australia	30.5	10.9	4.3	5.4	1.2	10.2	4.2	2.1	2.2	1.5	0.2
Austria	46.0	13.8	6.0	5.8	2.0	19.0	12.8	2.5	1.9	1.4	0.4
Belgium	40.4	11.4	5.0	6.1	0.3	18.1	9.8	2.0	2.0	3.8	0.3
Canada	31.0	12.1	5.5	6.6	..	11.2	5.5	1.0	0.8	1.4	2.6
Czech Republic	42.7	11.1	4.1	6.5	0.5	12.7	7.6	2.7	1.6	0.5	0.3
Denmark	47.8	18.8	6.8	6.8	5.2	17.8	6.8	2.6	1.5	5.0	1.8
Finland	44.0	14.0	5.7	5.3	3.0	18.3	8.0	3.5	1.9	3.9	1.0
France	48.4	15.0	5.9	7.3	1.9	19.7	12.2	1.6	1.5	3.1	1.3
Germany	42.7	13.7	4.4	7.8	1.6	18.0	11.0	1.7	1.9	2.6	0.8
Greece	43.3	9.1	3.4	4.7	1.0	16.9	12.2	1.9	1.2	0.7	1.0
Iceland	35.7	16.8	6.5	7.0	3.2	8.2	4.3	1.6	1.2	0.5	0.5
Ireland	29.5	9.5	4.3	4.6	0.5	10.6	3.5	1.5	1.6	2.9	1.2
Italy	39.8	10.8	4.8	5.5	0.5	19.1	15.4	1.7	0.6	1.4	0.0
Japan	32.7	9.8	3.6	5.6	0.6	8.4	6.7	0.6	0.2	0.7	0.2
Korea	22.5	6.7	4.1	2.4	0.3	3.3	2.1	0.4	0.0	0.6	0.2
Luxembourg	39.8	11.3	5.0	5.4	0.9	15.2	8.7	3.1	2.3	0.8	0.3
Netherlands	38.8	12.1	4.5	5.9	1.7	16.1	7.0	3.4	0.8	3.9	1.0
Norway	43.9	18.6	6.8	7.1	4.7	15.2	6.3	4.3	2.2	1.4	0.9
Poland	43.4	10.2	5.3	4.6	0.2	18.4	10.2	5.9	0.9	1.0	0.4
Portugal	37.3	11.3	5.6	5.1	0.6	12.5	7.7	2.3	0.6	1.6	0.3
Slovak Republic	50.7	0.5	..	..	0.5	13.3	6.3	3.1	1.8	0.8	1.2
Spain	36.1	10.2	4.4	5.3	0.4	13.9	8.9	2.3	0.3	2.2	0.2
Sweden	49.9	18.6	6.6	6.6	5.4	18.9	8.2	3.5	1.6	3.9	1.7
Switzerland	32.0	13.9	5.4	7.7	0.8	19.9	12.5	3.4	1.2	1.8	0.9

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Table 12. **General government spending**[1] (*cont.*)

Per cent of GDP

		Merit goods				Income transfers					
	Total excluding interest	Total	Education	Health	Other social services	Total	Pensions	Disability and sickness benefits	Family cash benefits	Unemployment	Housing and other benefits
Turkey	36.2	8.2	2.9	5.0	0.2	9.1	6.3	0.3	1.0	1.0	0.5
United Kingdom	34.3	11.6	4.6	5.6	1.3	17.8	10.8	2.8	1.7	0.6	1.8
United States	26.4	11.0	4.8	5.8	0.3	8.2	5.9	1.1	0.2	0.4	0.5
OECD average	38.6	11.9	5.1	5.8	1.4	14.4	8.1	2.4	1.3	1.8	0.8

1. Data is for 1999, or 1998 when not available. Education data always concern 1998. Data is from different sources, so public goods cannot be calculated as total government outlays minus merit goods and transfers.
2. OECD estimate based on several sources, so figures for 1972 are not entirely reliable.

Source: OECD.

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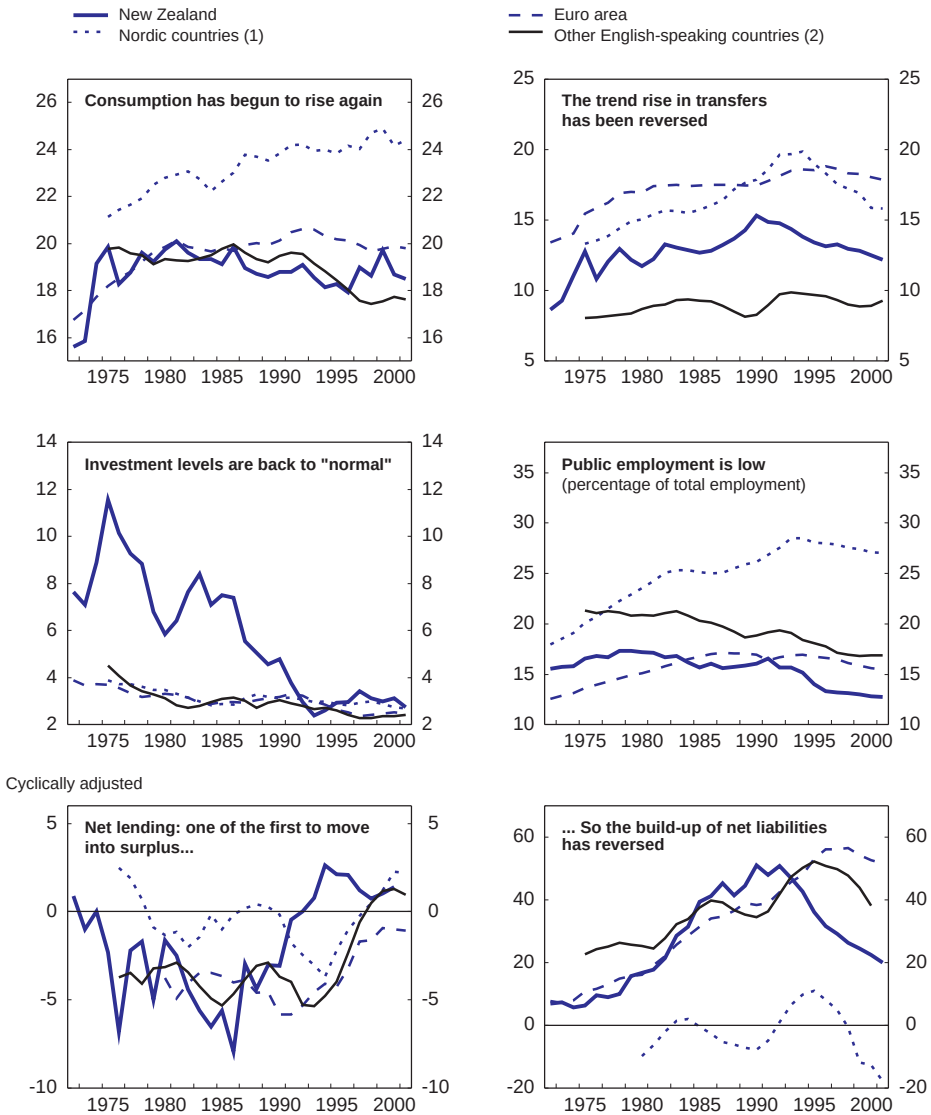
Figure 15. **Trends in general government spending**
Per cent of potential output



1. Denmark, Finland, Norway, Iceland, Sweden.
2. Australia, Canada, United Kingdom, United States.
Source: OECD.

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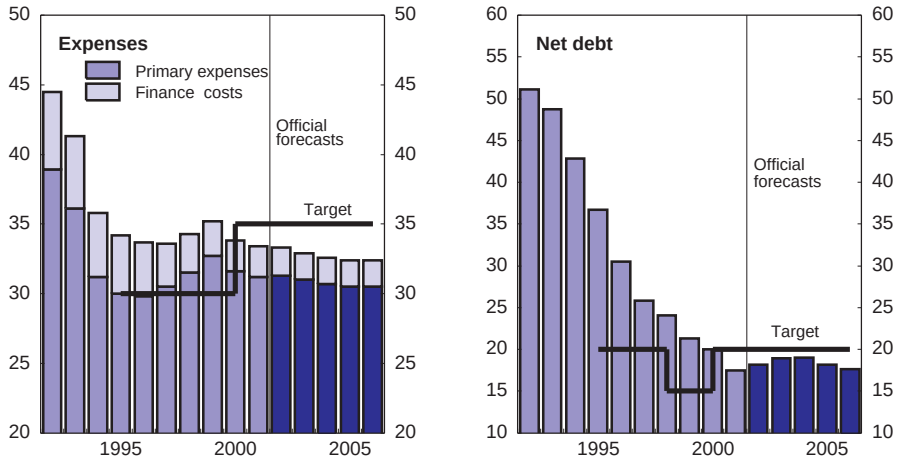
Figure 16. **Progress towards objectives has been mixed**
Per cent of GDP, June years



Source: New Zealand Treasury.

The Fiscal Responsibility Act (FRA) has played a part in expenditure restraint, but in a limited way. It came into effect in 1994, just as the Crown accounts were moving into surplus, and a key objective was to maintain those surpluses in order to reduce debt. That has been achieved, so that net debt as a proportion of GDP has halved since the Act came into force (Figure 16). On the other hand, it requires the government to set long-term objectives for operating expenses.[9] Progress towards the expense objective has been less impressive. The original goal was to reduce expenses below 30 per cent of GDP, and while they fell considerably in the early 1990s, little headway has been made since. The current government altered the target in 2000 to mirror current expense levels rather than driving them down further in any material way.

A *partly-seized opportunity?*

With favourable demographics, the 1990s gave a window of opportunity to lock in surpluses and make room for looming age-related spending pressures. That opportunity was partially seized: debt was reduced significantly; taxes fell; and spending was maintained as a proportion of GDP. In the nine fiscal years to June 2002, nominal operating expenses increased by around NZ$ 10 billion. A

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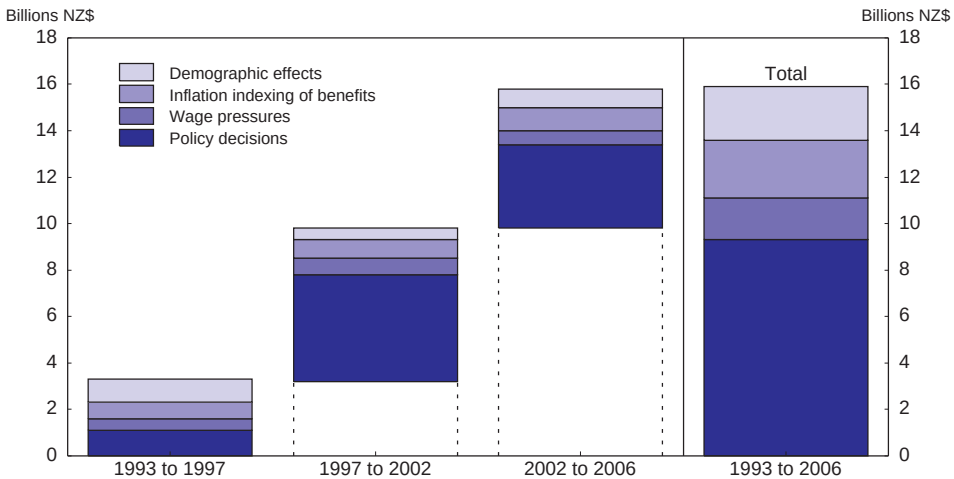
small amount of this was caused by population growth, and some by inflation indexation of benefits and other cost pressures, but more than half has been the result of explicit policy decisions (Figure 17). Without this spending increase, the operating surplus could have been as much as 5 per cent of GDP in 2001/02, rather than the forecast 1 per cent.[10] While New Zealand's future pension problem will not be as difficult as in many other OECD countries, the costs will still be significant (Figure 18). By far the biggest step towards controlling future costs has been raising the pension eligibility age from 60 to 65. In addition, the pension was more targeted between 1986 and 1998. The government has now begun to set aside surpluses in a Superannuation (NZS) fund, which is being managed at arms-length by government-appointed trustees. While this is a useful additional step, it will not reduce the fiscal cost of an ageing population, but only spread it more evenly through time (unless it brings about a concomitant increase in national saving and investment, which is far from certain). By doing so, superannuation costs are projected to peak at around the same level as if pensions had continued to be targeted (Figure 18). In any event, only partly taking up the fiscal opportunity will make further parametric reforms to pensions more likely. It certainly places an extra burden on other areas of spending, which will force greater attention to be paid to how value for money and better outcomes can be assured.

Figure 17. **Reasons for the increase in spending**

NZ$ billion, June years



Source: Crown Financial Statements and OECD calculations.

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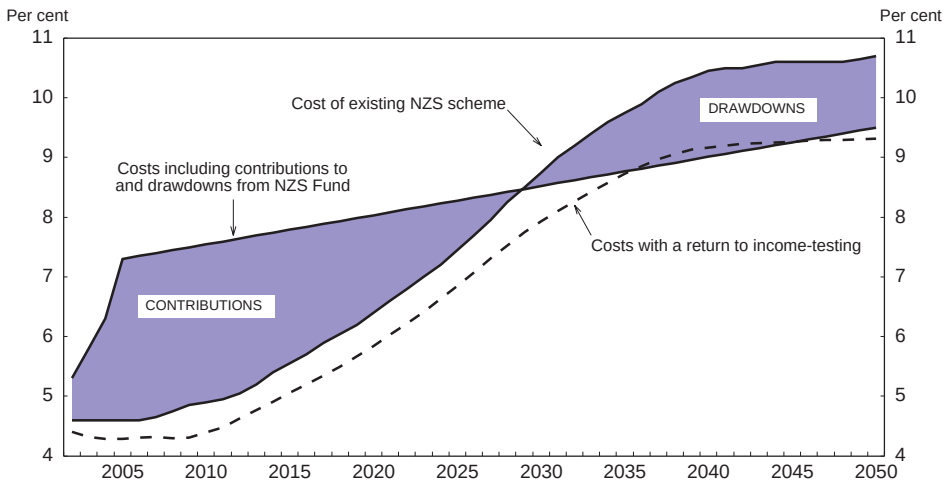
Figure 18. **The rising cost of superannuation**
Per cent of GDP



Source: OECD estimates based on NZ Treasury model.

Budget strategy: making sure the budget mirrors the government's goals

New Zealand launched a thorough overhaul of public management in the late 1980s, reforming more deeply and more broadly than most other OECD governments. The most important aspects of the reform (Box 2) involved making it clear what agencies were supposed to be doing (controlling them by telling them what outputs they were required to produce, not what inputs they were permitted to use), giving managers a free rein over how they went about their business (managerial freedom plus accountability) and providing better management information (accrual accounting). Conglomerate departments were re-organised into smaller, more focussed units, using the principle of "one purpose, one organisation." Most of the other reforms, such as separating policy advice from the delivery of outputs, were to support this basic framework by giving managers more options over how they delivered outputs and by removing conflicts among objectives.

The framework has several strengths. First, there is convincing evidence that these reforms have raised efficiency.[11] No single study is definitive, but the evidence is broadly consistent across several approaches: econometric studies of unit costs; surveys of public managers and the public themselves; and output price reviews, which are line-by-line reviews of departmental spending, under-

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Box 2. Public management reforms

Clarifying the objectives. New Zealand's system is often described as a "contractual" model in which ministers write contracts with department heads (chief executives), which specify what outputs they are buying and at what price. Appropriations are made to ministers who can buy from government agencies or from outside suppliers (in reality, most purchase from their "own" department). Appropriations are made for output classes, which are bundles of related outputs. While it can be helpful to think of the system as being like private-sector contracting with an arms-length relationship between the purchaser and provider of services, this exaggerates the similarities with formal contracts and overplays the distance between ministers and their departments. In practice, the detailed purchase agreements are just a formal way to create a dialogue so that both parties know what is expected of them. Consequently, the quasi-contracts, and the accountability paperwork that supports them, can (and are) being simplified without losing the essential element of clarity about objectives.

Freedom to manage. Permanent heads of departments were replaced by chief executives on fixed-term contracts (of up to five years), with the possibility but no expectation of renewal. They have been given considerable freedom over how they manage their departments. Although there are some exceptions, chief executives are free to choose the most efficient mix of inputs to produce each output. They employ staff and negotiate terms of employment directly (although centralised wage bargaining remains in some areas such as teachers and nurses).

A consequence of this devolved management approach is that decisions on whether to produce in-house or to contract out are largely left to managers. Information on the extent of contracting out is therefore difficult to come by, although a 1997 study (which was itself contracted out; see DTT, 1997) estimated the figure to be around ten per cent of spending. This is most prevalent for back office functions (inputs) such as IT services and banking, although some outputs are provided by third parties, including some social services.

Better information for managers. The Public Finance Act 1989 introduced accrual accounting at the departmental level, although not at the total government level. This came later in the Fiscal Responsibility Act 1994. The government is now required to follow Generally Accepted Accounting Practices (GAAP) and has improved financial information by accounting for depreciation and charging for the cost of capital tied up in an agencies' balance sheets.

taken by the Treasury and initiated by agencies who feel they have reached the limits of productivity gains within existing baselines. There is also considerable anecdotal and survey evidence that the public sector is now providing better-quality services and is more innovative and responsive to the needs of the public. However, there have been occasional failures, such as difficulty getting through the tax department's labyrinthine computerised telephone system and delays in

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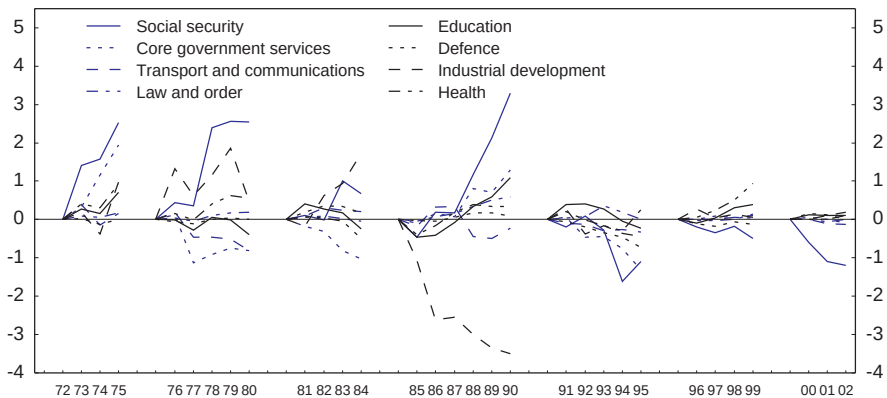
the disbursement of student loans. Yet it is notable that service delivery problems of this sort have resulted in public outcry rather than being regarded as typical of government agencies, as they may have been in the past.

There are also some areas requiring further focus. The biggest challenge for the public management system is to improve the alignment between the allocation of resources and the government's overall goals. The Secretary to the Treasury commented that "it was interesting in the 2000 budget round that out of 500 budget proposals from spending ministers, only a handful offered up savings, particularly given that there was a new government in office, which may have wished to discontinue or reprioritise some existing programmes" (Bollard *et al.*, 2001). The State Services Commission (SSC), which oversees the public service, has also noted a weak connection between strategy and spending, with budget allocations having a strong historical bias. Such problems are common place[12] but, even so, there are examples of countries that do appear to have been successful.[13] In addition, and bearing in mind the obvious difficulties of making such comparisons, there is some tentative evidence that New Zealand's budget allocations in the 1990s were stable by historical standards across relatively broad categories (Figure 19).

Figure 19. **Spending patterns have become more stable over time**

Cumulative increase in spending relative to a balanced growth path[1]

Per cent of GDP



1. The balanced growth path assumes that all spending categories grow at the same rate as nominal GDP. Data before 1994 is on a cash basis; data afterwards represents expenses on an accrual basis.

Source: Crown Financial Statements and OECD calculations.

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To the extent that stability of budget allocations reflects rigidities in the system, there would seem to be three primary causes, each of which is developed further in the following sections:

- *Not enough evaluation*. Although the budget process forces a detailed examination of new spending proposals, this represents only 5 per cent of total expenditure. There is no centrally driven, systematic or regular review of the remaining 95 per cent.
- *Insufficient focus on outcomes*. Outcome management has been underdone, partly because managers have had insufficient incentives to develop an information base and analytical capability, and partly because of insufficient push from the centre. The balance between efficiency and effectiveness could be improved by focussing more on outcomes.
- *Not enough central stewardship*. Literally hundreds of agencies have been sent into the field, each with their specific "orders". This fragmentation, in combination with managerial freedom, has been one of the main reasons why the machinery has been successful at extracting efficiency gains. However, it makes re-allocation difficult, unless supplemented with strong strategic management from the centre so that agencies and resources are redirected when government priorities change. This is not done as well as it could be, for several reasons, one of which is that, in general, the pools of money are too small and scattered too widely. In addition, the government's strategic priorities are too vague to allow agencies to "redirect themselves". However, the government's recent *Review of the Centre* is addressing some of these concerns.

Regular and comprehensive programme review is needed

Fiscal pressures in the 2000 budget round led the government to undertake a partial review of baseline expenditure in its *Value for Money* exercise. The effort, however, generated savings of only around NZ$ 65 million per year (just 0.2 per cent of spending). Part of the problem may have been that it was driven from the top down, with insufficient support from agencies or spending ministers. A possibly more important reason is that it was relatively unstructured. There was, and still is, no systematic framework for assessing value for money. A regular programme review process needs to be put in place, with an emphasis not on whether a particular output is being delivered efficiently, but on whether it is high priority for public expenditure in the first place. The suggestions of Canada's Auditor General would be a useful starting point (Box 3). Evaluation on its own is not enough. Government must clearly support the process, and ministers must be willing to cut programmes that are not performing. The process could also benefit from oversight by an independent agency.

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Box 3. **Questions to evaluate value for money**

1. Does the programme still serve a clearly defined public purpose that matters?
2. Is this an appropriate role for government?
3. Would we establish the programme today if it did not already exist?
4. Is it desirable to maintain it at its current level?
5. Can it be delivered more effectively or efficiently? Have there been changes (in the service environment, infrastructure, technology, etc.) since the programme's inception that would now permit an alternative means of achieving its objective with greater economy, efficiency, or effectiveness?

Sources: Canadian Office of the Auditor General and Finance Canada.

A *greater focus on outcomes*

The government is taking some initial steps towards the fundamental objective of public management: linking budget decisions to desired outcomes. A deliberate decision was taken early on to make managers accountable for outputs rather than outcomes, mainly because outcomes are too ephemeral to tie performance to, and therefore cannot provide management incentives that are sharp enough. The Public Finance Act includes a requirement to link outputs with outcomes, although this has typically been done in a cursory manner by baldly asserting that Output *a* contributes to Goal *b*.[14] Neither departments nor central agencies extensively measure or evaluate outcomes, and New Zealand is one of the few OECD countries that does not present outcome targets (and performance against them) to parliament (OECD, 2002*a*). However, several useful steps have been taken to overcome these weaknesses, including: *i*) E*valuation criteria*. All bids for new expenditure must include criteria on how that programme might be evaluated. This should be extended to all baseline expenditure; *ii*) I*mproved information on "the state of the nation"*, such as the S*ocial* R*eport*, which contains snapshot information on a range of social indicators; and *iii*) I*mproved performance documents*. New planning and reporting expectations have been set for all departments, and aim to ensure that more emphasis is given to co-ordination, outcomes, human resources and risk management, rather than just outputs. One of the main required documents is a Statement of Intent (SOI), tabled in parliament, which sets out a picture of what the agency is trying to achieve and how it plans to do so over the next three years. The first SOIs are of variable quality, but as they improve they should be of more

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use to ministers and parliament than the previous annually-focussed Departmental Forecast Reports.

An increased emphasis on outcomes will lift the quality of public spending to the extent that it improves the dialogue between ministers and managers about the ultimate objectives of each policy or programme. But improving incentives for managers to undertake this work will also be necessary. The proposal to link chief executives' performance evaluations to their progress in outcome measurement and evaluation should help, if done well. However, care will need to be taken to ensure that discouragement of one-off bonuses does not unduly restrict performance-related pay since it could reduce performance incentives at all levels of the public service, including those facing managers to deliver their outputs. While there can be a tension between managing for effectiveness and for efficiency, outcomes and outputs can be used side by side. Outputs are more appropriate where their characteristics can be specified centrally (such as passports or border control); outcomes can be a better management tool at the other end of the spectrum, such as in the areas of social and labour market policy, where solutions are best determined at the front line.[15] But even in the latter areas it would be a mistake to back away from a clear specification of outputs as the main basis for accountability. If done well, outcome management can lead to a government that is more focussed on its ultimate objectives and less on process, ownership or control, and by doing so is more effective. For example, the government has legitimate social and cultural objectives in the area of public television. But it is not immediately obvious that owning a TV network is a necessary, or even the most efficient, way to achieve them. They might also be achieved by retaining only the non-commercial part of the company, or by buying airtime in the open market. Similar re-thinking can be done throughout the public sector. To what extent does the government need to control the running of schools in order to achieve its desired education outcomes? Can health outcomes be achieved better, or cheaper, by encouraging other providers? Does the government need to own and run an insurance company if it wants to ensure efficient and adequate accident coverage (Box 4)? Some of these questions are taken up in the next section.

Strengthening the centre by reducing fragmentation…

The fragmentation of the system gets in the way of re-allocation and the pursuit of effectiveness. In 2000, there were around 800 separate appropriations for outputs spread across 78 Votes. In contrast, Australia has the equivalent of 27 Votes administered by 17 portfolio Ministers, while Sweden also splits spending into 27 broad categories. Parliament must approve non-trivial re-allocations between appropriations, so most occur at budget time and tend to be within rather than between Votes. There is an understandable tendency for agencies and Ministers to protect their patch or to regard their programmes as important, and

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Box 4. The benefits of competition and choice: the accident insurance monopoly

Accident insurance is the only significant non-wage labour cost. The government spent NZ$ 1.7 billion on accident rehabilitation and compensation in 2001 *via* its accident insurance monopoly, the Accident Compensation Corporation (ACC). The workplace accident scheme is fully funded and is financed by a payroll tax averaging 0.9 per cent of wages, with a portion of the levy being used to cover the ongoing costs of accidents that occurred before the scheme became fully funded in 1999. Other accidents are covered from general taxation or other specific levies.

The portion of the scheme that covers workplace accidents was privatised in July 1999. Five private insurers entered the market during 1999/2000 and ACC was not permitted to compete. It is difficult to draw definitive conclusions about the effects of the private market because it existed for only one year and was not fully competitive: many overseas insurers were reluctant to enter the market because the then-opposition had already signalled its intention to reverse that decision. Nevertheless, the initial results were impressive. Prices dropped by an average of 22 per cent, the largest fall in the scheme's history (Figure 20). According to the Chief Executive of ACC (Wilson, 2001), large and medium-sized firms faced the biggest declines, although prices rose for some small companies, while large firms tended to initiate injury prevention programmes in order to negotiate lower premiums. There is also some anecdotal evidence that rehabilitation rates increased, but evaluation is hampered by a lack of hard data. As a consequence, rehabilitation costs fell significantly but have since risen. The major negative effect was some deterioration in relationships, especially between doctors and insurers, and delays in settling some claims. Despite these promising initial results, the incoming government re-instituted its monopoly over the scheme in 2000, arguing that marketing costs in the competitive environment were too high and private companies may have been setting premiums at unsustainably low levels in order to attract business. However, no formal evaluation was done to justify the decision (although work is in progress), and it seems unlikely that premiums were too low given that premium rates have continued to fall under the new structure. This is an area that has successfully been left to the private sector in many countries, and the brief experience with privatisation was overwhelmingly positive. Opening up all areas of accident insurance to competition could potentially boost the efficiency of public spending.

there is little incentive for agencies to volunteer savings or to give up programmes if those savings may be reallocated to another Vote Minister.[16] The bigger the portfolio, the greater the opportunity for a minister to move funding around to meet priorities. Allocating bigger pools of money has the potential to substantially improve the top-down focus of the system.

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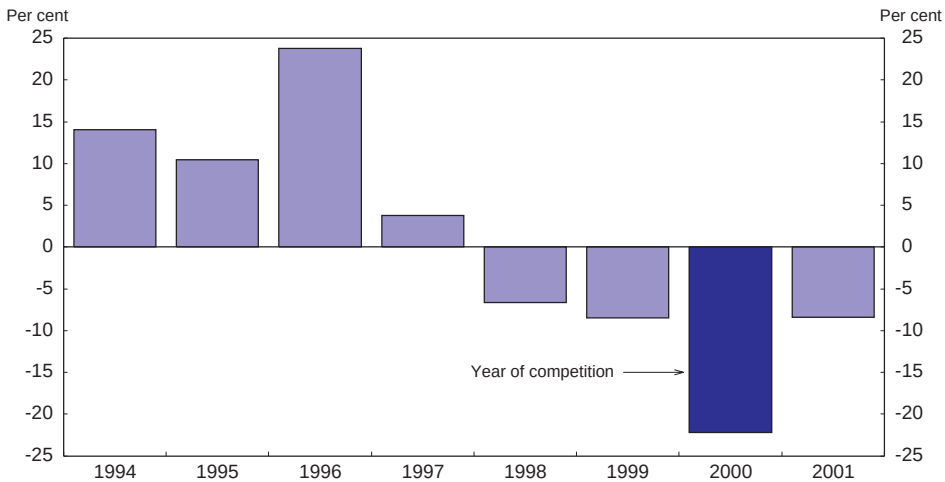
Figure 20. **Competition reduced ACC insurance premiums sharply**
Employers' levy, annual percentage change, June years



Source: Statistics New Zealand.

A second problem is that the large number of agencies may stop savings initiatives bubbling up from below. Few managers would volunteer to give up a large chunk of their resources for the "common good". When Crown entities are included, there are more than 200 substantive government agencies, although they vary considerably in size: the two largest departments account for a third of state-sector employment. Fragmentation may have led to "tunnel vision", reducing co-ordination across agencies and making it more difficult to re-allocate spending.[17] However, it is not evident that amalgamation of agencies is the best solution. The benefits of having a highly focussed organisation may be lost, the costs of restructuring are significant, and organisational walls can be just as impenetrable between divisions of a single conglomerate organisation. Dealing with cross-cutting or horizontal projects is more about project management than industrial organisation. As part of its *Review of the Centre*, the government is considering encouraging networks of agencies to deal with inter-sectoral issues. This is welcome and could be supplemented with more use of formal networks at the ministerial level, such as in the Biosecurity project. Further consideration should also be given to alternative arrangements, such as UK-style executive agencies operating semi-autonomously within departments.

The approach of separating delivery from policy units has added to the number of departments, and there has been a concern in some quarters that the-

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ory has become too far removed from front-line delivery issues. This was part of the reason why the Ministry of Social Policy was reunited with the agency that pays benefits, WINZ (Hunn, 2000).[18] However, amalgamations like this may not be the answer. There is merit in the original intention of separating delivery from policy, especially in avoiding policy capture and in reducing the risk that policy analysis gets crowded out by operationally urgent requirements (SSC, 2000*a*). The problem may not be the separation *per se*, but that some of the policy shops are too small to attain critical mass and therefore have difficulty attracting or retaining the highest-quality analysts (Boston, 1999; Scott 2001). A more effective solution may be to amalgamate policy organisations into two or three large policy Chancelleries that can provide high-quality competing policy advice, as was mooted at the time of the 1988 reforms.

... ensuring that broad priorities are clear and specific...

Successive governments have made several attempts to articulate their strategic priorities in the hope that ideas for improving delivery and re-allocating funds would filter up from below. Many OECD governments are also struggling with the issue of strategic alignment, and some measure of success has been achieved (such as in the United Kingdom and Australia). There are currently six Key Government Goals, but they are too vague and long-term to guide allocation decisions at the departmental level. Most, if not all, of today's expenditure could be slotted into one or more of the Key Goals. The recently announced *Growth and Innovation Framework* (see Chapter IV) is an attempt to provide more specific goals and to pick three generic sectors that the government would like its agencies to focus most attention on. The goals are still too broad, however, but that may improve as more flesh is put onto the bones of the framework. An initiative that had some success in the 1990s was the system of Key Results Areas (KRAs), which attempted to bridge the gap between broad goals and current expenditure decisions. These were specific, three-year objectives that were clearly measurable and had specific timetables or milestones. The system worked well overall, even if some KRAs lacked a focus on results or set unchallenging milestones (SSC, 1997) although that was partly because they had a high level of ministerial support. The strong points of this system could usefully be resurrected. Another useful measure would be to ensure that one central agency has the primary responsibility for strategic oversight and ensuring that resources are in fact being channelled into the high-priority areas.

... and giving better direction to semi-independent agencies

Crown entities (CEs) are semi-independent entities with a diverse range of activities,[19] some of which have unclear or conflicting goals. The key difference between a CE and a department is an extra layer of separation (usually a govern-

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ing board) between the minister and the agency, in order to create an arms-length relationship (or the appearance of one) from government. Despite its important role in delivering services, the CE regime has inadequate governance arrangements, patchy accountability and significant legislative gaps and inconsistencies.[20] Some reforms began in 1999, but the full package was put on hold in 2001 pending a more general review of public-sector agencies (the *Review of the Centre*). The proposed reforms had an administrative and legislative focus, tackling some of the main weaknesses. However, they were less focussed on the central issues of clarifying each entity's role (and whether it is needed at all), evaluating its effectiveness and efficiency and reconsidering whether it needs arms-length separation from government. In cases where ministers want greater control, the CE would be better off under the wings of a department, thereby benefiting from the elaborate machinery and culture of public management. Otherwise, its autonomy should be preserved.

Some further challenges

Achieving better outcomes from social expenditure

Social assistance is probably the area that has the most to gain from a greater emphasis on managing for outcomes. Although there are no internationally comparable data, and so it is unclear whether benefit dependency is more or less acute than in other OECD countries, steps can certainly be taken to reduce it further. Not only will this raise the quality and effectiveness of public spending, it will boost potential output, improve health and education outcomes and lead to a more inclusive economy. While New Zealand has made some significant progress in this area, a substantial problem remains. In 2001, one in six people of working age relied on a benefit as their main source of income, while ten per cent of the working-age population had been continuously on a benefit for more than two years (MOSD, 2001*a*).

The causes are complex and depend on more than just the design of the benefit system. The problem is most acute for Maori and Pacific Island men, who lost less-skilled jobs in manufacturing during the economic restructuring in the 1980s and whose employment rates are only now recovering to those earlier levels. Even so, the progress that has been made in the 1990s suggests that social, economic and fiscal outcomes can be improved by boosting incentives to move from welfare to work. The Minister of Social Development has set this as a priority, and some steps have been taken, but some major work remains to be done. New Zealand's approach is unusual in several respects. *First*, its social assistance is comparatively generous for some groups such as couples and the long-term unemployed. *Second*, the benefit system is relatively passive by OECD standards, with more emphasis given to income support than to active policies designed to

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help people into jobs. *Third*, benefit administration is quite lenient in some areas. *Fourth*, while the government has made good headway in producing a benefit-tax interface in which METRs are usually not excessive, some further improvement is still possible, with greater emphasis being given to in-work benefits.

The benefit system is on the generous side, especially for the long-term unemployed

Most OECD countries have an unemployment *insurance* scheme available for a limited time, after which people fall onto a less generous but time-unlimited

Table 13. **Unemployment benefits are on the generous side**

Net replacement rates[1]

	In the first month of benefit receipt				For long-term benefit recipients			
	Single	Married couple	Couple-2 children	Lone-parent 2 children	Single	Married	Couple-2 children	Lone-parent 2 children
New Zealand	**57**	**79**	**87**	**79**	**57**	**79**	**87**	**79**
Australia	45	39	80	66	45	39	80	66
Austria[2]	61	64	82	78	58	59	78	74
Belgium[2]	85	80	79	81	60	80	84	86
Canada	62	64	97	97	35	57	81	80
Czech Republic	66	69	70	72	54	84	100	96
Denmark	89	89	95	96	85	96	102	97
Finland	79	83	88	92	73	92	100	69
France[2]	78	76	82	83	43	41	59	60
Germany[2]	67	65	75	76	63	61	71	71
Greece[2]	48	48	46	50	8	8	11	12
Hungary	65	65	75	76	28	28	39	41
Iceland	74	66	79	85	68	97	104	80
Ireland[3]	42	59	67	59	41	59	66	64
Italy[4]	39	40	49	47	0	5	21	17
Japan	82	79	77	82	49	69	87	84
Korea	54	54	54	54	9	16	27	23
Luxembourg	82	80	88	88	70	92	93	82
Netherlands	88	84	85	80	74	83	85	76
Norway	65	67	82	90	53	73	83	69
Poland	53	62	58	67	48	72	93	81
Portugal[2]	88	86	87	87	70	86	87	87
Slovak Republic	77	75	77	79	54	90	100	100
Spain	76	72	76	77	32	40	57	51
Sweden[5]	82	82	90	93	79	102	110	70
Switzerland	91	90	92	92	78	99	100	96
United Kingdom	66	64	54	55	66	80	88	81
United States	59	59	49	49	10	17	59	48
OECD average	69	69	76	76	50	64	77	69

1. For family types on ⅔ of the average wage, including family and housing benefits (after tax).
2. Replacement rates are based on unemployment assistance.
3. Excludes housing benefits.
4. Social assistance (Reddito Minimo di Inserimento) is not included due to its experimental character (on trial in 39 municipalities). Replacement rates are based on family benefits.
5. People in work are not entitled to social assistance.

Source: OECD, *Benefit Systems and Work Incentives* 2002.

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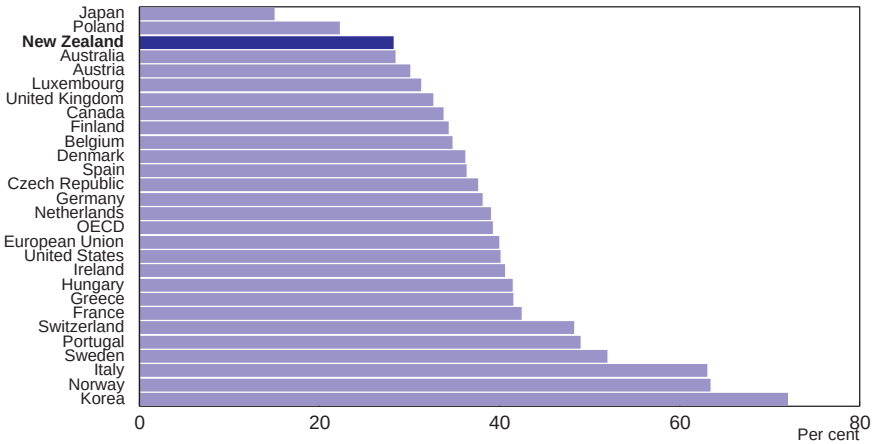
social assistance safety net. In contrast, New Zealand has only the safety net. Benefits are not particularly generous for single people who have only recently become unemployed, but they are above average for all long-term unemployed, and especially for couples more generally (Table 13). International evidence shows a relatively robust link between benefit duration and the rate of long-term unemployment (Layard *et al.*, 1991; OECD, 1991 and 1994). More specifically, unemployment tends to be higher in countries where benefits are available for long periods before someone drops onto the social assistance safety net, or where the social assistance level is generous. While New Zealand has successfully reduced the number of long-term unemployed, further progress may require reducing the level of assistance the longer someone remains unemployed, combined with tighter compliance requirements after a certain duration.

Active labour market policies can boost value for money

Active labour market policies (ALMPs) are programmes that try to get people into jobs by helping them search, lift their skill levels or assist them to move to where jobs can be found. Using that definition, spending is strongly skewed towards passive rather than active support (Figure 21). While the govern-

Figure 21. **Labour market expenditure is more passive than active**

Spending on active labour market policy as proportion of all labour market spending, 1999[1]



1. 2000-01 for New Zealand.
Source: OECD, *Society at a Glance*, 2001.

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ment is now placing greater emphasis on a case-management approach, the overall imbalance between active and passive measures should be remedied in view of the evidence that social spending in general can be a drag on growth but that active social spending can promote growth (Arjona *et al.*, 2001). In addition, the *types* of active intervention should also be reassessed. Spending on the public employment service is low, and the government intends to shift the emphasis of active programmes towards training. This contrasts with international evidence on the effectiveness of ALMPs, surveyed in Martin (2000), which led to five broad recommendations for maximising the effectiveness of such spending (Box 5). An important finding is that broad-based public training programmes have a very mixed track record in terms of value for money. While they can be relatively successful for some disadvantaged groups (*e.g.* adult women), they are much less so for others (men, and youths in general). Hence, unless the government's training programmes are carefully designed and targeted directly at groups for which they

Box 5. **What works among active labour market policies?**[1]

A. Rely as much as possible on in-depth counselling, job-finding incentives (*e.g.* re-employment bonuses) and job-search assistance programmes. But it is vital to ensure that such measures are combined with increased monitoring of the job-search activity of the unemployed and enforcement of the work test.

B. Keep public training programmes small in scale and well targeted to the specific needs of both job seekers and local employers.

C. Early interventions, reaching back to pre-school, can pay dividends for disadvantaged youths, but they must be sustained. This should include steps to reduce early school-leaving targeted on at-risk students combined with policies to ensure that they leave the schooling system equipped with basic skills and competencies that are recognised and valued by employers.

D. As the duration of unemployment spells lengthens, various forms of employment subsidies may serve to maintain workers' attachment to the labour force. However, employment subsidies should be of short duration, targeted and closely monitored.

E. Use subsidised business start-ups for the minority among the unemployed who have entrepreneurial skills and the motivation to survive in a competitive environment.

1. See also the range of studies produced by Sweden's Office of Labour Market Policy Evaluation.

Source: Martin (2000).

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have been shown to work in the past, they are unlikely to be cost-effective. In addition, they can sometimes be counterproductive, because beneficiaries often regard these placements as being at work and therefore stop looking for paid employment (MOSD, 2000). Active case management must ensure that beneficiaries continue to look for work while undertaking training.

Outcome management, as mentioned earlier, comes hand-in-hand with evaluation. The government has recently placed increased emphasis on the evaluation of labour market interventions but improving the scope and rigour of this work requires better information about individual programmes. Specifically, it is difficult to get reliable information on the cost per intervention, so that few assessments of value for money have been completed so far. Instead, evaluations to date have tended to be qualitative in nature, many finding that programmes "improve self esteem" but few having been able to compare outcomes with a control group. The diversity of training, job-search and work confidence programmes reflects a good degree of policy experimentation, which can be a creative and useful expenditure management tool. But without rigorous evaluation, promising initiatives risk joining the country's overcrowded pantheon of discarded training and make-work schemes.

Better enforcement of work requirements

There is a requirement to be actively seeking work in order to get social assistance. However, its application is relatively gentle by OECD standards (OECD, 2000*b*), although there is wide variation across both regions and different beneficiary categories. Between 1997 and 1999, notional work test requirements were extended to cover some other beneficiaries, such as sole parents. A formal evaluation of extending the work test to Domestic Purposes Benefit (DPB) recipients found that it was ineffective,[21] largely because case managers said they rarely, if ever, enforced the work test sanctions because of the impact they thought that might have on the families in question (MOSD, 2001*b*). The extensions to the work test were partially reversed in 2000 by a range of measures designed to make it easier to maintain receipt of certain benefits and were loosened again in 2001 with the introduction of legislation to abolish the test for sole parents and widows. They have been replaced with an enhanced case management system, designed to provide more individual attention, greater assistance for shifting into work, more education and training opportunities and greater assistance with childcare. It is not clear whether loosening the work test will have a substantially negative impact for these groups because the test had been ineffective in practice. But international evidence suggests, first of all, that stricter application of eligibility requirements tends to lower unemployment: for example, the European countries in which unemployment fell most sharply in the 1990s have considerably tightened eligibility criteria and their implementation (Grubb, 2000). Second, stronger

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enforcement can offset the disincentive effects which otherwise exist in the system. In sum, loosening the system risks lowering employment amongst these groups, which has implications both for the level and effectiveness of government spending and for social outcomes.

There is virtually no formal work test for those aged 55 and over, so some benefits can be used as early-retirement schemes. This policy was put in place in the early 1990s, partly to ease the burden on those close to retirement as the pension eligibility age was raised from 60 to 65. While prospects can be harsh for those who lose a job near retirement age, allowing an easy work test regime for a quarter of the average person's working life is excessive. This should be phased out, especially given that a large demographic bulge of unemployment and sickness beneficiaries is approaching the 55-year-old threshold.

Incentives to move into work: making work pay and the benefit-tax interface

Policies that "make work pay" are those that reduce the disincentive to move off a benefit, especially where jobs may be low paying. If well designed, they can be effective ways to boost employment at the same time as maintaining income levels. Experience with policies such as the Earned Income Tax Credit in the United States and the Working Families Tax Credit in the United Kingdom suggests that in-work benefits can have favourable effects on employment and, to a lesser extent, hours worked. To be effective, these policies must be well designed (the details can have a significant effect on performance and cost). They work best when combined with other measures to overcome employment barriers, such as finding affordable childcare. They also need to be carefully targeted if they are not to be prohibitively expensive, which means that across-the-board tax rebates are an expensive way to go about it. While New Zealand has a tax credit for all low-income families, it does not have a significant targeted in-work benefit system. Outcomes may be improved at little cost if some income support were transformed into such benefits.

The major problem with policies to make work pay is they can increase METRs. However, with the exception of the sole-parent benefit (DPB), METRs are generally not high (OECD, 2000*a*). This suggests New Zealand may have some room to move before the trade-off between greater targeting and high METRs becomes a problem. Regarding the DPB, METRs of 80 to 100 per cent are common across a large range of incomes, both for marginal and for substantial (NZ$ 10 000) increases in income. The government has introduced a dual abatement regime for the DPB, in which the benefit is abated at a lower rate for part-time than full-time earnings, and has extended to 37 the maximum number of hours per week for which childcare subsidies can be claimed. It is currently reviewing abatement, childcare costs and in-work benefits in order to reduce the problem of high METRs. This review needs to be completed and implemented with urgency, given

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that only a third of sole parents currently work, half the OECD average. The review also needs to look at other anomalies in the system. For example, the accommodation supplement, in contrast to most other benefits, begins to abate from the first dollar of earnings. Also, supplementary benefits, which have grown significantly since the early 1990s, can confuse what otherwise would be a relatively clean tax-benefit system. These benefits, which include a range of emergency payments for specific factors including disability assistance, buying food and attending funerals, are relatively poorly integrated with the rest of the system and can lead to lumpy METR profiles. They can also overlap with other benefits (for example, the invalids benefit is higher than the sickness benefit because of the extra costs of long-term incapacity, but a supplementary disability allowance is also available). While special assistance is necessary, the system is rule-bound instead of giving more discretion to case managers. Alternatives, such as the United Kingdom's capped fund or Australia's channelling of special assistance through community agencies, could be considered.

Taking advantage of market mechanisms in education

Total expenditure on education is amongst the highest in the OECD (Figure 22), partly because of high enrolment rates at the tertiary level. Outcomes are more difficult to assess but, as discussed in more depth in Chapter IV, seem to be reasonable on average, although they are particularly poor for some groups. The causes of educational failure, particularly amongst Maori and Pacific Island children, are complex, and a full analysis is beyond the scope of this chapter, but there still seems to be room to get better value for the education dollar. Several issues stand out. *First*, schools are still more subject to central control than the rest of the public sector. *Second*, there is scope to increase competition and choice in order to improve outcomes, although the negative effects of competition need to be carefully managed. *Third*, shifting resources to earlier education levels may improve distributional effects and deliver better outcomes per dollar.

Freedom to manage can lift quality and innovation

As noted above, removing central input control and granting managers the freedom to manage have led to enormous gains in efficiency, innovation and responsiveness throughout the public sector. The education sector has not taken these steps to nearly the same extent. Major improvements were made in the early 1990s by making school principals accountable to locally-elected Boards of Trustees and by giving them autonomy over one-quarter of their budgets, but they have virtually no discretion over the remaining three-quarters. Most staffing number decisions are made centrally; wage bargaining is also centralised, and teachers of the same grade are paid the same regardless of whether there are

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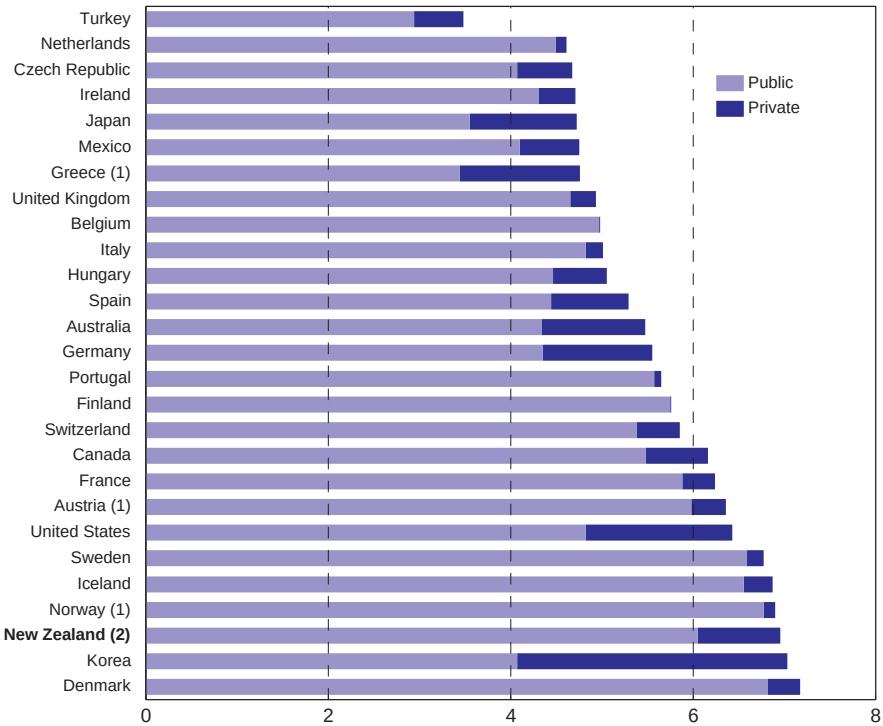
Figure 22. **Education spending is high**
1998, per cent of GDP



1. Public subsidies included in private funds.
2. Private expenditure is an OECD estimate.
Source: OECD, *Education at a Glance*, 2001.

shortages in particular regions or subjects, such as maths or Maori language (although "top-ups" can be made).

The previous government tested a bulk funding initiative that gave participating schools control of their whole budget (with the exception of major capital decisions). The current government abolished the bulk funding system but retained several of its elements of flexibility. These include the ability to use their budgets to employ more teachers than their core staffing entitlement, to top up teachers' salaries with one-off payments, and to spread its staffing entitlement over the year. What has been lost is the freedom to reduce staffing lev-

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els in order to free up resource for other educational priorities such as IT. A definitive evaluation of the benefits of flexibility is difficult because bulk-funded schools received a slight increase in resources and were a self-selected (but broadly representative) sample. Even so, the great majority of schools reported positive outcomes: almost all channelled extra resources into staffing, especially for special-needs students; three-quarters felt that the extra flexibility had enabled them to improve the curriculum; and 81 per cent felt that learning opportunities for students had increased (Ministry of Education, 1999*a*). With this in mind, the government should look for more opportunities to extend the current flexibilities so that more emphasis is given to underachievers, the area where it is needed most. These include opportunities to provide for greater differentiation of teacher pay on the basis of demand and performance, and greater opportunities for schools to manage their property resources. In addition, to the extent that staffing costs increase faster than other input costs over time, the proportion of a school's budget that is centrally-set (currently three-quarters) is likely to rise and crowd out the portion over which managers have discretion.

Greater choice could yield further benefits…

Although no precise figures are available, contracting out the production of government services has become common throughout the public sector. Education is one of several areas, however, where the government prefers services to be provided directly (almost all schools are state-owned or integrated within the state system).[22] Provision of choice is a useful supplement to the voice parents currently exercise through their role on Boards of Trustees. Parents were given increased choice in the 1990s with the abolition of geographically based school zoning. However, the potential benefits were not fully unlocked because resource constraints in the most popular schools meant that they had to introduce queuing mechanisms of their own, so entry was never entirely unrestricted (see Box 6). Policy was changed again in 2000: families are now given priority access to their local schools, and any remaining places for out-of-zone students are allocated by lottery. This change impacts most on poorer families who are less able to buy themselves into the catchment area of a good school. In addition, a limited voucher programme was tried from 1996 to 2000 but was abandoned by the new government. It initially involved funding for 160 students from low-income families to attend private schools, and by 1998 had expanded to 600 students. The scheme may not have been as effective as it could have been, partly because participating private schools insisted on being able to choose their students rather than have them assigned randomly, as was originally desired. While the evidence on the success of school choice is unclear, there were encouraging signs, particularly for Maori students, although concerns remained about the quality of education for the students who stayed behind.

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Box 6. The benefits of competition and choice: schools

The *Tomorrow's Schools* reforms, which took effect in 1990, replaced the old central-control system with increased autonomy for individual schools. Principals make management decisions and are answerable to locally elected Boards of Trustees. Each school is now free to spend its operating grant, which covers around a quarter of costs, but staffing and capital costs continue to be largely controlled centrally. The amount of funding per pupil varies, with the lowest-decile[1] secondary schools receiving around 30 per cent more per pupil than the most advantaged schools (although half of this is offset by the greater fund-raising abilities of schools in wealthier neighbourhoods). This extra management flexibility was combined with greater parental choice from 1992 to 2000, with the abolition of geographically based zoning. Parents were able to vote with their feet by sending their children to any state-funded school, with schools competing for the best students and deciding whom to admit.

A consequence of parental choice was, not surprisingly, a flight from low-decile schools (Figure 23). Not all these students ended up in the highest-decile schools, partly because many of the most popular schools quickly became full (and introduced selection mechanisms as a consequence). Despite some initial fears, this flight does not appear to have led to greater ethnic polarisation or cream-skimming at the expense of at-risk groups. It is striking that Maori families were the most aggressive at taking advantage of their freedom to choose.[2] Some of the poorest schools had their rolls decimated, although the government has closed only a small number of them. Many students have been able to escape from under-performing schools, and they are likely to be better off as a result. Whether this gain was offset by worse outcomes for those students who remained at the shrinking schools is uncertain. Falling rolls may simply have made an existing problem more visible (which, paradoxically, may help by enabling the government to channel resources in their direction or implement needed changes in personnel or structures). Even so, the government's concerns about students that got "left behind" in downwardly spiralling schools was part of its reason for reinstating zoning. But some conflicting evidence from the OECD's recent PISA study suggests this concern may have been over-played. It showed that even in 2000 an unusually high share of the spread in student performance occurred *within* schools rather than between them (Figure 24). In other words, educational failure is not so much about problem schools, though such schools exist, but more about problem children or about a problem with the system as a whole.

Possibly the major flaw in the reforms was that choice on the demand side was not matched by the required responsiveness on the supply side. The government was, and remains, reluctant to invest in expanding popular schools when there are spare places at other schools. Oversubscribed schools had almost total freedom to pick their students, although most gave at least some preference to local students. Even so, it held back the ability of the system as a whole to boost its performance. Consequently, perhaps the main lesson learned from the 1990s is that while competition and choice have the potential to raise performance, they are not sufficient. They need to be backed with an admittedly expensive commitment

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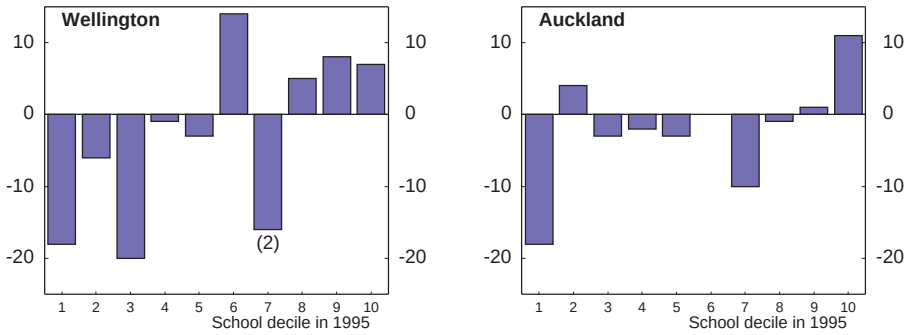
Box 6. **The benefits of competition and choice: schools** (*cont.*)

to allow successful and innovative schools to grow, at least in a one-off shakeout of the system. That clearly also applies to the current zoning arrangements.

1. Each school is assigned a decile ranking that reflects the characteristics of its students, such as the proportions of Maori and low-income students.
2. The proportion of Maori students going somewhere other than their local schools increased from 18 per cent to 31 per cent in the three years after zoning was removed. The proportions for the non-Maori, non-Pacific population rose just 3 percentage points, to 28 per cent (Ministry of Education, 1999*b*). However, Fiske and Ladd (2000) find evidence of a (small) increase in ethnic polarisation between schools. The two results suggest that at least some of the polarisation may be attributable to the choices made by the ethnic minorities themselves (although capacity constraints in the best schools mean choice has been limited to some extent).

Figure 23. **Growth has been faster in higher decile schools**

Excess roll growth,[1] 1991-96, per cent



1. Excess roll growth is the difference between actual roll growth and growth expected based on the number of children in each school's area.
2. The flight from decile 7 to deciles 6 and above is related to bad publicity following suicides at a school in this decile.

Source: Fiske and Ladd (2000).

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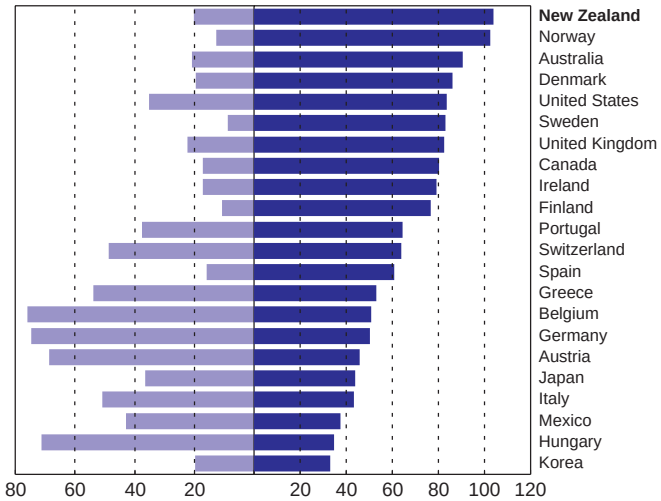
Figure 24. **Most variation in student performance is within schools**

Variation in student performance between schools and within schools on the combined reading literacy scale



Source: OECD PISA Study, 2001.

... and in tertiary education

The level of choice and competition increased enormously in the 1990s in the tertiary system, with the government essentially operating a voucher system (Box 7). This has had very positive outcomes: access has increased such that participation rates are the highest in the OECD; Maori and Pacific Islanders have benefited more than any other group from the explosion in the number of private vocational training enterprises (PTEs); and access by adult students has increased significantly, aiding the government's goal of lifelong learning. Funding for PTEs jumped to NZ$ 135 million in 2001, up from NZ$ 7 million three years earlier (Table 14). A consequence has been that these small, innovative institutions have driven several polytechnics to the point of bankruptcy.[23] In July 2001, the government froze funding for new PTEs and for new courses in existing PTEs. It did this in order to "provide stability to the system" in the run-up to the Tertiary Education Advisory Commission's (TEAC) review of tertiary funding, yet it did not impose the same restrictions on its own tertiary providers. The review recommended stopping funding to any private institution where there was "undesirable duplication" (*i.e.* competition) with a public institution in order to "protect the government's

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Box 7. Current tertiary funding arrangements

The main form of funding for tertiary institutions is the Equivalent Full Time Student (EFTS) system. Providers are funded through an annual bulk grant based on their number of EFTS enrolments. Courses are divided into six broad categories, and the level of funding is notionally based on relative costs of providing each type of course. For example, an engineering or architecture degree receives around twice as much funding per EFTS as an arts or commerce degree. Medicine (including dentists and vets) is the only area where funding is capped. There is also a "research add-on" for each category, and a small number of supplementary grants (for public providers only) for Maori, Pacific Island and disabled students. The sector is "bulk funded" in the sense that institutions have almost complete freedom to choose how to spend their funds. All institutions charge fees directly to students, which can be paid using the student loan scheme. Around half of the funding received by public tertiary institutions comes from the EFTS system, with a quarter from student fees and the rest from other sources. Skill New Zealand, a Crown entity, purchases industry training on behalf of students directly from tertiary institutions (mainly PTEs).

ownership interest". The government has yet to respond to the TEAC report. However, it would be a mistake to reduce competition in the sector, as it would lower participation by Maori and Pacific Island students, reduce the supply of skills to the labour market, lessen the likelihood that low achievers will move off welfare benefits and stifle innovation and diversity in the way that students are taught.

Tertiary students contribute around a quarter of the cost of their education, which is more than continental European students (11 per cent) but less than in other English-speaking countries (30 per cent). A large proportion of funding is directed to

Table 14. **Private training enterprises are taking over from polytechnics**
Equivalent Full Time Student (EFTS) funding by sector, NZ$ millions

	1991	1995	1996	1997	1998	1999	2000	2001	Annual growth rate (per cent) 1995-2001	Share in 2001 (per cent)
Universities	572	656	670	673	685	693	757	758	1.5	56
Polytechnics	368	402	399	400	404	405	344	353	–1.3	26
Private organisations	..	6	7	7	7	17	92	135	36.5	10
Other	54	57	51	54	57	66	81	96	5.4	7
Total	**994**	**1 121**	**1 127**	**1 134**	**1 153**	**1 181**	**1 274**	**1 342**	**1.8**	**100**

Source: Tertiary Education Advisory Commission (2001).

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students rather than institutions (40 per cent, compared to an OECD-wide 17 per cent). Most of this is in the form of student loans, but a parental-income-tested living allowance is also available. The government has recently made this student-loan scheme more generous. Since 2000, full-time students (and some part-time students) no longer pay any interest on their government loans while studying. Repayments begin after graduation with a ten per cent tax surcharge, but only after earnings have risen above a certain threshold. This and other changes will cost around NZ$ 100 million a year, while the freezing of university fees from 2000 will cost another NZ$ 25 million each year. The take-up rate of student loans increased from a half to two-thirds of those eligible after the policy was introduced, possibly because students can borrow and re-invest the money (TEAC, 2001). This is poor-quality spending. *First*, it is poorly targeted, benefiting all students regardless of their ability to pay. *Second*, most goes to those who would study anyway since it is unlikely to increase participation by much: the enrolment rate is already very high, and both international and local evidence shows that enrolment rates are not significantly affected by study costs, even for the most disadvantaged groups, provided that loans are available (OECD, 2001*c* and Ministry of Education, 1999*b*). *Third*, tertiary students tend to be from relatively affluent backgrounds and end up being relatively affluent. The policy was partly motivated by concerns that students were being saddled with overwhelming levels of debt at graduation. Yet the median level of student debt in 2000 was less than NZ$ 10 000,[24] while 90 per cent owe less than a typical graduate's starting salary of NZ$ 30 000, so these concerns may be exaggerated.

Better social outcomes might be achieved if funding was shifted from later to earlier years

It is difficult to estimate precisely the efficient share of costs that students should pay. One New Zealand study finds that private and social returns to post-compulsory education are roughly equal, so there may still be room for students to pay a greater share before the costs outweigh the benefits.[25] But more importantly, that study found that the returns from earlier education – such as shifting from no qualification to gaining School Certificate – were significantly higher than the returns at the tertiary level. Hence there may be a payoff from shifting resources to this area (or earlier, including early childhood), in order to lift school completion rates among minorities.

Controlling health-care spending

As in many countries, controlling the cost of health care is the most pressing fiscal challenge. Four institutional structures have been tried over the past decade with varying degrees of success (see Annex II), but the public remains unsatisfied.[26] Costs have been contained fairly successfully over the past decade, but not all the progress has proved sustainable: the public hospital sector's deficit has surged again in the past two years (Table 15); and staff shortages have become

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Table 15. **Public hospitals have moved back into substantial deficit**

Financial performance of public hospitals and health services, $NZ million, June years

	Four purchasers (Regional Health Authority)				Transition	Single purchaser (Health Funding Authority)		Transition	District Health Boards
	1994	1995	1996	1997	1998	1999	2000	2001	2002[1]
Revenue	2 482	2 596	2 773	2 901	3 004	3 355	3 539	3 745	3 792
of which: from Government	2 324	2 398	2 535	2 654	2 737	3 081	3 282	3 411	3 498
Expenses	2 665	2 794	2 943	3 124	3 200	3 411	3 552	3 807	3 979
Wages and salaries	1 751	1 818	1 904	1 970	1 991	2 023	2 101	2 270	2 428
Medical supplies and other	914	976	1 039	1 154	1 210	1 389	1 451	1 537	1 551
Surplus/Deficit	**–183**	**–198**	**–171**	**–223**	**–196**	**–56**	**–13**	**–62**	**–188**
Deficit as per cent of net assets (Per cent)		20	18	26	22	6	1	7	21
Memorandum Item:									
Government capital injection		160	105	181	163	45	46	37	

1. First half at an annual rate.

Source: Statistics New Zealand, Auditor General.

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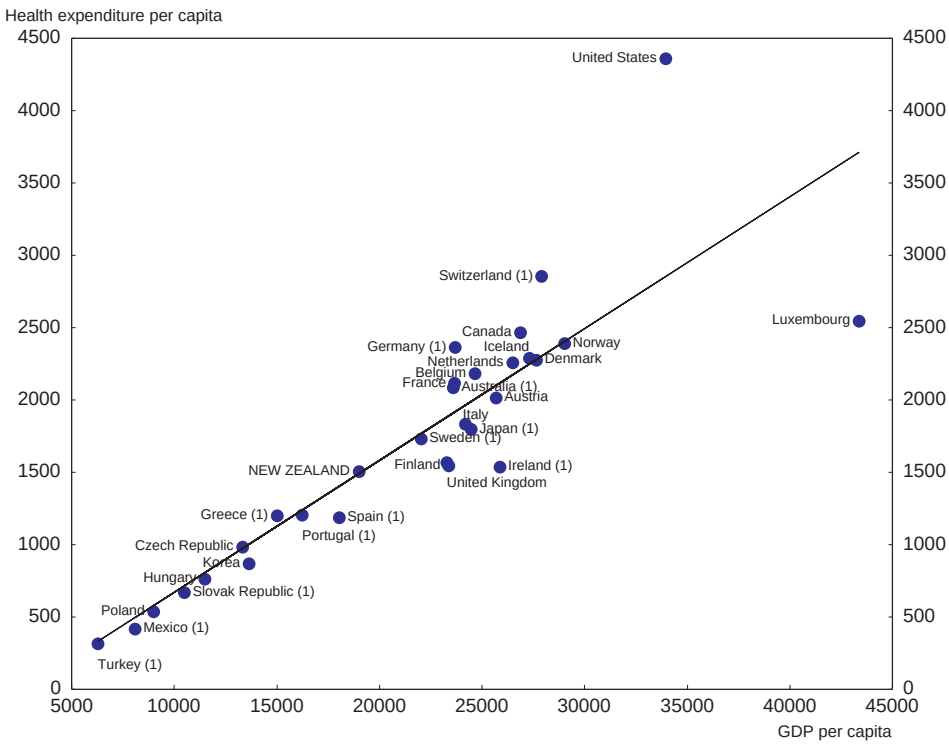
acute in some fields, especially for specialist staff and in rural areas. Underfunding is not obviously a problem: health-care spending is around OECD norms given New Zealand's income (Figure 25). Nor is performance: most health outcomes are also about average. As with social policy, however, the averages conceal major differences between Maori and non-Maori. Life expectancy has been rising in the past decade, although less quickly than in most OECD countries, but the average Pakeha (person of European descent) will still live eight or nine years longer than the average Maori. The difference is not just due to Maori having lower socio-economic outcomes: the average Pakeha in the most deprived deciles will

Figure 25. **Spending on health is average given New Zealand's income**

Health-care expenditures, US$ PPPs, 1999



1. 1998.
Source: OECD Health Data 2001.

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still live longer than Maori in the seven least deprived. Delivering better health outcomes for Maori is, therefore, a priority.

In structural terms, the most significant change to the health system has been to shift away from the purchaser-provider split (Annex II). Health spending is now divided among 21 District Health Boards (DHBs) which have responsibility for their local communities and which own and run public hospitals. In some respects this change is unfortunate since the strengths of the previous structure included cost control, Maori health and a stronger focus on primary care, three of the government's priorities for the sector. But that decision has been taken and further major restructuring is not recommended. Cost control is difficult in any third-party-pays system, but fragmentation of this sort raises particular challenges.

First, central funding in combination with locally elected Boards creates a significant risk of over-spending, since local Boards will have strong incentives to extract extra funding from government, but will gain little from rigorous cost control, which perhaps partly explains the recent blow-out in hospital deficits (Table 15). In response, the government has set a three-year funding path for the health sector. Expenditure baselines will rise by NZ$ 400 million for each of the next three years (so total spending will end up NZ$ 1.2 billion higher) over and above the roughly NZ$ 100 million automatic increase due to demographic factors. This rate of increase is similar to the pace of recent years and may help avoid any acceleration in costs by signalling in advance how much the government is willing to fund, rather than the current approach of hospitals seeing what they can get away with each year in the knowledge that the government will be forced to pick up the tab. To be effective, however, the three-year path must be fixed for each individual DHB, as is currently the case. If not, there is little incentive for any DHB to control costs because any overrun will be shared amongst the 20 others. A hard central budget constraint could also be imposed, with DHBs being permitted to raise extra funds locally using local taxes. This would force communities to bear the full marginal cost of health spending.

The drive for efficiency may also be hampered. While DHBs can purchase from whomever they want, they are likely to favour their own hospitals over providers who may be able to deliver services more efficiently. This problem could be reduced if patients were permitted to transfer their health-care entitlements to non-governmental health-care plans, as is possible in Sweden. Having a large measure of public financing but private provision of health care has been successful in several other countries, including France and the Netherlands.

A further risk is expensive duplication of services. Duplication can be beneficial if it allows competition between service providers; otherwise it is wasteful. For this reason, it is important that competition is boosted by allowing patients to choose treatment at a DHB outside their area, otherwise the system risks having the worst of both worlds. DHBs have an average population catchment of only 180 000,

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seriously limiting the scope for exploiting economies of scale. Some service areas are already operating at the minimum volume to ensure clinical viability, which raises costs, and further shrinkage would compromise patient health. To address these problems the government should reduce the number of DHBs, promote formal and informal collaboration between DHBs, and where possible make treatment more mobile by assisting patients (and their families) to move temporarily to existing facilities rather than setting up duplicate clinics throughout the country. Closing facilities that are on the borderline of viability, or as populations shrink, is always difficult but becomes more so under a fragmented system.

One way to contain costs is through greater emphasis on primary care. The government is planning to base primary care around primary health organisations (PHOs), which are non-profit institutions largely owned and run by group of clinicians. PHOs will be paid by DHBs to provide a set of primary services for their enrolled patients, with funding based on capitation rather than fee-for-service. The details of this model have yet to be worked out, but some are likely to be based on the Independent Practitioner Associations (IPAs) which spontaneously emerged under the previous health structure. By having control of their own budgets and a direct financial interest in the success of their associations, IPAs were successful at finding savings for re-investment in quality and services elsewhere. The lessons learned should be carried over to the new PHOs. In particular, to foster efficiency PHOs should keep substantial control over their budgets (in line with the broad public-sector reforms), have the ability to retain and re-invest surpluses, and be able to take patients from outside a DHB catchment area to ensure that the most efficient (and highest-quality) PHOs can grow.

Make more use of user charges as a way to manage demand in health and other sectors

Although hard data is not available, user charges are reasonably common in the public sector, more so for core public goods than for social services. Sales of goods and services, such as passports and drivers' licences, raised around NZ$ 660 million (0.6 per cent of GDP) in 2001; another NZ$ 500 million came from road user charges on heavy vehicles, and NZ$ 180 million from motor vehicle licensing fees. Significant co-payments exist for tertiary education and pharmaceuticals. An overnight charge in public hospitals was trialled in the early 1990s but very quickly cancelled after public outcry. The government has a clear set of guidelines for where such charges are appropriate and how to set their level, although there is a bias towards over-charging that needs to be fixed.[27]

As a general policy instrument, user charges have several strengths. *First*, they can curtail demand, and therefore public spending, in situations where demand is partly price-sensitive. *Second*, they raise revenue without redistributing income or consumption possibilities between users and non-users. *Third*, the allocation of funds can be driven to some extent by demand, rather than by central

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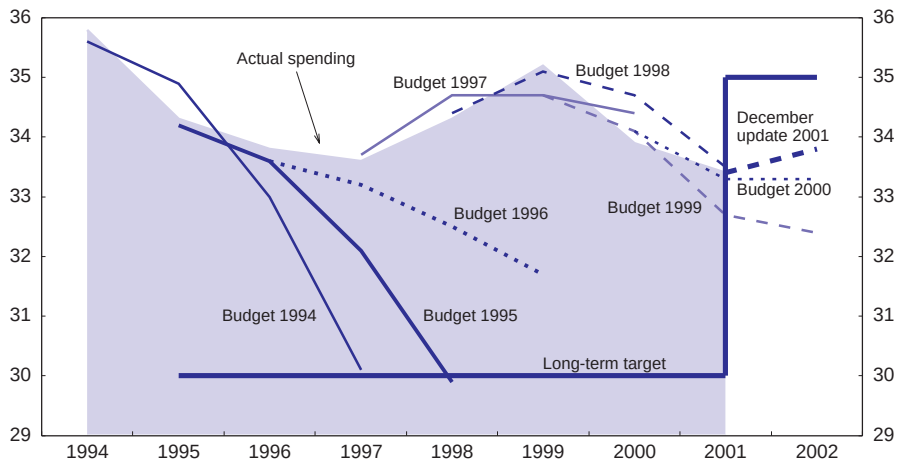
dicta. *Fourth*, consumers are likely to pay more attention to the quality of service if there is an out-of-pocket payment, creating demand-side pressure for better outcomes. The government's policy has previously been open to user charges, unless it is setting prices to zero in a deliberate attempt to increase access or encourage the use of services. This is the motivation, for example, behind its policy of free doctors' visits for children under six. The government is also considering removing general practitioner charges across the board in order to encourage greater use of primary care services, although this would be an expensive policy. But one area that cries out for user charges is road passenger transport, where the government clearly wishes to *discourage* rather than encourage road use (see Chapter IV).

Strengthening top-down expenditure control

While the top-down expenditure control framework is amongst the most developed in the OECD, there is still room for improvement. Since the introduction of the FRA, there has been inconsistent progress toward long-term fiscal objectives. In particular, there has been substantial movement toward debt objectives, but there was much less progress toward the previous government's expenditure target of 30 per cent of GDP (Figure 26). The fiscal

Figure 26. **Inconsistent progress on spending targets**

Expenses of the core Crown plus contributions to NZS fund, per cent of GDP



Source: Crown financial statements.

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framework may have contributed to this result. It requires long-term objectives to be set for expenses, revenues, the operating balance, debt and net worth (see Annex I) but does not require the government to specify which one is the binding constraint. Thus, for example, if revenues turn out unexpectedly high, at least one of the remaining objectives could be breached (or over-achieved). Fiscal discipline may be reduced since governments can pick and choose among the goals *after the event*. Overseas evidence warns that revenue shortfalls are more likely to be absorbed by debt, but excess revenue is more likely to be spent, thereby ratcheting up spending over time. In addition, there is no obligation to set an explicit time path for achieving long-term objectives, so shocks can push fiscal outcomes off track for prolonged periods. A clearer articulation of when long-term objectives are intended to be reached could help reduce this problem.

The budgetary approach indexes some spending (including most social welfare benefits) and holds the rest fixed in nominal terms. However, the assumption that baselines would stay fixed over the whole forecast period may have stymied expenditure restraint: it meant that fiscal forecasts always showed policy to be well on track to achieving the long-term goals, so slippage was hard to resist. That led in the mid-1990s to the development of the fiscal provisions framework, in which future spending increases were explicitly allowed for in the forecasts. More than that, they were an announced commitment to keep new discretionary spending within a certain limit over a government's term of office (Box 8). There are separate provisions for new operating and capital expenditure. These are calculated in net terms (so new spending can be financed by a tax increase without breaching the limit; in that sense, the operating provision is used more to control the operating balance than the level of expenditure *per se*), and they are treated as future expenses in the accounts, even if they have not been allocated to specific programmes.

The fiscal provisions framework has helped

On the whole, this *short-term* commitment to limit discretionary (or *controllable*) spending has been successful. *First*, it has improved top-down fiscal control by providing a simple link between short-term decisions and long-term objectives. Reaching agreement within coalition governments on aggregate fiscal objectives before making low-level budget decisions, then calculating the maximum amount of spending that would be consistent with those objectives, has helped to ensure that budget spending remains consistent with long-term goals. *Second*, the provisions limit only discretionary spending, so automatic stabilisers are allowed to work fully. By doing so, the tendency for governments to spend "windfall" tax revenues during cyclical upswings, but to be unable to cut spending during cyclical downturns, is reduced in this system. This is a significant advantage of the provi-

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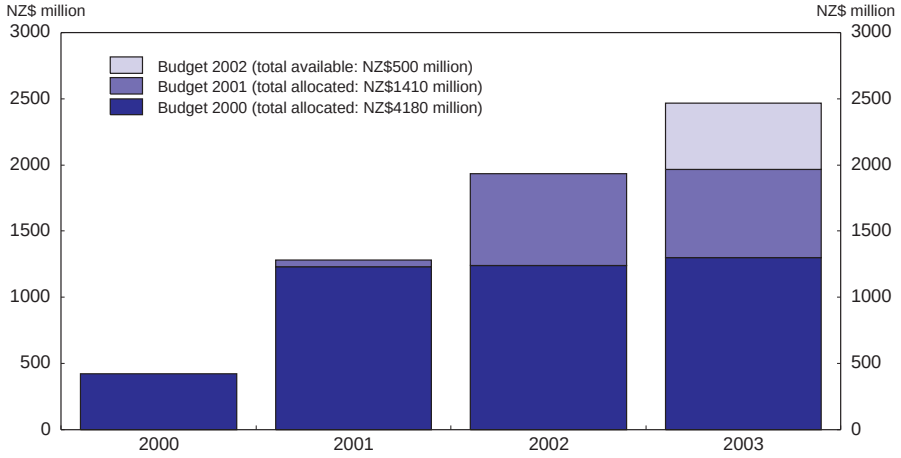
Box 8. The fiscal provisions

The operating provision is an attempt to split spending into its "controllable" and "uncontrollable" (or discretionary and automatic) components. The framework consists of a baseline level of spending, a pre-determined limit on "new" spending over a (three-year) parliamentary term, and a set of rules for what counts as new spending. The operating balance itself was seen as a poor indicator of the extent to which fiscal policy was making progress towards the government's long-term objectives because it is strongly influenced by cyclical, valuation and timing effects. In this sense the framework gives the process of day-to-day fiscal management a clear and simple measure of whether current decisions are likely to be consistent with long-term goals. It also reduces the tendency for cyclical revenue windfalls to be spent, so it acts like a target for the cyclically adjusted balance.

Any policy decision that impacts on the operating balance will count against the operating provision. For example, any new policy decision or a change to existing policies (*e.g.* higher police salaries or a change to a benefit rate) will count; non-controllable factors, such as a change in the number of new entrants to primary school or an increase in the unemployment rate, will not. Most importantly, the fixed nominal baseline policy means that wage and cost pressures do count against the provision. Provisions are cumulative and, therefore, implicitly assume that all changes are permanent. For example, a NZ$ 100 million spending initiative in the first year of a three-year provision will count as NZ$ 300 million against the provision. This is illustrated in Figure 27, which shows the allocation of the present NZ$ 6.1 billion (GST inclusive) operating provision that covers the fiscal years 1999/00 to 2002/03 (it covers four fiscal years because the government took some steps early in its term). There is also a provision (cap) for capital expenditure, although this has been less useful.

Figure 27. **Cumulative fiscal provision**

Allocation of NZ$6.1 billion limit, June years



Source: New Zealand Treasury.

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sions framework over a simple operating balance or expenditure target. T*hird*, it is a simple communication device that raises the political costs of expenditure slippage. Even so, the constraint is not entirely binding as it has shifted several times, most recently in 2001 (by ¼ per cent of GDP) in the face of spending pressures. F*inally*, a three-year provision gives more of a medium-term focus to fiscal management and allows more scope for policies to be phased in over time. The framework should remain a key part of the government's top-down budgeting strategy and potentially be enshrined in legislation. It could also be improved by having separate provisions for expenses, revenues and capital,[28] and by putting more emphasis on the capital provision, which has not been as prominent or effective (see Chapter II).

Capital decision-making can be improved

Top-down control and transparency of capital decision-making has not been as good as for operating expenditure (Auditor General, 2001). Maintaining the asset base is not an extensive problem, since the government gives a cash allowance to departments to cover depreciation (and, like all cash, departments can spend it as they wish).[29] The problem is with new capital spending, which is not well integrated with the budget process (capital bids have a habit of cropping up sporadically through the year), making it difficult to trade off competing bids, and to trade off capital against current expenditure. The information base has gaps (there is no central asset register), projects are sometimes poorly managed,[30] and the capital provision is not well anchored to the gross-debt target. The government has announced its intention to bind investment decisions more tightly to the budget process and to publish more detailed information on upcoming investment pressures, both of which will help.

Local government reforms need to be strengthened

Local government is currently small and largely self-funded.[31] However, major reforms have been proposed (and are currently before parliament) which have the potential to greatly increase its scope over the next decade and more. Currently, local authorities can undertake only those activities specifically authorised by legislation, and so they are primarily involved in basic local services such as sewerage and water. Police, fire fighting and schooling remain primarily central responsibilities. The proposed changes would give them the power of general competence, in which they would be able to do anything not specifically prohibited by legislation, subject to public consultation. At the heart of the reforms is the "transparency" model used by central government: an assumption that providing information and consulting with the public will be sufficient to maintain spending discipline. The details have not

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yet been worked out, but the framework as it currently stands has several deficiencies that should be remedied.

F*irst*, there are no guidelines for which activities are best undertaken by local government. While a local administration can be in better position to respond effectively to local problems, New Zealand's population is both small and relatively concentrated,[32] so central government is not far removed from local issues. The *subsidiarity principle* suggests that central government should take over only those activities where there are efficiency reasons to do so. With local authorities' median population base of just 39 000, economies of scale may often be an important factor. In any event, this or some other guiding principle should be enshrined in the legislation.

S*econd*, a surprising omission is a top-down approach to budgeting and planning. At a minimum, local government should be subject to the key requirements of the FRA, especially its top-down approach. But that may not be sufficient. Low voter turnout, a perception that the consultation process is "a sham" (Auditor General, 1998), and the fact that the transparency model has been only partially successful at the central level despite more favourable conditions for success, all favour serious consideration of more binding fiscal rules at the local level, such as legislated expenditure or debt ceilings.

T*hird*, recent changes to funding mechanisms for local authorities mean that economically efficient methods such as user charges are no longer being encouraged. The previous legislation included guidelines for choosing funding mechanisms, such as a principle that services that generate mostly private (internal) benefits are more appropriately paid for by user charges. However, the government felt that the framework biased councils too far towards user charges, despite the evidence being to the contrary: general property taxation ("rates") now makes up a larger proportion of council revenues than it did before the last reforms in the 1980s.[33] On the other hand, despite removing these guidelines, the new legislation gives councils more *options* for mechanisms such as being able to charge different taxes in different locations.

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Box 9. Summary of recommendations

New Zealand's public spending framework is in reasonably good shape. Even so, there is room for further changes in order to build on the gains that have already been made and to raise the quality of expenditure even higher.

Continue to improve the machinery of public management

- *Better evaluation*. Undertake comprehensive and regular evaluation of base-line expenditure.
- A *greater focus on outcomes*, but not at the expense of a clear specification of outputs. Combine this with more evaluation of effectiveness and value-for-money. Ensure that programme goals are specific, measurable, achievable, relevant, and timed (SMART), and make a central agency responsible for quality control in this area. Use sunset clauses on programmes. Push the Statements of Intent throughout the public sector.
- *Reduce fragmentation and boost strategic management*: Re-instate the more useful parts of the *Key Results Areas*. Ensure that there is flexibility for appropriations to become less fragmented. Institute a policy that, within limits, each minister can "keep" any savings if they are allocated to some other part of his or her portfolio, subject to approval from Cabinet. Push ahead with networks across agencies, and supplement with ministerial teams. Re-start the CE reforms, clarify the role of each, and bring under the wings of a department where there is no strong reason for the extra degree of separation. Resist combining policy shops with delivery arms, but consider creating larger policy Chancelleries.
- *Use multi-year appropriations where possible*, and use of other appropriation modes such as per-unit pricing.

Raise the effectiveness of social spending

- Focus on more active social support, with an emphasis on employment placement. Keep training programmes limited and focussed on those most likely to benefit. Reduce the level of unemployment assistance for long duration spells, combined with more active policies as they approach the cut-off point. Broaden, and enforce, work requirements, including for 55-65 year-olds. Consider more use of in-work benefits, address METR problems where they exist, and tidy up supplementary benefits. Consider more childcare resources for beneficiaries.

Make greater use of market mechanisms

- Encourage contracting out. Expand the range of user-charges as a way to manage demand. Introduce road-pricing mechanisms for all road users. Remove the incentive for user charges to be set at too high a level.
- Encourage competition in the education system, but carefully manage its side effects by giving greater management assistance to schools that need it. Increase management flexibility over schools' budgets.

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Box 9. **Summary of recommendations** (*cont.*)

- Re-introduce full competition in tertiary education. Re-instate the level playing field between PTEs and public institutions. Push ahead with TEAC's recommendations on separating funding for research and teaching, and take steps to steer enrolments into priority areas. Control costs by maintaining open access but with greater private co-payment if necessary, rather than restricting entry.
- Encourage choice and competition in the health sector by allowing patients to transfer their entitlements to private health plans, and by avoiding geographic restrictions on access care. Encourage DHBs to purchase from providers other than "their" hospital. Push ahead quickly with plans for primary care reform.
- Introduce competition to all forms of accident insurance.

Continue to strengthen top-down spending control

- Long-term objectives should have a specific timeframe and be ranked so that the binding restraint is clear. The objectives should cover core Crown and CEs.
- Retain the provisions framework.
- Bring capital decision-making more closely into the Budget process. Tie the capital provision explicitly to the debt target, use it as a spending cap rather than a forecast, and give it more public prominence. Use public-private partnerships wherever appropriate and possible. Fund new capital pressures by partial or full privatisations of non-core assets (SOEs and Crown entities).
- Maintain fixed departmental baselines as an incentive to search for efficiencies, at least until a comprehensive alternative mechanism is in place.

Fill the holes in the proposed local government reforms

- Legislate principles of appropriate activities for local government to undertake. Legislate a top-down spending framework, such as a local FRA, and consider more binding fiscal rules such as spending caps. Encourage economically efficient funding mechanisms such as user-charges and differential rates. Rethink whether the power of general competence is required for regional government.

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IV. Raising potential output growth

Putting New Zealand's growth performance in context

The growth performance of the New Zealand economy in recent years compares favourably with that observed until the mid-1980s, when the country embarked on a comprehensive programme of macro- and micro-economic reforms. These reforms have had a profound impact on macroeconomic stability and on the overall efficiency of the economic system, but it has taken some time for the improvement to show up in the productivity statistics. The initial effect of the first wave of reforms on output was contractionary, as part of the physical and human capital became obsolete. Then, for a few years around the mid-1990s the country achieved high rates of GDP growth thanks to a rapid expansion of labour inputs. Only in the late 1990s has there been a pick-up in labour productivity gains. Even then, the growth rates attained are far from impressive if compared with those of other countries that have undertaken extensive structural reforms (*e.g.* Australia, Ireland and some Scandinavian countries). Thus, while the relative decline in income per capita *vis-à-vis* the OECD average would appear to have been arrested (see Figure 1, Chapter I), the hoped-for catch-up of the ground lost over previous decades has not yet materialised. This rather mixed record has spawned many attempts to establish a more precise set of facts regarding New Zealand's recent economic performance, as well as a lively debate about the underlying reasons for the country's failure to catch up and on its policy implications.

Over the past decade, considerable analytical efforts have been devoted to decomposing New Zealand's economic growth according to standard growth accounting. As is well known, growth decomposition exercises need to be taken with a degree of caution, as the results can be very sensitive to the specific assumptions made, as well as to the quality, comparability and sectoral coverage of the output and factor input data used and to the reference periods considered. Diewert and Lawrence (1999) report that if, instead of considering the whole market sector, total factor productivity (TFP) is calculated excluding two hard-to-measure service sectors (finance, and community and personal services), New Zealand's TFP growth rates since 1988 turn out to be considerably higher and to compare

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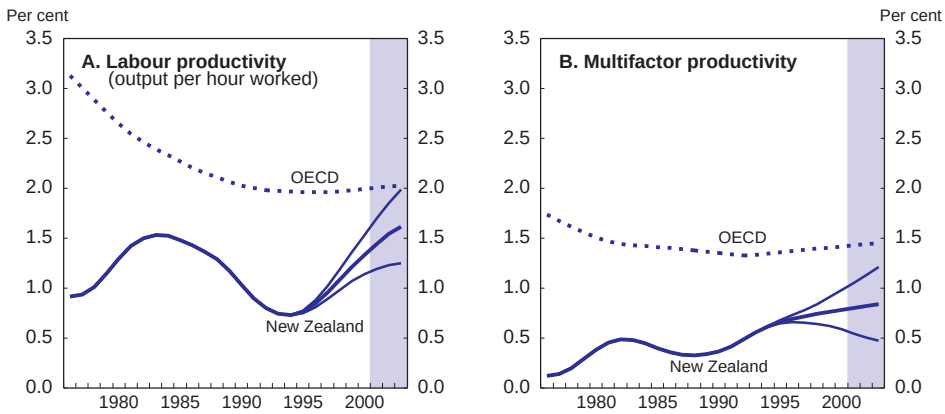
favourably with Australia's. In particular, a serious measurement problem seems to exist for the first group of services mentioned above, where TFP shows a continuous decline since the mid-1980s, and in 1998 was about 30 per cent lower than in 1984. This does not seem reasonable and contrasts sharply with the evidence of significant efficiency gains in the financial sector since the reforms.[34] Moreover, if the rapid scrapping of obsolete capital after the reforms has not been captured in the official statistics, as seems likely, then TFP will be underestimated, although this bias should have been temporary.

These measurement issues aside, TFP growth already picked up over the 1990s, rising well above the average level of previous decades, and is now closer to the OECD average (Figure 28). Labour productivity growth has also picked up, but so far has not risen significantly above past average levels. Looking at the decomposition of potential output growth, it can be seen that in the early years after the reforms labour productivity gains were achieved mainly by cutting costs and in particular by shedding labour (Table 16); the participation rate, the employment rate and hours worked all contributed negatively to output growth. By contrast, during most of the 1990s growth was labour-intensive, with little contribution from productivity. Only since 1998 has the expansion of labour inputs been accompanied by stronger productivity growth as well.

Figure 28. **Trend productivity growth has picked up**[1]

Business sector, annual per cent change



1. HP filter λ = 100 (on annual data). Estimates of trend growth in recent years depend on what is assumed over the projection period. Hence alternative paths are shown, based on GDP growth being 1 per cent higher or lower than the baseline assumption of 3 per cent for the years 2004-2007.

Source: OECD.

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Table 16. **Decomposition of potential output growth**[1]

				Decomposition of labour input growth			
	Potential GDP	Labour productivity	Labour input	Working age population	Participation rate	Structural unemployment rate (–)	Hours per person
New Zealand							
1981-84	1.9	1.3	0.6	1.5	–0.1	–0.6	–0.2
1985-90	1.6	1.6	0.1	0.8	–0.2	–0.4	–0.2
1991-97	2.4	0.5	1.8	1.7	0.1	0.1	0.0
1998-00	2.5	1.3	1.1	0.7	0.2	0.2	0.0
2001-03[2]	3.0	1.8	1.2	1.0	0.2	0.0	0.0
Australia							
1981-84	3.1	1.6	1.5	1.8	0.2	–0.2	–0.2
1985-90	3.7	1.3	2.3	1.8	0.6	–0.1	0.0
1991-97	3.0	1.6	1.4	1.1	0.3	–0.1	0.0
1998-00	4.0	2.3	1.7	1.4	0.1	0.2	0.0
2001-03[2]	3.6	1.7	1.9	1.5	0.1	0.2	0.0
United States							
1981-84	3.0	1.3	1.6	1.3	0.5	0.1	–0.2
1985-90	3.0	1.3	1.7	1.2	0.5	0.0	–0.1
1991-97	2.9	1.3	1.6	1.0	0.5	0.0	0.0
1998-00	3.7	2.1	1.6	1.1	0.5	0.1	0.0
2001-03[2]	3.3	1.9	1.4	1.0	0.4	0.0	–0.1
OECD							
1981-84	2.8	1.9	0.9	1.1	0.3	–0.1	–0.4
1985-90	2.8	1.9	0.8	0.9	0.4	–0.1	–0.3
1991-97	2.4	1.7	1.1	1.0	0.5	0.0	–0.3
1998-00	2.7	1.8	0.9	0.5	0.6	0.1	–0.2
2001-03[2]	2.5	1.7	0.8	0.5	0.4	0.1	–0.1

1. Contributions (in percentage points) to the growth of potential output. Trend growth rates are used for all variables except population.
2. Projections.

Source: OECD.

Why has productivity growth not picked up further? Some common explanations

Long lags in the effects of reforms

The main structural reforms were carried out between 1984 and 1991. Although other measures followed in subsequent years, the main reforms of the macroeconomic policy framework, the financial system, product and labour markets, trade policies and the structure and functioning of the public sector were already in place about a decade ago. Is it nevertheless possible that a significant part of their effects on the economy's growth potential have not yet been felt? To answer this question, it is useful to distinguish between the *static* efficiency gains associated with the removal of distortions and the *dynamic* gains deriving from the

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greater ability of an economic system that is exposed to market incentives to innovate and absorb new technologies. While the former essentially affect the *level* of output and, therefore, have a short-lived effect on growth, the latter imply a permanent (or, in any case, more durable) increase in the sustainable *rate of growth*.

Lags in the manifestation of *static gains* can be expected to occur because it takes time to re-allocate resources across sectors, to adjust technology and management techniques, to retrain labour where necessary, and for firms to develop the flexibility needed to react to change in a more competitive environment. If such lags were indeed at work in New Zealand, an important part of the process of structural adjustment would be still ongoing. One factor that may have delayed adjustment is the fact that, in the sequencing of reforms, the labour market reforms were implemented only in 1991, several years after the other main structural measures (Evans *et al.*, 1996). This hypothesis, however, is at odds with evidence that the sectoral re-allocation of production and employment occurred rather quickly after the mid-1980s (Table 17). Even though substantial shifts of resources may have been taking place within sectors, and technological and organisational changes at the firm level would normally be equally important, anecdotal evidence suggests that, also at the firm level, efficiency gains due to organisational changes were realised relatively quickly after the reforms, and further ongoing change is proceeding incrementally rather than accelerating (Skilling, 2001). D*ynamic gains*, on the other hand, are closely related to the process of innovation and technological change and normally involve mainly behavioural changes, rather than the adoption of already available technologies or management techniques. They may, therefore, require longer to develop and could be delayed if some important gaps in the fundamentals are holding back investment and innovation. Unfortunately, it is not easy to find evidence on whether any dynamic gains are forthcoming as a result of past reforms. The example of productivity acceleration in the United States in the late 1990s shows that such phenomena are difficult to predict. A prudent assumption is that, although most of the key conditions for achieving higher productivity growth are already in place, some elements are probably still missing. It is on these gaps that the government's growth strategy needs to focus.

Too small and too far away

An alternative interesting explanation attributes New Zealand's slow growth to the combined effect of being located far away from some of its largest markets (North America, Europe, Japan) and being a small country. Greater distance from the main centres of consumption and production normally implies higher transport costs, which can be more important than tariffs as a barrier to trade. Moreover, transport costs influence location decisions of multinational enterprises and, therefore, the ability of a country to attract foreign and domestic

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Table 17. **Evolution of the sectoral composition of GDP and employment**

Percentage share of total

	Agriculture, hunting, forestry and fishing	Mining and quarrying	Manufacturing	Electricity gas and water	Building and construction	Wholesale and retail trade	Transport, storage and communication	Business and financial services	Community, social and personal services
Employment									
1986	10.6	0.4	20.6	1.1	6.7	19.2	7.1	8.6	25.2
1991	10.8	0.2	17.1	0.9	5.2	20.6	6.5	10.4	28.0
1997	8.7	0.3	16.3	0.6	6.6	21.6	5.9	12.5	27.2
2001	9.1	0.2	15.8	0.6	6.2	21.6	6.2	12.2	27.9
GDP									
1987	6.4	1.4	21.2	3.1	5.0	17.8	8.0	14.9	22.1
1991	6.7	1.7	18.0	3.0	4.1	16.2	8.3	17.1	24.9
1997	7.3	1.4	17.4	2.7	4.4	15.1	8.1	18.9	24.7

Source: Statistics New Zealand.

investment in its export sectors. This can be a decisive factor in industries characterised by significant economies of scale, whose exploitation requires either a large domestic market or the ability to rely on exports.

While isolation could in principle explain why a country's level of income per person is low, it is less obvious whether it can explain its relative decline. That largely depends on whether it has become more or less isolated, in an economic sense, over time. As far as traditional transport costs are concerned, there are several reasons for thinking that the tyranny of distance has diminished. It is true that the export base has been dominated by items that are relatively expensive to move.[35] But growth in world demand has been concentrated in cheaper-to-ship manufactures and services, so the importance of freight costs has diminished. Second, overall freight rates themselves have fallen, and this has been most noticeable over long-haul routes.[36] Third, being a long way from markets is not much more costly than being just a "medium" distance away.[37] Fourth, international transport is typically only a third of door-to-door shipping costs, partly because it is so cheap: by one estimate, an additional kilometre of overland transport costs seven times as much as an additional kilometre by sea (Redding and Venables, 2001). Fifth, and for the same reason, being close to markets but landlocked can be as much of a handicap as being far away.[38] Sixth, if transport costs were a major determinant of export performance, then we would expect to see stronger export growth for goods that were cheaper to ship, all other factors equal. There is, at best, only a weak correlation between export growth and freight costs (Figure 29). Finally, New Zealand's export growth performance has been considerably worse than Australia's, despite their being at a similar distance from their main markets.

On the other hand, the effects of distance from markets include other dimensions, in addition to narrowly-defined transport costs. For example, the time needed for transport, which is related to distance, can be a significant factor.[39] Recent changes in the organisation of production, with an increase in the degree of vertical specialisation in trade, may have made transport costs in general, and the time factor in particular, more important.[40] For example, in manufacturing, the widespread use of just-in-time inventory management, combined with flexible production processes able to respond quickly to demand changes, can be compatible with a high degree of de-localisation of production to take advantage of lower-cost locations, provided that delivery times are short. If a location is remote, exploiting any cost or other advantage may be possible only if transport by airfreight is economically feasible. Moreover, there are costs connected with gathering and transmitting information (*e.g.* of learning about foreign markets; of managing and monitoring foreign operations; of sharing knowledge and ideas), which are relevant to all international business, but particularly to creative, knowledge-intensive activities. Developments in ICT are driving these costs down dramatically, but they are also allowing information- and knowledge-based activities to become more central to all productive processes than ever before. To the

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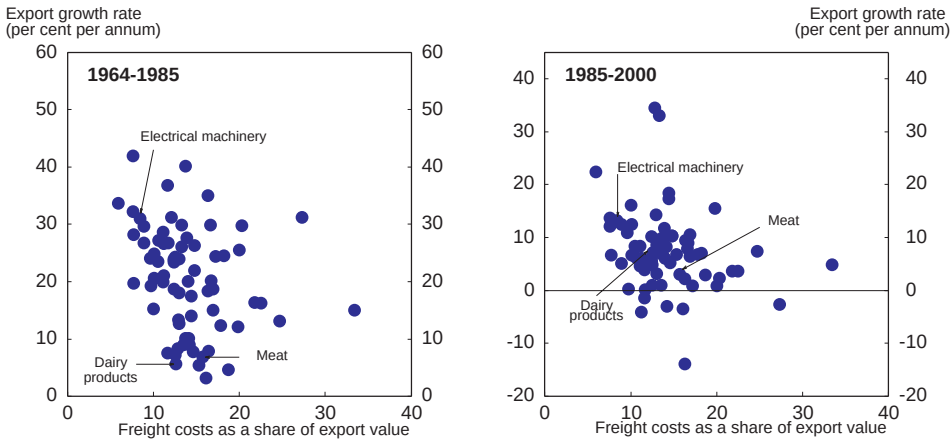
Figure 29. **Export growth rates and freight costs**[1]
Each dot represents an individual commodity (at the two-digit SITC level)



1. Freight costs are estimated *ad valorem* freight rates in 1995, calculated by Hummels (2000).
Source: Hummels (2000) and OECD calculations.

extent that direct personal contact continues to be a crucial part of these activities, distance can still matter, although also in this case it is not clear that the cost associated with a long distance is greater than that of a medium one.

As regards size, although New Zealand is among the smallest OECD economies, it is not particularly small by the standards of many European or Asian economies that have managed to sustain high growth rates in recent decades. However, all these economies are located very close to large and densely populated economic areas. Thus, it is possible that, while either distance or size alone may not represent a decisive handicap, their combination could critically affect location decisions. Having neither the advantage of size nor that of proximity to markets may have restricted the range of sectors for which New Zealand may be an attractive location to those with low transport costs and/or limited economies of scale.

Nevertheless, exogenous conditions such as geography interact with endogenous factors, some of which can be influenced by policies. According to modern trade theories, the interplay of transport costs, economies of scale and the size of the domestic market with the more traditional sources of comparative advantage determines flows of investment and labour across countries or regions and can give rise to cumulative processes of agglomeration and clustering of

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groups of complementary industries. The case studies collected by Porter (1990) seem to indicate that, while economies of scale and induced agglomeration dynamics are important, initial conditions, including the availability of skills and intermediate inputs, innovative entrepreneurship, readiness to absorb technology and a sophisticated domestic market are a key element in the formation of successful clusters. At least for some sectors, these factors can overcome the effect of distance and size.

Comparative advantage in slow-growth export commodities

New Zealand's export performance may also have been handicapped by its specialisation in agricultural products. Trade in agricultural products worldwide has historically grown considerably more slowly than for other categories, partly because food consumption falls as income rises and because agricultural markets are highly protected in most industrialised countries. This, however, can only be part of the explanation. The gap between the growth rate of New Zealand's total merchandise exports and the expansion of world trade in the 1990s was due in part to a composition effect related to New Zealand's specialisation in agricultural products, whose world market expanded more slowly than for all other product groups, but also in part to the fact that, within each product group, New Zealand lost market share (Table 18).[41] By contrast, Australia managed to do significantly better, thanks both to more favourable composition effects (as the market for minerals, in which it is more heavily specialised, grew faster than that for agricultural products), and to the fact that it managed to gain market shares.

Over the medium and long run, the composition of a country's exports cannot be considered as given, nor, for each category of goods or services, is the country's export growth limited by the rate of growth of the world market. By improving competitiveness, an economy could in fact increase its market share in its traditional exports and/or diversify into new export markets. If New Zealand has not been able to do so, other factors must have been at play.

The cost of capital is too high

To the extent that international capital markets are not fully integrated, New Zealand firms would be at a disadvantage if they face a persistently higher cost of capital than competitors from other countries. Although there is evidence that real interest rates are higher than in its main trading partners (see Figure 12, Panel B in Chapter II) and the capital market is relatively less developed, attempts to quantify the overall impact of these factors face considerable methodological difficulties. An attempt to assess whether the cost of capital faced by New Zealand companies is higher than in other countries has been made by Lally (2000). According to his estimates the historical average of the real cost of capital

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Table 18. **Sectoral composition of exports**

	Share in total exports in 2000	Annual percentage change[1] 1990-2000
Agriculture		
New Zealand	57.6	0.3
Australia	25.6	1.3
OECD	7.9	0.1
World	8.8	0.9
Mining[2]		
New Zealand	12.3	1.6
Australia	50.5	2.1
OECD	11.3	0.8
World	12.8	3.1
Manufacturing		
New Zealand	30.1	3.0
Australia	23.8	6.0
OECD	80.7	4.0
World	72.8	4.6
Total merchandise exports		
New Zealand	100	1.2
Australia	100	2.6
OECD	100	3.2
World	100	4.1

1. Export values in current US dollars, deflated by US GDP deflator.
2. Including unspecified products.
Source: World Trade Organisation.

for New Zealand companies is around 3 percentage points higher than in the United States, but only slightly higher than in Australia; about 2 percentage points of the difference with the United States is due to the real long-term interest differential, while the rest reflects the equity-market risk premium. As regards the interpretation of these two components, the differential between US dollar-denominated New Zealand government and US Treasury bond yields can be used to estimate the sum of liquidity and default risk premia, which is equal to about half a percentage point; the remainder of the real interest differential can be interpreted as covering (real) exchange rate risk. These estimates need to be taken with considerable caution, as results can vary a lot depending on the period considered and the methodology used. As already mentioned in Chapter I, one factor that may account for the relatively high interest differential relative to the US dollar is New Zealand's persistent current account deficit and its large accumulated net debtor position. As for the component of the cost of capital connected to the equity-market risk premium, it is due primarily to more limited diversification given the small number and narrow range of companies quoted in the local stock market, offset only in part by the more favourable tax treatment of capital gains in New Zealand than in the United States.

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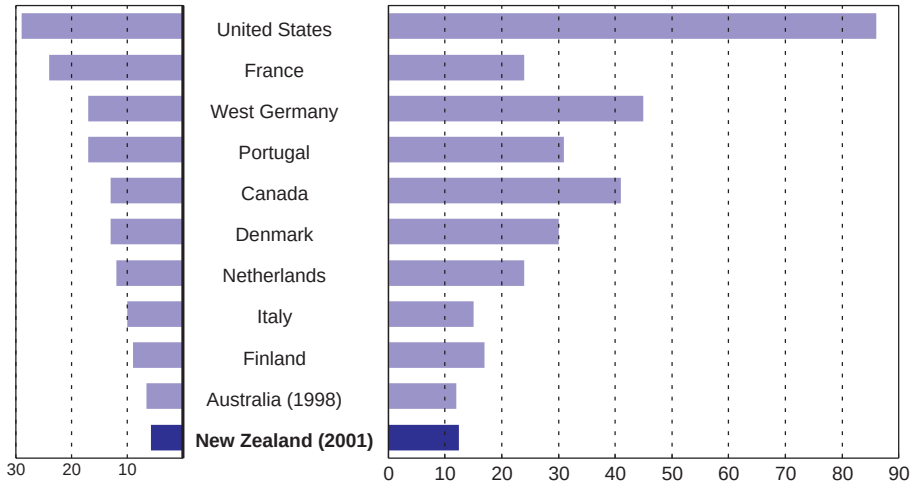
The above comparison applies to quoted companies. It may, nevertheless, provide a good indication of the general situation if the cost of capital faced by such firms relative to their non-quoted and unincorporated counterparts and the relative weight of these categories in the overall business sector were broadly similar across countries. While these two conditions are reasonably close to being met when New Zealand is compared with Australia, they are not if the comparison is with the United States. *First*, although New Zealand's financial system has made considerable efficiency gains since its liberalisation in 1984-86, the capital market remains less developed than its US counterpart, particularly as regards access to venture capital for start-up firms. *Second*, a much higher proportion of New Zealand firms are small as compared with most other OECD countries, including the United States (Figure 30). As small firms tend to have more limited access to financial markets and face higher borrowing costs due to informational barriers, it is likely that the cost of capital faced by an average New Zealand firm is even higher, in relative terms, than indicated by standard comparisons.

If the cost of capital in New Zealand is indeed higher than in other countries, one would expect to observe, *ceteris paribus*, lower investment ratios. New Zealand's ratio of investment to GDP is below the OECD average (Table 19), and the difference is larger if one considers non-residential investment. However,

Figure 30. **Average size of firms**
Number of employees per firm, 1989-94



Source: New Zealand Ministry of Economic Development and OECD.

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Table 19. **Investment to GDP ratios**

	1971-80	1981-90	1991-00	1996	1997	1998	1999	2000
New Zealand								
Business	11.8	12.6	11.2	12.8	11.4	11.5	10.8	11.5
Machinery and equipment	..	..	6.3	6.8	6.2	6.1	5.8	6.6
Residential	4.7	4.1	5.3	6.1	6.3	5.3	5.7	5.4
Australia								
Business	17.4	18.2	14.9	15.4	15.6	15.9	15.9	14.3
Machinery and equipment	7.5	8.5	8.0	8.6	8.9	8.7	8.5	8.1
Residential	4.9	4.7	5.0	4.2	4.6	5.1	5.3	5.6
Canada								
Business	12.9	12.7	11.4	10.7	12.6	13.0	12.9	12.9
Machinery and equipment	..	9.6	9.4	8.8	9.9	10.3	10.4	10.4
Residential	6.5	5.9	5.0	4.7	4.9	4.6	4.7	4.6
United States								
Business	11.3	11.9	11.4	11.5	12.0	12.5	12.7	13.1
Machinery and equipment	7.3	7.7	8.5	8.6	8.9	9.3	9.6	9.9
Residential	5.0	4.3	3.9	4.0	3.9	4.1	4.4	4.3
EU								
Business	14.1	13.0	12.4	11.9	12.3	12.9	13.1	13.6
Machinery and equipment	10.4	9.6	9.1	8.8	8.9	9.4	9.6	9.9
Residential	6.7	5.5	5.0	4.8	4.9	4.9	5.1	5.1
OECD								
Business	14.7	13.8	13.1	12.8	13.2	13.8	13.7	14.0
Machinery and equipment	9.9	9.6	9.1	9.2	9.3	9.5	9.5	10.0
Residential	6.3	5.4	5.0	5.0	5.0	4.9	4.9	4.8

Source: Statistics New Zealand and OECD.

both among OECD and non-OECD countries, measured investment ratios are not very highly correlated with income growth rates, indicating that the quality of investment, connected to the absence of distortions in market signals, could be more important than its measured quantity (Easterly, 1999). Moreover, if cost of capital were the decisive factor, it would be difficult to explain why Australia, which according to the above-mentioned estimates has a cost of capital only slightly lower than New Zealand's, has achieved consistently higher rates of investment and growth in recent years.

Assessment: New Zealand's growth prospects

To sum up, economic reforms have clearly halted the decline in New Zealand's relative income per capita. But performance can be lifted further, and obviously must be if the country is to achieve its goal of climbing back up the rankings. While New Zealand's broad policy framework is sound by OECD standards, other countries, and especially its neighbours and main trading partners,

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Box 10. **The Growth Project: Key policy recommendations**

1. ***Invest in human capital*** by strengthening education and training, making the teaching profession more attractive, improving the links between education and the labour market and adapting labour market institutions to the changing nature of work.
2. ***Stimulate firm creation*** by improving access to high-risk finance, reducing burdensome administrative regulations and instilling positive attitudes towards entrepreneurship.
3. ***Facilitate the diffusion of* ICT** by increasing competition in telecommunications and technology, improving skills, building confidence and making electronic government a priority.
4. ***Foster innovation*** by giving greater priority to fundamental research, improving the effectiveness of public R&D funding and promoting the flow of knowledge between science and industry.
5. ***Strengthen economic and social fundamentals***, by ensuring macroeconomic stability, encouraging openness, improving the functioning of markets and institutions, and addressing the distributional consequences of change.

continue to push ahead with policy reforms. And there is still work to be done in New Zealand. The OECD's *Growth Project* brought together a considerable amount of empirical research on the determinants of growth and demonstrated that there are no easy answers. Its five broad policy recommendations are listed in Box 10. The remainder of this chapter takes a selective look at issues in each of these areas in an attempt to uncover the parts of the structural framework that have the greatest room for improvement.

Investing in human capital

This section looks at ways to raise the quality and quantity of human capital. It reviews the quality of the current stock, how well it is utilised, and the quality and level of new investment in human capital. The major problems are the number of low-skilled people in the working-age population and the number of students who continue to drop out of school with inadequate attainment levels. These areas should get the lion's share of the government's attention and resources. Lifting the performance of under-achievers, greater community involvement in schooling, and programmes aimed specifically at the most disadvantaged ethnic groups have been priorities for decades. They were key themes of major Education Ministry reports in 1962, 1974, 1987 and 1999, yet gaps in achievement

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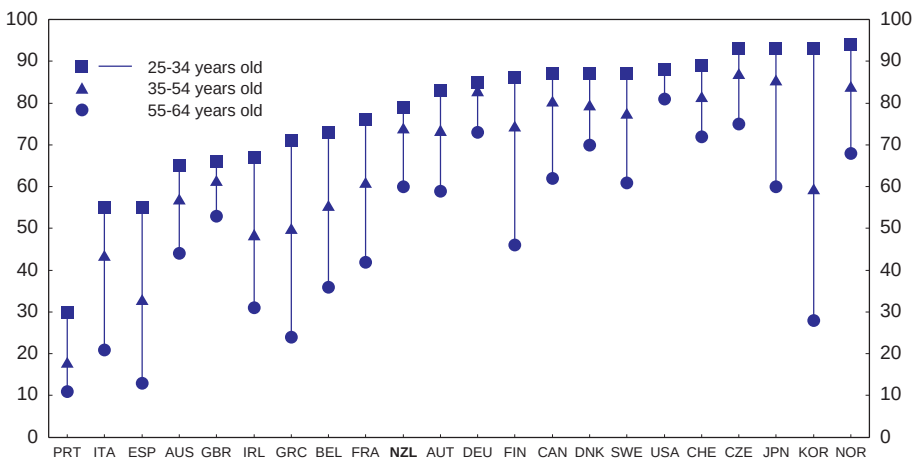
remain wide.[42] Insufficient progress over a span of decades is partly attributable to the fact that these issues are genuinely amongst the most difficult to tackle, as they are caused by a combination of factors including poverty, poor health and cultural factors. Even so, there is scope for structural reforms to improve outcomes. Focussing on under-performance begs several strategic questions. What is the best mix of government funding among the different levels of education? If early interventions are better, should funding be more concentrated at lower levels? What should be the relative priorities between income support, encouraging active training or on-the-job learning, and policies that reduce work disincentives in the tax-benefit interface?

An assessment of the stock of human capital

Older New Zealanders are fairly well educated by OECD standards. A large proportion of older age groups has at least an upper-secondary qualification (Figure 31), and the average number of years of education of the working-age population in 1970 was among the highest in the OECD. But the country has been left behind since then; significant gains in education levels elsewhere have not been matched to the same degree in New Zealand (except very recently). As a consequence, younger New Zealanders (25-35) are now in the middle of the pack.

Figure 31. **Population with at least an upper-secondary qualification**
1999, per cent



Source: OECD, *Education at a Glance*, 2001.

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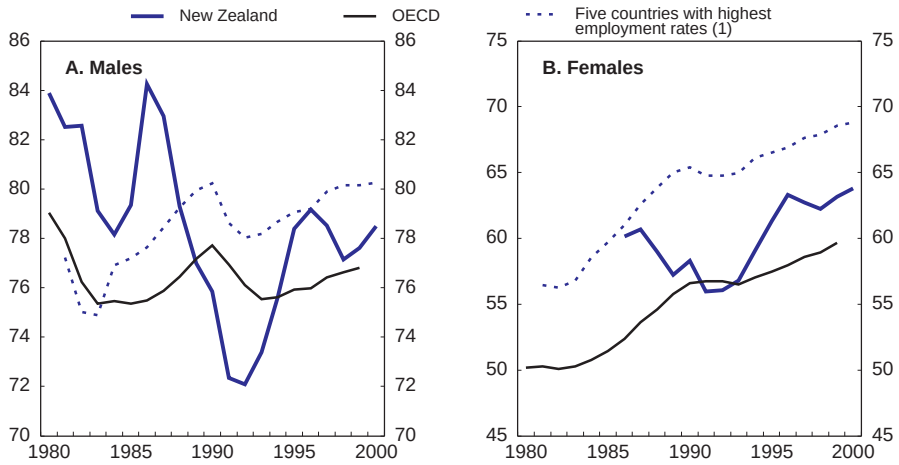
Having said that, adult literacy is an area of concern. Both document and quantitative literacy are on the low side,[43] especially so for ethnic minorities. This has the potential to constrain growth over the next few years, given that the unemployment rate of the most literate group is already very low. In 2000, the government launched an Adult Literacy Strategy, with a focus in the first two years on improving the quality of courses rather than putting more people through them. Consequently, the increase in funding for adult literacy programmes is relatively small, amounting to just NZ$ 5 million per year.[44]

Utilising existing skills

The stock of human capital is reasonably well utilised in the sense that employment rates are above the OECD average: slightly so for men and more so for women (Figure 32). This is particularly the case among the youngest and oldest age groups, while the employment rate of 25-54 year-olds is close to average. Part-time employment is more common than in most countries for both men and women. This can be advantageous, by adding to labour-market flexibility and giving some people (especially care-givers) an opportunity to work. It can also be a drawback, as surveys show that a quarter of all part-time workers would prefer to work full time if they could. In those cases, their skills are being under-utilised.

Figure 32. **Employment rates are above average**
Percentage of the working-age population that is employed



1. United States, Denmark, Norway, Sweden, Switzerland.
Source: OECD, *Annual Labour Force Statistics*.

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Even so, there is room to raise employment further since the top half-dozen countries have employment rates several percentage points higher. Policies to boost participation were discussed in the previous chapter and include shifting towards more active labour market policies, redesigning the tax-benefit system ("making work pay") perhaps by tightening the work test for some groups, and benefit administration in general, and ensuring that the wage bargaining system does not add to the structural rate of unemployment. On the last point, changes to the wage bargaining framework that took effect in October 2000 have not yet had a significant impact on the labour market, partly because few multi-employer contracts have so far been negotiated under the new *Employment Relations Act*. However, demand for these types of contracts appears to be growing. Industry-wide bargaining is arguably the least satisfactory wage-setting arrangement to encourage high employment (OECD, 1994), so a careful watch will be needed to ensure that the significant reduction in structural unemployment from an estimated 8 per cent in the early 1990s to a little over 5 per cent today is not lost. In addition, there is an important regional aspect to non-employment, with some regions facing (seasonal) shortages of even unskilled labour, while others have high unemployment rates. Regional development policies need to ensure that labour mobility is not discouraged.

Building skills

As with physical capital, the stock of human capital can be increased in three ways: through the construction of new human capital (educating youngsters); refurbishment (retraining adults); and acquiring skills from offshore (immigration). Each area is discussed below.

Early childhood education

Children from poorer socio-economic backgrounds or with poorly educated parents enter the education system at a significant disadvantage, but high quality early childhood education can go some way towards closing the gaps in achievement. A concern, though, is that while participation at the pre-school level is among the highest in the OECD, those who are likely to benefit most are accessing it the least. Of the new school entrants in 2001, only 6 per cent of Pakeha children had not done some form of pre-school education, compared with a fifth of Maori and a third of Pacific children.[45] Pre-school programmes are privately run, but funding is shared between government and parents, with the subsidy rate depending on local needs. The government has taken several steps to increase attendance by the most at-risk children, including increased funding of day-care, increasing the pre-school subsidy (by a small amount),[46] and pay parity between teachers at kindergarten and primary school. However, the extra resources are not available for private for-profit providers. Cost may not have been the main barrier,

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however. Innovative community-based schemes are being tried out, in which individual families are targeted in an attempt get more children into pre-school. This approach should remain a priority.

The quality of education and care is inadequate in some cases. An institution must be licensed and meet minimum quality standards in order to receive government funds (90 per cent of children are in licensed institutions). In addition, the government has developed an early childhood curriculum, but its use is not compulsory. However, in 2000 the Education Review Office raised concerns about the quality of teaching in some institutions. Kindergartens (which are staffed by registered teachers) and play-centres were both found to provide good quality staff-child interactions. Quality was patchy amongst *kohanga reo* (Maori language nests) and in the generic "other" category, where some were excellent, but a significant fraction had deficiencies in either setting tasks that were both stimulating and appropriate to the age of the child, or in safety. Some steps have been taken to address these concerns, including linking funding to the qualifications of staff and providing them with in-service professional development, but it remains to be seen whether this will be enough. It may be necessary to put greater resources into the more intensive types of pre-school care, make the curriculum compulsory, or alternatively take the opposite route of an outcomes-based (or quality-based) approach, as is used in Australia.

Coping with under-achievers in schools

The vast majority of children are educated at state-funded and state-run schools. But how good the system is remains unclear. In terms of average performance by students, international surveys have given conflicting signals. The OECD's PISA study found that New Zealand's 15 year-olds were amongst the best in the world. On the other hand, the 1999 TIMSS survey ranked New Zealand's 13 year-olds as eleventh out of the 12 participating OECD countries, even though an earlier TIMSS study had found 17 year-olds performed slightly above average.[47] Even so, the vast growth in the number of foreign fee-paying students at New Zealand schools suggests that they at least are confident of receiving a good-quality education.[48]

However, it is clear that there is an unusually wide spread in outcomes between the best and worst achievers. Currently, a third of students leave school with only basic or no qualifications, many falling into a gap between school, work and further education. Reasons for these disparities are complex and are apparent at an early age. The government has increased its focus on literacy and numeracy, and while there are remedial programmes that try to bring weaker children up to speed, some targeted specifically at Maori and Pacific Island children and their communities, the fact that disparities tend to widen as students go through school[49] suggests that their quality or quantity

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may not be sufficient, or that a broader approach is needed. In particular, concerns have been raised about the teaching of reading in schools (especially remedial teaching), including insufficient use of alternative approaches to teaching reading, inadequate teacher training and a shortage of Maori-speaking teachers (Education and Science Committee, 2001). In 2000, around NZ$ 18 million was spent directly by government on reading recovery programmes, with at least that much again being spent out of schools' discretionary funds. However, such programmes were more prevalent in high-decile than low-decile schools and school-specific programmes cover only a minority of the poorest schools.[50]

Levels of performance and innovation in schools would be lifted if they were given greater management freedom and if parents were given greater choice. Several policy changes in these areas were discussed in Chapter III. In brief, managers have wide freedom over approximately a quarter of their budgets, but staffing levels, teachers' pay, and capital are largely set from the centre. However, there is room to increase flexibility further and the need to do so is likely to rise over time. In addition, abolishing rigid geographically based zoning increased parent choice and competition between schools. The results from these reforms, while mixed, had several positive results, notably by allowing many minority students more schooling choices. These changes could have been even more successful if the government had committed extra resources to the most popular schools.

Other potential areas for improvement include earlier nation-wide assessment, greater support for struggling schools, improving teacher training and professional leadership, and addressing problems in rural schools. The Education Review Office (ERO) has the role of assessing schools, but it is not as effective as it could be because it lacks sufficient information on achievement. Students do not face a national examination until they are 15 years old, by which time it may be too late to fix any problems. Consequently, its reviews have tended to focus on process rather than outcomes. Earlier assessment may therefore be useful for both students and the system itself and work is now underway to develop externally referenced tests for younger students. In addition, the reforms of the 1990s, which handed some control back to individual schools and their Boards of Trustees, highlighted that a significant minority do not have the required management skills. As in several other countries, schools in wealthier neighbourhoods have little problem co-opting parents who are accountants or lawyers to help with planning and budgeting. But this is not an option for some schools, and support from the centre has been insufficient. This has been particularly acute for rural schools. Both increased flexibility in how schools are managed (for example, the government is considering allowing rural schools to combine resources and be run as co-ops), and *greater* central control may be needed in such cases, and some steps are being taken in these areas.

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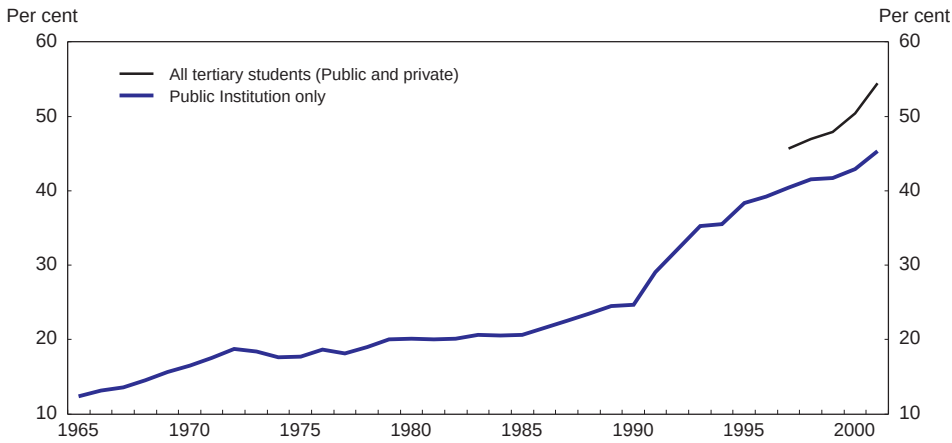
Tertiary education and industry training

Tertiary participation has grown enormously in the past decade (Figure 33), partly due to a policy of open access and a well-designed student loan scheme. The entry rate to tertiary education, including vocational training courses, is the highest in the OECD, having jumped substantially with the introduction of the student loan scheme in 1992. Participation increased again in 1998 when Private Training Enterprises (PTEs) became funded on the same basis as government-owned providers. Demand-driven funding has also played a significant role. Institutions are funded according to the number of students, and the equal treatment (at least until recently) of public and private providers meant that a quasi-voucher system was effectively in place.

Opening the system to competition has led to an explosion in the number and diversity of providers. PTEs are typically small, specialist schools that offer industry training in areas such as tourism, hospitality, agriculture, electronics and Maori language. There were 840 such institutions in 2000, around half of which qualified to receive government funding, and collectively they provide the majority of industry training. To some extent they cater for a niche vacated by polytechnics as the latter moved towards more academic courses. They also fill an ethnic

Figure 33. **Tertiary enrolments have grown quickly since 1990**

Number of tertiary students as a percentage of population 15 to 24[1]



1. This series is comprised of a number of counts of tertiary students, which change definition over time. Breaks in the series occur in 1988, 1991 and 1994.

Source: Ministry of Education and Statistics New Zealand.

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Table 20. **Half of PTE students used to be on a benefit**
First-year tertiary enrolments in July 2000, per cent of total

	Student was previously:				
	At school	Employed	Beneficiary	Overseas	Other
Private providers (PTEs)	20	26	45	5	4
Government providers	45	29	17	7	2
Total	37	28	26	6	3

Source: New Zealand Ministry of Education.

niche: Maori participation at university remains low, but 40 per cent of PTE students are Maori. In addition, PTEs provide a path from welfare to work. Almost half of PTE students in 2000 were previously benefit recipients (Table 20) and had no upper-secondary school qualifications. While there is no *direct* information on whether PTE students are more likely to move into work as a result of such study, the unemployment rate for PTE and polytechnic graduates is around half the level of those with no qualifications (Table 21), although the gap has shrunk over the 1990s. As discussed in Chapter III, further competition is now on hold while the government considers the Tertiary Education Advisory Committee's (TEAC) recommendations on the funding framework. Final decisions have not been made, but the government has indicated a preference to reduce competition. That would be a mistake. It risks lowering participation by Maori and Pacific students, reducing the supply of skills into the labour market, lessening the likelihood that low achievers will move off welfare benefits, and stifling innovation and diversity in the way that students are taught.

Study has been made cheaper by the government-negotiated freeze on student fees and interest write-off on student loans for the term of study. It has also signalled a review of the student loan scheme with the aim of lowering study costs even further. TEAC has further recommended a move away from open entry towards restricting the number of students. However, restricting access at the

Table 21. **Unemployment rate of 25-34 year-olds**
Per cent

Highest qualification	Degree	Other tertiary	Upper secondary	School certificate	No qualification
2000	3.3	5.6	4.1	5.2	11.1
1990	3.3	5.4	4.5	5.7	13.5

Source: Statistics New Zealand.

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same time as lowering study costs will achieve nothing except to raise the fiscal cost of tertiary education without systemic improvements in access by the most needy. Worse, it risks imposing greater barriers to participation, discouraging life-long learning and impacting most severely on disadvantaged groups, compared to a policy that combines open access with limited financial support (Ministry of Education, 1999*b*).

The TEAC report made several suggestions for how to steer tertiary enrolments towards the government's priority areas. At present, the system is entirely demand-driven, subject only to capacity constraints. Perhaps as a consequence, it delivers relatively fewer graduates in mathematics, computer science and engineering, but relatively more in humanities, physical and life sciences, and agriculture (Table 22). TEAC's main recommendation is for government tuition subsidies to be based on factors other than cost: greater funding should be given to priority areas, and courses that do not meet a quality or desirability test should not be funded at all. While this is reasonable in principle, it risks being difficult to implement in practice (especially where courses bundle a range of different subjects). It will also be important to ensure that even-handed treatment of public and private providers be resumed. The benefits of competition need to be carefully balanced against the costs of duplication; the increase in diversity, innovation and participation by disadvantaged groups over the past few years places the balance of evidence firmly in favour of competition.

In tandem with changes to tertiary funding, the government will announce changes to the funding of industry training. This is currently channelled through 46 industry-designed Industry Training Organisations (ITOs), which do not provide tuition but oversee training for a particular sector, such as forestry. Collectively they offer 52 000 courses of study. Currently, total funding is capped rather than being demand driven (although funding has been increased in the last three bud-

Table 22. **Humanities and physical sciences are more popular than in other OECD economies**

Tertiary subjects studied, per cent of total

Subject	Degree courses		Diploma and certificate courses	
	New Zealand	OECD	New Zealand	OECD
Humanities, arts and education	33	27	48	22
Social sciences, commerce, law	29	35	35	32
Physical and life sciences, agriculture	14	8	4	2
Health and welfare	14	12	8	22
Engineering, construction	6	14	4	16
Mathematics, computer science	2	4	1	5

Source: OECD (2001), *Education at a Glance*.

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gets in response to increased demand). Options include moving to demand-driven funding, compulsory industry levies and encouraging amalgamations among the relatively fragmented bunch of ITOs.

Importing and keeping skills

Current immigration policies encourage the import of human capital from overseas. A points-based system, which is biased towards skilled (and rich) migrants,[51] is designed to allow a level of immigration that is relatively high by OECD standards (excluding intra-European movements).[52] The proportion of migrants who are skilled (60 per cent is the target for 2002) is also high. Several improvements were made to immigration procedures in 2001. *First*, companies are now able to make requests to the Immigration Service to streamline entry for highly skilled people where a national shortage exists. This extends an existing provision for people with ICT skills. *Second*, the skilled migrant stream can no longer be displaced by other categories (previously, excess demand in the family reunion stream, for example, could lead to a reduction in the skilled stream). *Third*, the government has already made it easier for skilled workers to change from a temporary work visa to residency status.[53] This is sensible, but there is increasingly fierce world-wide competition for the most skilled people, and immigration policy will need to adapt quickly to changes overseas. In some areas, New Zealand may already be a little behind the curve. For example, it is easier in many other countries for foreign students to change their residence status so that they can remain in the country and work after graduation (OECD, 2002). In addition, the government should consider whether there is any need to care about whether skilled migrants already have a job lined up. Finally, the tax system has "long arms" by OECD standards, being more aggressive at capturing revenues from overseas investments. This may discourage the richest migrants from settling in New Zealand, and the government should seriously consider the *Tax Review*'s suggestions on using tax policy to attract these people (see below).

The loss of skilled New Zealanders overseas may be more of a problem, with a fifth of the working-age population living offshore. However, there is less the government can do here short of ensuring that domestic policies – especially tax rates – do not drive or keep them away. The enforcement of student loan repayments should also be improved to ensure that there is no incentive to "escape" the loan by going overseas.[54]

Stimulating firm creation

The quality of government regulations and their administration in New Zealand is generally high by international standards. By the mid-1990s, comparisons of international competitiveness often put New Zealand among the countries with the most favourable economic environment for business, especially as

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regards the quality of government policies, regulation and public administration. In the following years, a slowdown in the momentum of the reform process has been reflected in a decline of New Zealand's relative position, even though in absolute terms the quality of regulation is still favourable (Nicoletti *et al.*, 1999). If the country is to remain a leader in these areas and become a more attractive location for business, it cannot afford to rely on past achievements. It must continue to adapt its regulatory environment to changing conditions and to learn from the experiences of other countries.

Reducing business compliance costs

One area where the government has been keenly aware of the need to improve the regulatory environment is that of compliance costs for businesses, in particular for small and medium-size enterprises. Efforts have focussed both on ensuring that complying with new laws and regulations is not unnecessarily burdensome and on reducing the costs deriving from existing regulations. Also the recommendations of the Ministerial Panel on business compliance costs, which issued its report in July 2001, focussed on these two aspects. The government published its response to the report in December, undertaking to implement several of its recommendations.

Already in recent years, the government had implemented several measures to increase the effectiveness of the review procedures to which legislative and regulatory proposals are subjected to assess their impact on compliance costs. A Generic Policy Development Process (GPDP) and a Code of Good Regulatory Practice were published, providing general guidelines on regulatory efficiency, transparency, clarity and equity, although their use is not mandatory. Moreover, since 1998 any legislative proposal must be accompanied by a Regulatory Impact Statement (RIS). In October 2000, the government announced a strategy for reducing compliance costs and improving the regulatory process. In April 2001, it introduced the requirement that, for every new legislative or regulatory proposal, the RIS must also include a Business Compliance Cost Statement (BCCS), to be made public. It was also announced that test panels would be set up, where necessary, to assess the costs and workability of new regulations before they are enacted. In addition to these measures, the 2001 Panel report recommended making the Code of Good Regulatory Practice and the GPDP mandatory, especially for policies that impact business, and requiring an early publication of the RIS/BCCS, allowing more time for consultation with the affected parties.

As regards the Panel's recommendations aimed at reducing unnecessary compliance costs connected to *existing* regulations, the area where these costs were found to be particularly high is the implementation of environmental legislation. The Resource Management Act (RMA) of 1991 is implemented inconsistently at the local level, and the process can involve long delays, particularly when cases

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are finally referred to the Environment Court. In some instances, the scope for lodging objections seems to have been used by third parties for anti-competitive rather than environmental reasons. The solutions proposed by the panel include streamlining consent procedures, adding to court staff and providing local administrators with clearer guidelines, best practice standards and additional training. Two additional areas covered in the report, and on which the Panel made several useful recommendations, are workplace, health and safety regulations,[55] and tax-related compliance costs.[56]

On the whole, the government has shown a determination to reduce compliance costs and has started implementing several of the recommendations of the Ministerial Panel. What seems to be still missing, however, is a sense of urgency on the main area of concern – the RMA – as well as a willingness to commit sufficient resources to the Environment Court and to impose tighter limits, where necessary, on the discretion and the time available to local councils for their RMA-related decisions. The government should proceed rapidly with the implementation of the proposals it has agreed to and closely monitor the results of the actions already taken.

Assisting business start-ups and entrepreneurship

Over the past couple of years the government has taken a more active role in business development and industry assistance. Its new flagship organisation, I*ndustry* N*ew Zealand* (INZ), is focussing on assisting business start-ups and providing information and education to entrepreneurs and small firms. It also has a role in regional development. So far, direct industry assistance has remained fairly modest. In 2002, the government plans to spend roughly NZ$ 220 million on direct industry assistance programmes. The budget for INZ is around NZ$ 90 million, which is around one-sixth of its sister organisation in Ireland (adjusted for relative GDP levels). Of that, around NZ$ 40 million is for grants and the rest is to fund its advisory and information programmes.[57]

To get funding, projects must be well defined, be able to be evaluated and not displace activity that would otherwise take place (*i.e.* minimum deadweight loss). Any grant must be matched by private money; a fledgling firm then has several years to take up the grant, but cannot do so until specific milestones from its business plan have been reached. Some impact evaluation is planned, although it is not clear how much or how effective this will be in practice. This framework is reasonably astute and should minimise the chances that money is wasted or competition distorted. The test, of course, will be in its application.

Having said that, INZ's advisory role is not filling any obvious gap in the market. For example, the BIZ T*raining* and I*nfo* schemes, which cover topics such as business planning, finance, and bookkeeping, seem to offer little that could not

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be picked up at night-school or from a local accountant, bank or chamber of commerce.

In the first half of the 2001/02 financial year, only around NZ$ 6 million of the budgeted NZ$ 40 million had been taken up. This mostly reflects the delay between approving a grant and a business reaching milestones that allow them to draw on the grant. Despite INZ's role as a one-stop shop, industry assistance remains highly fragmented and poorly understood. For example, in late 2001, nearly three-quarters of surveyed small firms did not know what INZ does, 84 per cent were unaware of what FoRST (the government's main research funding agency) offered, and 84 per cent had never heard of the government's e-commerce Action Team.[58] In addition, various overlapping programmes are offered by at least a dozen agencies, such as: "investment support" programmes within INZ, TradeNZ, and FORST; and "business advice, mentoring, and information" programmes within INZ, TradeNZ, Inland Revenue, and the four ministries of Social Development, Women's Affairs, Maori Affairs, and Pacific Island Affairs. A tidy-up is called for.

The role of venture capital

Although it is growing fast, the venture capital market is small, particularly if compared with other OECD countries (OECD, 2002*c*). Estimates of available capital are rough-and-ready but are in the range of NZ$ 750–2 000 million.[59] The market makes up for this with one of the world's highest rates of informal investment, where in many cases the investors are family members.[60] In order to accelerate the development of the venture capital market, in 2001 the government set aside NZ$ 100 million to establish a venture capital fund. It will consist of around ten closed-end ("hybrid") funds in which the government will contribute up to a third of the capital, with the rest coming from the private sector. Each fund will last seven to ten years, will invest in a variety of start-up projects (with a maximum investment in any enterprise of 15 per cent of the fund's capital) and will be managed privately. Investors will have the option to buy out the government's share until midway through the life of the fund, in which case the government would receive back its capital plus an interest payment based on the government bond rate. In that sense, the government is giving a free option to private investors. If the government is not bought out, it will be treated like other investors and will share *pro rata* in the fund's profits or losses. The NZ$ 100 million capital comes from the balance sheets of Crown Research Institutes and other state-owned enterprises. The arms-length management of the funds is a particular strength and should ensure that funds are allocated about as sensibly as could be hoped for in this highly speculative area.

A question that needs to be addressed is whether capital gains from such funds are taxable, as uncertainty in this area may be holding back the develop-

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ment of the industry. Capital gains in New Zealand are exempt from tax unless the assets were bought with the primary intention of selling for a profit. Venture capital funds are usually closed-end, which means they will be wound up at a specified date. In addition, a pre-determined exit strategy is an important part of all venture capital projects, including those where management advice comes bundled with the equity. Both factors may be interpreted as an intention to sell for profit, thereby making them liable for tax. That may put these funds at a tax disadvantage relative to other investments. In any event, the uncertainty needs to be removed.

Seizing the benefits of ICT

E-*commerce*

It is difficult to get an unblurred "snapshot" of a country's relative position in an industry changing as fast as e-commerce. That said, New Zealand compares well when it comes to the infrastructure needed for e-commerce, at least for slow-speed access. It ranks well in the number of secure servers, a pre-requisite for online transactions, and in the number of internet hosts (Figure 34). Internet use by households is high, partly because local calls are free at the margin for both data and voice traffic.

Where it ranks less well is in the use by businesses of that infrastructure. While around 80 per cent of (larger[61]) businesses use the internet regularly, only a third have their own website (Figure 34, Panel B). A staggering 30 per cent do not consider the internet relevant to their business activity. Of those that do have their own website, most use them as online brochures: around ten per cent of sites have facilities for online ordering, and less than 4 per cent can handle online payments. Even accounting for the small average size of New Zealand firms, the use of the internet for business-to-business purchasing is also relatively low by international standards (with the exception of New Zealand's wholesale electricity market, which is conducted over the internet, the first in the world to do so). Total sales generated through the internet, including both consumer and business transactions, have been estimated at around 0.3 per cent of total sales, implying that the industry is still clearly in its infancy.

New Zealand is also lagging in the rollout of high-speed internet access, although it is not clear whether this is due to infrastructure or take-up. In 2001, it was 19th among OECD countries in broadband penetration. One reason for this may be pricing, which is still not attractive to the mass market: downloads are free up to a certain number of megabytes, but are metered thereafter. However, this market is rapidly changing. A competitor to the incumbent phone company has plans to roll out a cable network that will cover 70 per cent of New Zealand homes, although it is considering whether to push ahead with its investment programme

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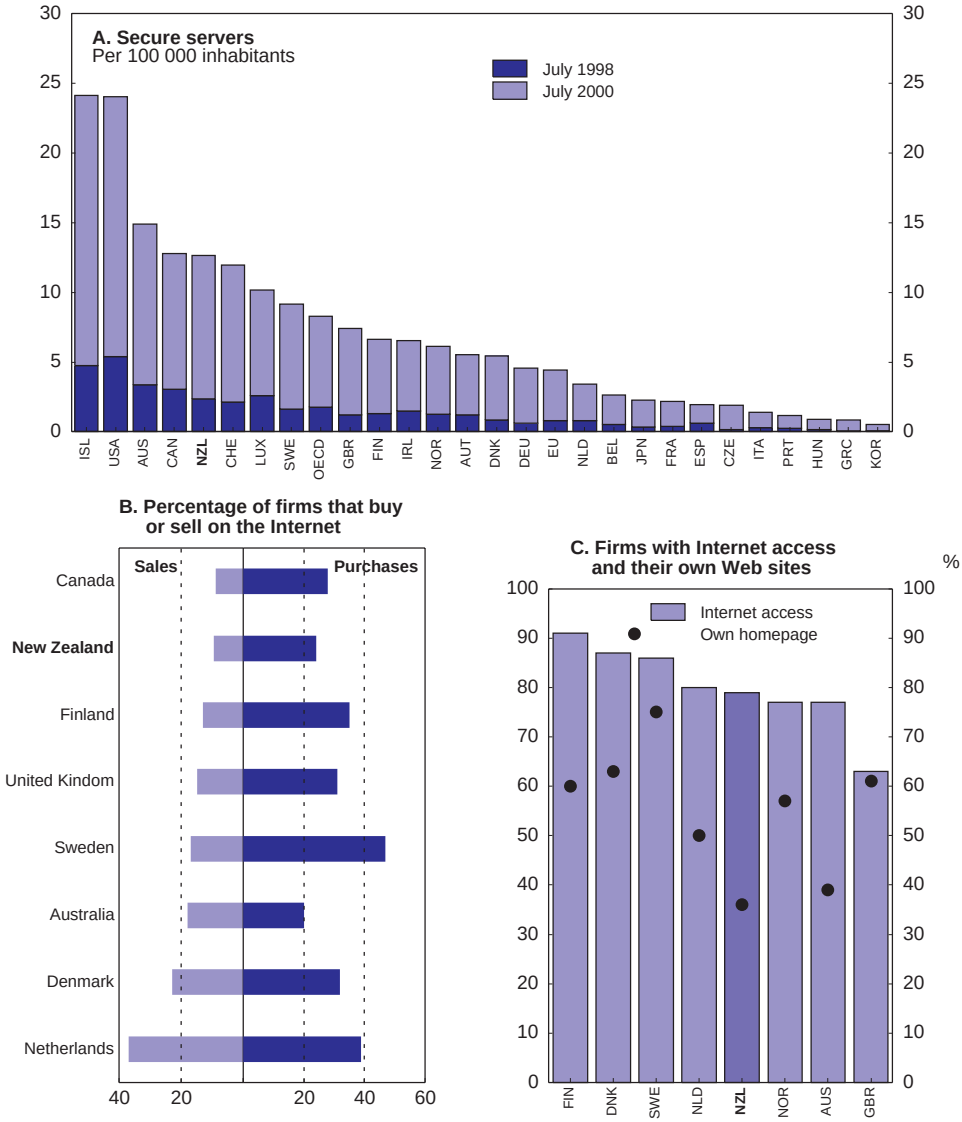
Figure 34. **Good Internet infrastructure but less good takeup**[1]



1. Excludes smallest firms (typically fewer than five employees). See OECD (2001), Figure B.5.4 for further details. Figures are for 2000 except New Zealand (2001).

Source: OECD, *Science,Technology and Industry Scoreboard*, 2001 and OECD, *Communications Outlook* 2001.

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or to lease existing infrastructure. Its decision may be influenced by recent changes to access regulations in telecommunications (see below), emphasising that government should tread extremely cautiously in its regulation of such a crucial and dynamic industry. In addition, the main dairy processor, Fonterra, is considering setting up its own satellite-based broadband network for farmers, a market that would otherwise be too expensive to service. On the regulatory side, an *Electronic Transactions Bill* is now before parliament. Along with similar legislation in other countries, this removes impediments to internet transactions by giving them legal status, laying down electronic signature rules, allowing records to be kept in electronic rather than physical form, and limiting the liability of internet service providers.

Telecommunications

A new regulatory framework for the telecommunications industry came into effect this year, replacing the previous reliance on general competition law. The change was motivated by concerns over the development of effective competition and the amount of time taken to resolve disputes over access to network infrastructure using the normal approach of legal challenges under the Commerce Act. Rather than follow most other OECD countries and require the local loop to be unbundled, the government chose a less interventionist approach. The main features include: *i*) creating an industry forum that includes all telecommunications and broadcasting network operators, in order for the industry to find its own solutions to problems as they crop up; *ii*) creating a Telecommunications Commissioner with powers to regulate specific services where self-regulation has been found to be ineffective; and *iii*) two levels of access regulation. The first is simply a requirement for an incumbent network owner to supply services on request in a timely and non-discriminatory way, at a price to be determined by negotiation. The second is access regulation combined with a set of pricing principles or regulations. These pricing rules will be invoked only if the parties cannot agree among themselves.

Initially, the weaker form of access regulation applies to mobile roaming (allowing a new entrant to use the networks of the two current mobile operators in areas where it doesn't have coverage of its own) and co-location (putting a transmitter on a competitor's cell site).[62] These access benefits are available for a limited time only (while they roll out their own network), and any entrant wanting access must have an approved business plan to show that their intention to establish a network is genuine. This should make it easier for new operators to enter the market using a phased expansion, rather than needing a nation-wide network in place before they open their doors. However, an additional barrier to entry may be created if the business plan requirements are too stringent. The services subject to the stronger form of regulation include inter-connection to the loop, whole-

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saling of Telecom's retail services and number portability. The exact pricing formulas are yet to be determined by the Commissioner. However, the wholesale price of retail services will be on a "retail minus" basis and interconnection prices will be based on Telecom's "avoidable costs". In general, access regulation of this sort promotes competition in the delivery of services but risks hindering infrastructure competition, because the incentive to invest in new infrastructure can be reduced by new entrants "free riding" on others' networks if access prices are set too low.[63] This ubiquitous regulatory trade-off between static (allocative) and dynamic efficiency may be particularly acute in the fast-changing telecommunications industry. The shift from voice-based to data-based transmission will require significant network investment, and the government will need to monitor its new regulatory framework particularly closely to ensure that the benefits of greater retail competition are not outweighed by disincentives to innovate and invest. The decision to review the framework in the future is, therefore, sensible, even if the planned date (in six years time) is perhaps excessively distant.

The decision not to require unbundling is internationally unusual. The government's judgement is that the technical costs of doing so outweigh the economic benefits. Indeed, while most countries have begun to unbundle their networks (some only recently), the rate of progress has been slow. On the other hand, there is a serious risk that the framework will lead to an effective duopoly in broadband Internet services and therefore hold back competition and innovation in this important area. The government's policy of re-assessing its stance on unbundling in 2003 is therefore sensible and prudent. Meanwhile, TelstraClear intends to roll out a competing network in the three largest cities (and a more limited business network in three smaller cities). This, combined with Fonterra's proposed satellite-based network, may make the unbundling issue less important over time.

An issue that may be holding back progress and efficiency in the industry is Telecom's obligations under its "Kiwi Share" agreement with the government. This recently-updated universal service obligation (USO) obliges Telecom to: *i*) provide a free (unmetered) local calling option for households; *ii*) extend this obligation to (normal, low-speed) Internet as well as voice traffic; *iii*) spend around NZ$ 100 million upgrading its network to improve Internet access speed; and *iv*) maintain its network coverage at no less than existing levels (so that it cannot increase profits by abandoning its loss-making rural customers). The main problem with the "Kiwi Share" is that it makes it significantly more difficult for competitors to enter the local market. In addition, it creates a significant cross-subsidy between urban and rural users and between light and heavy users. The latter cross-subsidy has become much larger with the growth of the Internet, as heavy residential Internet users face zero marginal cost. This is not only economically inefficient, but will make it difficult for the Commission to set efficient pricing rules as some of the cost of this cross-subsidy must be shared by the industry under the

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interconnection agreements. It will also hold back investment, and therefore development of the Internet, since the returns from the expanding urban market are reduced.

Encouraging innovation

Earlier this year the Government announced its *Growth and Innovation Framework*, designed to encourage innovation, lift productivity and living standards and boost exports. Its scope is wide-ranging, encompassing most of the Government's previously announced objectives, including improving education and health outcomes. The goals that are focussed most directly on innovation include:

- *Improving the framework* by promoting incubators and clusters, developing mentoring frameworks and an entrepreneur support strategy, and enhancing links between industry and public research units. It also covers some initiatives that have already been taken, such as in the areas of venture capital, R&D, an e-commerce strategy, plus changes to the tertiary education system that are in the pipeline.
- *Developing talent* through education, immigration and making use of the human and corporate Diaspora.
- *Becoming more global* by attracting FDI, more aggressive global marketing and improved national branding.
- *Picking three sectors for special attention*: biotechnology, ICT and the creative industries (such as filmmaking). It is intended to shift public resources towards these areas.

Most of the objectives are consistent with the OECD's recommendations on innovation policy (OECD 2000*d*, Box 1). At present, however, the framework is not fully developed in the sense that it is unclear exactly what steps will be taken in order to achieve these goals. For example, there are many ways to organise public science or to attract FDI, some of which are more effective (or more expensive) than others. The next few sections assess where New Zealand's strengths and weaknesses lie and attempt to provide some general policy guidelines based on international best practice.

Encouraging private-sector research and development

Government spending on R&D is about average by OECD standards. On the other hand, private-sector R&D appears to be very low, but growing quickly.[64] There are several explanations, including having (until recently) the least favourable tax treatment of R&D in the OECD and a large proportion of very small firms. R&D is more difficult for small firms to undertake because of diseconomies of small scale, problems raising capital and a lack of complementary products to help them reap the benefits of any spillovers. Although business spending is low, the country has a

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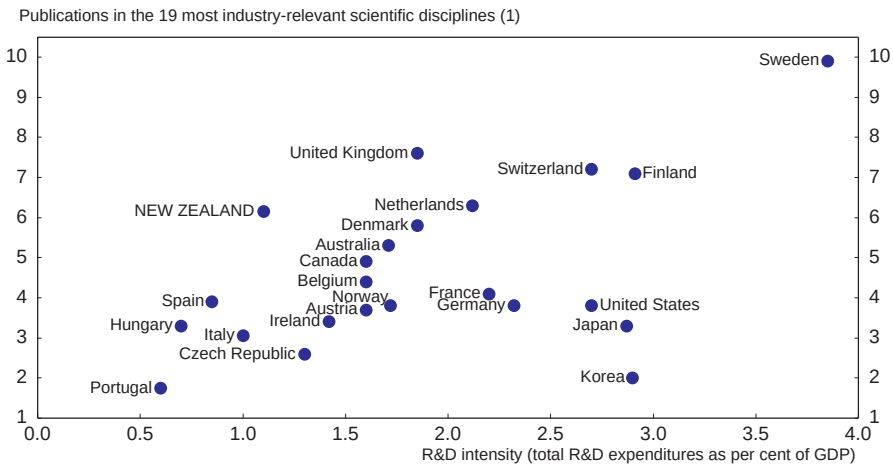
high level of research productivity, measured by the number of publications in international journals (Figure 35) or the number of patents per dollar spent.

Encouraging private R&D is important not just in its own right, but because it also raises the effectiveness of public research (OECD, 2001*e*). In addition, while international knowledge spillovers are many times more important for growth than domestic R&D, small countries cannot just free ride on others. The ability to understand and make use of basic research performed elsewhere requires strong local R&D capabilities.[65] Governments can boost business R&D using tax incentives and direct government funding of private research. Both measures can work, but they must be used in a co-ordinated fashion as each measure has particular strengths and weaknesses, and increases in one generally reduce the effectiveness of the other.[66] Tax incentives have the advantage that government does not need to pick winners: firms themselves decide how R&D resources will be spent, which technologies to pursue and which firms will benefit. Nevertheless, the empirical evidence on tax breaks suggests that:

– Their effectiveness depends critically on their design, such as whether they are based on a firm's total R&D budget or only the increment above a base level, and whether firms can carry forward tax credits if they do not have current revenue against which to claim them.

Figure 35. **Research productivity is high**
1998 or latest year available



1. World share of publications divided by GDP in US$.
Source: OECD, *STI Outlook*.

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– They do not encourage firms to start an R&D programme if they do not have one already, nor do they affect corporate strategies: they tend to expand and speed up existing R&D projects, rather than encourage new ones.

– They do not induce firms to pursue more projects with higher social returns than they otherwise would have done, nor to do R&D with more significant spillovers (*e.g.* basic research).

While there are no tax incentives for R&D in New Zealand, in 2001 the government brought the tax system into line with all other OECD countries by allowing the immediate write-off of all R&D spending (the previous regime was complex and uncertain, although firms can still use the old rules if they choose).[67] Another approach is to consider making donations to non-profit research trusts fully tax-deductible, as is done in Australia and the United States. This should be considered alongside the other proposed tax reforms.

In contrast, direct funding of industry research gives government more control over what gets done, which can be useful in directing reserves into areas with higher spillovers or social returns. But direct funding relies on an ability to pick projects and recipient firms and can interfere with market forces. Greater use of public-private partnerships that involve joint planning and financing of projects can address some of these concerns. Involving multiple private-sector partners has the further advantage of disseminating knowledge more quickly. At 9 per cent (in 1997), the share of business research funded by government is average by OECD standards, so there is plenty of room to increase it further.

Encouraging links between industry, universities and government labs

The bulk of government spending on research is channelled through a contestable funding pool managed by the Foundation for Research, Science and Technology (FoRST). FoRST's primary focus is on basic research, although in recent years it has begun to place more emphasis on research that is likely to lead to a commercial product. It can purchase research from any provider, but the providers are dominated by the nine government-owned Crown Research Institutes (CRIs), each of which undertakes research in a particular field such as agriculture, horticulture or forestry.

Common criticisms of CRIs – echoed in many other countries (OECD, 2001*e*) – include poor connections with firms, resulting in research agendas that do not match technological needs, insufficient incentives to commercialise discoveries and difficulties attracting and retaining young researchers. The first two criticisms may be overplayed in New Zealand's case. Co-operation between CRIs and industry is relatively close by OECD norms, although links between firms and universities are weak (Figure 36). International linkages,

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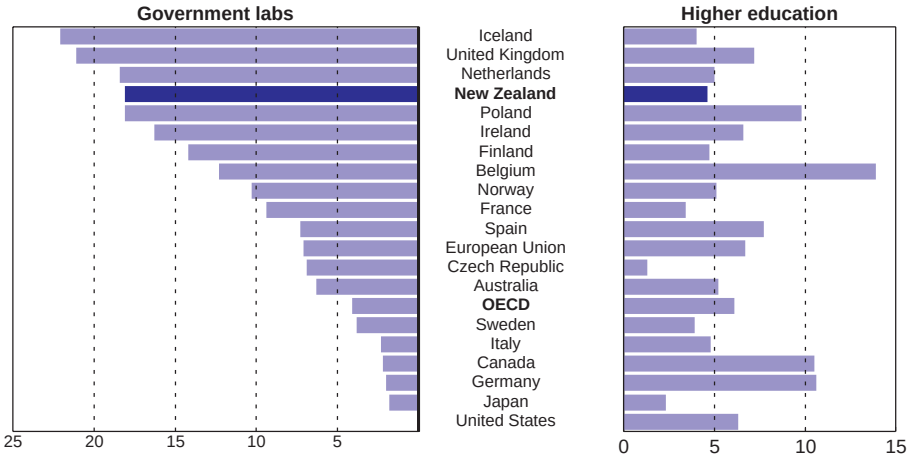
Figure 36. **Firms work closely with government labs**

Government and university research funded by business, per cent[1]



1. 1998 or 1999 for most countries; 1997 for New Zealand.
Source: OECD, *Science, Technology and Industry Scoreboard*, 2001.

however, are strong.[68] FoRST's *Research for Industry* programme, which takes a third of the government's science budget, has significant ties to industry in areas such as food and fibre research. Much of this leads to new or improved products for business, patents or plant variety rights. FoRST gives the intellectual property (IP) rights to the providers of the research, which in practice means that most of it ends up in the CRIs. While they can then sell this IP, they tend not to, so knowledge transfers to industry are not as strong as they could be. Policies undertaken in other OECD countries to boost collaboration and knowledge transfer include allowing universities to put seed capital into firms, permitting government agencies to license patent rights to the private sector, boosting public-private co-funding, encouraging university staff to spend sabbaticals in industry and granting access to public research infrastructure (sometimes below cost). Technology and innovation parks, such as those being set up in Canterbury and the Waikato, can also help. Reforms tend to be most effective if staff can see potential benefits such as career development, new sources of funding or new directions and expertise for research in other fields. Overall, the poor links between industry and universities imply that efforts should be concentrated there. The five newly-established Centres of Research Excellence may be useful in this regard.

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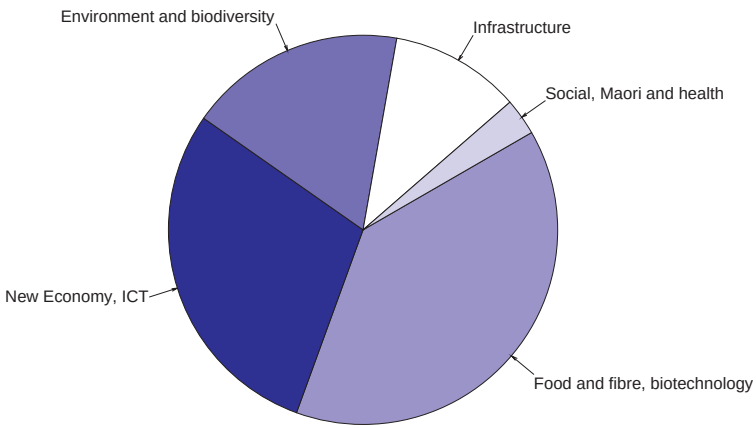
Steering resources towards priority areas

As noted, the government has chosen three priority sectors. What this will mean in practice is hard to say since FoRST's funding is already concentrated there (Figure 37). It is more difficult, however, to control the level and direction of research funding in universities. Tertiary institutions are bulk funded on a per-student basis and can use these funds for teaching or research in whatever proportions they choose,[69] so the level of funding can be unrelated to the quantity or quality of research done. However, they can bid for research funding from the competitive public pool, and this avenue allows some degree of control. The balance between programme funding and institutional funding may also need to be reconsidered. TEAC has proposed changing to a performance-driven funding system for research in tertiary institutions, although the government has not yet taken a view. This type of system is reasonably common overseas and should help focus resources and raise value for money. However, the system should not lose sight of basic public-good research, since that is the area of clearest market failure.

There may be tensions between the government's policy of encouraging biotechnology and its approach towards genetically modified organised (GMOs). Last year the government lifted the moratorium on field trials of GMOs but

Figure 37. **Science spending emphasises biotechnology and ICT**
Distribution of FoRST's science funding, 2001



Source: FoRST.

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extended the moratorium on releases until 2003. This will allow research into commercialisation opportunities to occur while further research is undertaken by government into the risks and benefits of allowing regulated release of GMOs. However, several research organisations, including its own agricultural research laboratory (AgResearch) and Fonterra, regard the moratorium as holding back development of the industry. In addition, while the regulatory regime covering hazardous substances and new organisms is sound, compliance costs and administrative delays are an issue. Approval for some experiments can sometimes take up to 12 months and involve ten different agencies. Consequently, research partnerships between industry and government labs are being frustrated.

It is also important that national innovation systems be flexible in order to ensure that funds are shifted into areas of higher economic or technological opportunities when markets or technologies change. In general, business R&D is typically the most nimble. Channelling funds to the most fleet-of-foot can boost flexibility but at the risk of reduced levels of basic research. Shifting away from institutional funding and making greater use of short-term contracts and grants may also prove helpful but raises questions of stability of long-term planning. Finally, the role and practices of universities need to be re-examined with a view to enhancing the commercialisation of the results of their research. In particular, the way that R&D priorities are set, how funding is allocated and how the resulting property rights are managed (with researchers allowed to share in the financial gains resulting from their work) are all crucial aspects.

Who should do the research?

In addition to considering the appropriate level of direct funding for industry R&D, the government also needs to consider whether research is best carried out in CRIs or tertiary institutions (or, in fact, contracted out to experts in other countries). The level of funding for research in universities is low (TEAC, 2001), and overall they receive around one-third of public science funding. But some evidence suggests that the effects of publicly funded R&D on productivity growth are higher in countries that devote more of their public research budget to universities rather than government labs (Guellec and van Pottelsberghe de la Potterie, 2001). This may be because the specialised nature of government labs limits their ability to conduct research in interdisciplinary areas, or because they do not usually teach students who can then transfer that knowledge to industry.

Strengthening the fundamentals

Producer board reform has set the stage for growth

Over the past three years, the government has moved decisively to reform producer boards in the main primary export sectors. The objective is to

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introduce greater competition in these industries, allowing price mechanisms to play a greater role in order to stimulate efficiency and innovation. A key element of the reforms has been the removal of the "single-desk" statutory powers of the producer boards and their corporatisation, accompanied by the introduction of a new regulatory framework. Reforms of the raspberry, apple and pear, and kiwifruit industries were undertaken in 1999-2000. In 2001 a review was conducted of the initial reform of the apple and pear industry, under which the marketing board, ENZA, had retained "single-desk" export powers, but export permits were given to independent exporters for about 10 per cent of production. This structure was not found to be working satisfactorily, and from October 2001 the industry was deregulated, allowing free competition between ENZA and other exporters.

Potentially the most significant of the producer board reforms was that of the dairy industry, which is New Zealand's single largest export sector. In December 2000 the two main dairy co-operatives, New Zealand Dairy Group and Kiwi Co-operative Dairies, which between them controlled processing of 96 per cent of all exported dairy products, agreed to merge. The merger agreement included a proposal to integrate the Dairy Board within the new entity. The main regulatory challenge posed by the proposed merger was how to ensure that there would be sufficient competition in the dairy industry so as to stimulate efficiency and to protect New Zealand consumers. Regulation would also need to take into account the specific features of dairy co-operatives, whose members hold capital shares in proportion to the milk supplied. In addition, it became necessary to remove the Dairy Board's statutory powers as a single export desk and to provide for the allocation of quota rights to certain export markets. The new legislation was adopted in September 2001, and the merger was concluded the following month with the creation of the Fonterra co-operative group. The approach taken to ensure competitive pricing in the market for raw milk in spite the virtual monopsony position enjoyed by the new company is light-handed, as in previous regulatory reforms. By requiring Fonterra to allow the free entry and exit of shareholders and milk suppliers, and to quote the prices of shares and raw milk, the regulatory framework effectively prevents it from using any market power on the purchasing side. At the same time, making the market for dairy processing contestable should limit the possibility that Fonterra could raise sales prices in the domestic market, where it has a dominant position. As for the export market, Fonterra has been assigned New Zealand's quota rights to restricted markets for a period of seven years, after which a new allocation regime will be introduced. However, it has not inherited from the former Dairy Board the role of single export desk: the other producers are allowed to export, and they have access to marketing services from Fonterra for a transitional period.

The rationale behind the decision to encourage the restructuring of the dairy industry with the creation of one large co-operative group was based on the existence of economies of scale in marketing and distribution in export markets.

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Such economies of scale are likely to exist, although it is not clear that achieving them required merging processing operations as well as marketing. For example, an alternative structure with two or more producers could have strengthened competition in processing. The regulatory approach taken mitigates these concerns as far as pricing is concerned, by ensuring market contestability, but it is an open question whether incentives for innovation deriving from competition in international markets will be sufficiently effective for a producer that does not face similar pressures in its home base. Porter (1990) has found that a sophisticated, dynamic and competitive domestic market is often among the conditions that foster the growth of an internationally competitive national industry. Another element that may limit the growth and innovation potential of the dairy industry in its present structure is its co-operative ownership. While this form of ownership has the advantage of ensuring continuity and containing risks for dairy farmers, a disadvantage is that it can make it difficult for a co-operative to raise additional risk capital without also increasing the amount of milk processed, except through internal financing. This might limit its ability to move into more capital-intensive and higher-value-added lines of production, if these opportunities arise, and to finance the related research and development activities, although a way to overcome these limitations can in part be found through joint ventures. For these reasons, the government should monitor the effects of the new regulatory framework, and be ready to alter it, if necessary, to ensure there is adequate competition in the dairy processing market. Finally, a transitory period of seven years for quota rights seems excessive: introducing a market-based allocation mechanism earlier than the scheduled review date should be considered.

Reviewing the effectiveness of regulation in the electricity industry

The electricity industry has been gradually adopting a new liberalised regulatory regime in recent years. At the heart of the industry is a wholesale spot market that clears the market on a half-hourly basis. That market works by setting prices at each interconnected "node" of the grid equal to the short-run marginal cost of supplying energy to that node in order to distribute electricity in the most economically efficient way. It does this by taking bids and offers each half-hour, subjecting them to grid constraints such as system reliability, and computing the prices that will clear the market. However, most power is bought on the retail market using standard fixed-rate contracts. There are no price controls at either the wholesale or retail level (although they could be introduced in certain circumstances). There is a significant degree of government ownership in the sector: state-owned companies control 60 per cent of generation capacity; the national transmission grid is state-owned; and almost all local distributors are owned either by local government or community trusts. Hydroelectricity, which accounts for around two-thirds of generation, has a natural advantage over other forms of generation because New Zealand is a wet, mountainous country. Yet this advan-

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tage is a double-edged sword. While it results in some of the cheapest electricity prices in the OECD and has led to the development of high energy-use industries such as aluminium and steel production, it also makes the industry susceptible to the weather, especially as storage capacity is low.[70]

The electricity industry was put to the test in the winter of 2001, when high demand and the lowest rainfall for 71 years led to a power shortage. The market performed reasonably well with no blackouts, but the experience did highlight some problems. The response of the industry to the shortage is reviewed in Annex III. The wholesale spot market can take some of the credit for providing early warning and incentives to restrain demand, at least for major industrial users. Nevertheless, some issues were revealed. Most importantly, retail prices for household and small commercial users did not move despite a tenfold increase in wholesale prices (although community-wide reward schemes for decreased power usage began to operate in mid-winter). While some price smoothing at the retail level is desirable, the *total* rigidity of retail prices raises questions about the strength of retail competition, and whether too much of the adjustment burden was therefore placed on industrial users. If a problem exists, it may partly be because most generators are vertically integrated in the sense that they also have a significant retail base, although this structure is also an efficient natural hedge. It may also be because most companies are local rather than nation-wide players, and the degree of geographic concentration is increasing. In part, this is because the existence of significant bottlenecks in the transmission grid[71] creates a strong incentive to produce power close to the market. It is not clear whether the bottlenecks are caused by insufficient investment by the state-owned company, and therefore whether its incentives need adjusting, but the cause and solution need to be found. The dominance of government-owned enterprises in the retail market may also be contributing. A further problem is that the hedge market remains thin, with large users finding it increasingly difficult to avoid exposure to the spot market. Compulsory market-making may, therefore, be required. The government's post-winter review of the industry concluded that the market worked more or less as desired, but noted that there may have been fewer problems had the industry moved more quickly to implement some of the changes required by the December 2000 *Policy Statement*.[72] In particular, the industry-led governance organisation, which was supposed to be running by June 2001, has still not been established.

Unlocking bottlenecks in road transport infrastructure

Roading is one area where infrastructure bottlenecks may be holding back growth, with congestion in the largest city, Auckland, estimated to be costing around one per cent of the nation's GDP. The government has announced a package of changes to the funding of land transport in general, some of which should help while others may worsen the situation. The goals include reducing bottle-

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necks, improving passenger transport and promoting cycling and walking. Part of the existing problem is that funding for road building is low: after maintenance of existing roads, around NZ$ 350 million is left for new construction,[73] equivalent to 3 per cent of the value of the state highway network. Funding for land transport has already been increased by approximately 13 per cent, while funding for road building has gone up by 20 per cent (which is around NZ$ 71 million at an annual rate, for the whole country). Public transport is to receive an extra NZ$ 29 million per year, although it is not clear whether the government will favour rail (which is uneconomic given Auckland's size and shape) or buses. In addition, the funding criteria are being changed in such a way that more emphasis is being given to public transport rather than just roads; as a consequence the amount of money available for roads may actually fall over time.[74] All currently planned projects will be re-assessed over the next year using the new criteria. On the other hand, legislative changes are proposed that will make it easier to build toll roads and for local authorities to enter into public-private partnerships (currently, any toll road or PPP requires its own piece of legislation, and none exist at present). Even so, the government remains extremely cautious about tolls. No existing roads will be tolled, which rules out congestion pricing on the existing infrastructure, and the Minister of Transport must approve any new toll road instead of devolving the decision to the local community concerned. The private sector is also not permitted to have a majority stake in any highway. Finally, the extra spending is being financed by a 17 per cent increase in the petrol excise and a 30 per cent increase in road user charges for light diesel vehicles. The nation-wide petrol tax is a blunt funding mechanism, compared to alternatives such as congestion pricing, given that bottlenecks are concentrated in just a few urban areas.

Promoting foreign direct investment

New Zealand has been able to attract significant foreign direct investment (FDI) inflows in recent years. As a proportion of GDP, FDI increased from around 1 per cent of GDP on average in the 1980s to over 5 per cent in the mid-1990s (Figure 38). As from 1997 there was a temporary slowdown, initially connected to the Asian crisis, but also, to some extent, to the end of the big wave of privatisations, much of which involved purchases by foreign investors. In fact, around 20 per cent of FDI over the period 1988-98 consisted in the purchase of government assets. More generally, a large proportion of FDI flows has consisted of mergers and acquisitions activity, as compared to "greenfields" investment (setting up of new companies or expansion of existing ones). Moreover, around 80 per cent of foreign investment has been directed toward non-tradables sectors or to industries producing for the domestic market. One reason why comparatively little FDI has gone to export sectors, at least the traditional ones, is that until recently in several primary industries the "single-desk" powers of producer boards left little scope for independent investors to enter the market. For these reasons, it has

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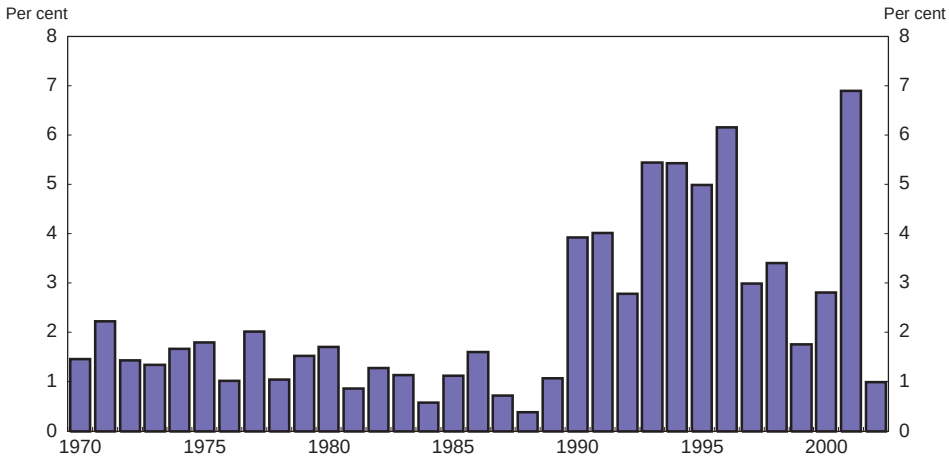
Figure 38. **Foreign direct investment in New Zealand**
Per cent of GDP, March years[1]



1. For March year 2002, first three quarters at annual rate.
Source: Statistics New Zealand.

been argued that the contribution of FDI to New Zealand's growth potential has been limited, as it has added little to technology and to export growth (Boston Consulting Group, 2001).

In the context of its plans to foster innovation and to raise the country's growth potential, the government has identified as one of its priorities the objective of attracting larger FDI flows and in particular "greenfields" investment. Unlike in other small open economies, which have been more successful in attracting foreign investors, New Zealand's policy approach in this area has until recently been essentially "passive". It has relied on the existence of a sound macro- and micro-economic framework, a neutral tax system, and the absence of significant regulatory obstacles to foreign investment. There is a government agency promoting the country as an investment location (Investment New Zealand, a division of Trade New Zealand), but its resources are limited in comparison with similar agencies in other countries (its budget is only NZ$ 4 million). At present, however, the government seems to be moving in the direction of a more pro-active approach, although it has not yet indicated any specific policy decisions. A recent study by the Boston Consulting Group, commissioned by the government, has advocated a wide-ranging strategy for promoting FDI that would include raising the profile and visibility of government involvement in promotion activities, upgrading the existing invest-

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ment promotion agency, making funds available for targeted financial incentives, and targeting a number of sectors within four broad areas (bio-technologies, ICT, creative industries and environmental technologies) for the development of clusters. Moreover, the tax review panel, which published its report last year, considered ways of adjusting the tax regime to attract FDI. It came up with two alternative proposals: lowering the company tax rate for all foreign-owned companies or only for "new" activities (see Annex IV). The report indicated the second option as preferable, because more targeted and much less costly,[75] provided that the distinction between "new" and "existing activities" is found to be practicable.

The literature on policies for attracting FDI has emphasised that "fundamentals" (which include macroeconomic stability, a sound regulatory environment, good infrastructure, favourable labour market conditions, good governance and availability of the relevant skills and natural resources, as well as size of the market and geographical position) tend to be more important than financial incentives (Oman, 1999). Location decisions are often made in two stages: initially a short list of possible locations is drawn on the basis of fundamentals, and only at a second stage tax and other financial advantages are considered. New Zealand ranks high on several of the "fundamental" criteria, but it is probably at some disadvantage as a result of its size and location. In a context of increasing competition among countries to attract FDI, a purely "passive" approach may not be enough to achieve the significant increase in the inflow of FDI that the government would like to achieve.

Nevertheless, it is not clear that financial incentives would be an effective way to offset disadvantages related to size and remoteness. As with any subsidy, the risk is that a large part of it would go to investment that would have taken place anyway. Moreover, departing from the principle of an even playing field between domestic and foreign companies would generally involve efficiency losses, and carries the risks of tax-avoidance behaviour (domestic investors dressing as "foreign" or old capital dressing as "new" to benefit from the tax incentives), requiring costly and burdensome counter-measures. The government should carefully assess the trade-off between these costs and the benefits from the additional FDI attracted by the incentives. In any case, financial incentives are not an alternative to a coherent effort to strengthen fundamentals by identifying problem areas and addressing them.

The tax system is under review

New Zealand's tax system is soundly based and among the most neutral in the OECD. Thus, it already provides a good supporting framework for an efficient allocation of resources. There are some remaining issues that will need to be addressed in coming years, as enumerated in the previous *Survey* (OECD, 2000*a*). In October 2000 the government appointed a Tax Review Panel, with a broad mandate to look at the efficiency and fairness of the present system, to consider whether it is still adequate in the context of globalisation and new technologies

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such as e-commerce and to make recommendations. In October 2001 the Review Panel issued its final report, prepared on the basis of extensive consultations. The government has indicated that it will consider some of the report's recommendations in coming months, in particular those concerning international capital taxation, while others, including the one regarding tax rates, will be dealt with only after the forthcoming elections. The conclusions of the Review are described in Annex IV, and a comparison of its recommendations and those contained in the last *Survey* can be found in Table 23 below.

Many of the proposals contained in the tax review are commendable, and should be taken up quickly by the government. Aligning the top personal tax rate with the company rate and moving toward a more even tax treatment of different business entities would help reduce distortions and incentives for tax avoidance. Similarly, eliminating the special treatment of offshore investment in "grey list" countries would remove a loophole. The government should also take the Panel's advice and eschew tax incentives for private retirement savings, which have generally proved to be ineffective in stimulating aggregate savings, but tend to distort their allocation across financial instruments. On the other hand, the panel did not recommend eliminating the main gap in an otherwise remarkably neutral tax system, *i.e.* the absence of a comprehensive capital gains tax. The arguments given for not doing so are not entirely convincing. This gap is a source of significant distortion in the allocation of capital, as discussed in the previous *Survey*. If the government is concerned that addressing it might add to the complexity of the tax system and increase compliance costs, it could instead consider applying the risk-free return method to a very broad range of assets, as initially proposed by the Panel.

Summing up

Raising the growth potential of the New Zealand economy through fostering innovation and strengthening fundamentals in a broad range of areas is clearly the central focus of the government's structural policies. It is also closely linked with the objective of building a more inclusive society, which involves enhancing and making full use of the country's human capital. As the analysis conducted in this chapter has underlined, this is an undertaking that calls for the government to act simultaneously on many fronts, with well-defined objectives and priorities. New Zealand's overall macro- and micro-economic framework is already very sound. The priority should be to strengthen fundamentals further in the areas where structural distortions and various obstacles to business development still exist. Improvements are certainly needed in areas such as, for example, labour markets and education, but they should be based on a clear identification of the specific problems to be addressed. An overview of the main structural policy issues covered in this chapter and of the key policy recommendations, as well as a brief assessment of recent policy developments on issues examined in previous *Surveys*, is presented in Table 23.

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Table 23. **Structural surveillance assessment and recommendations**

The table follows up on recommendations from the 2000 Survey (Table 20) and summarises action taken since then. New recommendations, resulting from the analysis in this Survey are included as well, except those on public expenditure policies, which are summarised in Box 9.

Issue	Action taken/proposed by the authorities	Current EDRC assessment/recommendations
A. Labour market and social programmes		
I. Unemployment and related benefit systems		
Unemployment and sickness benefits	The government has separated unemployment and sickness benefits; recipients of the latter no longer face a work test. The work test has also been abolished for some sole-parent beneficiaries.	Removing work testing will weaken work incentives. Work tests for beneficiaries should be bolstered and more strictly enforced.
Income-related rent programme	The government has replaced previous housing subsidies with an income-related rent programme for state housing tenants.	This scheme risks raising effective marginal tax rates and reducing labour mobility. Evaluate the programme's cost and impact.
Work disincentives in the tax/benefit system	Following a review of the DPB and the WB, work-test requirements have been removed for single parents and replaced with enhanced case management. Abatement rates have been reduced for benefit recipients who have no children or whose youngest child is over 14 years old.	The reduction of abatement rates in cases where they were high is a welcome development since it reduces marginal effective tax rates. Case management is likely to be less effective in the absence of work testing.
II. Active labour market programmes (ALMPs)		
Evaluation and assessment of ALMPs	An inter-agency work plan is in place to co-ordinate the assessment of existing ALMPs. It is aimed both at building assessment capacity and at evaluating individual programmes.	This framework is a useful first step, but few evaluations have actually taken place. Rigorous evaluations should form a permanent part of policy development and ongoing monitoring.
Training *versus* "work-first"	The government has undertaken a review of training programmes aimed at getting people with fewer skills into work. Community work is no longer compulsory.	Training programmes can be appropriate for people with fewer skills. In other cases, on-the-job training should be given precedence. Community work should be considered where other options are not available.
Use of outside contractors to deliver ALMPs	Some contracting out of case management and work support functions is being used in programmes aimed at Maori and Pacific Island job seekers.	This is a welcome development. Service delivery should be monitored. This example should be used elsewhere if the results are good.
III. Immigration policy		
Immigration	New issue. The skilled migrant stream has been increased and is no longer the residual category to meet total targets. Companies can request fast-track immigration procedures.	Make it easier for skilled people to move from temporary or student visas to residency status.

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Table 23. **Structural surveillance assessment and recommendations** (*cont.*)

Issue	Action taken/proposed by the authorities	Current EDRC assessment/recommendations
IV. Social benefits		
Paid parental leave	New issue. Entitlement to 12 weeks parental leave, paid from general taxation, will take effect from 1 July 2002. The scheme's objectives are to reduce the cost of employment for parents, enhance health and well-being of parents and children, and reduce financial stress on families.	Evaluate whether the scheme is achieving its objectives and whether they could be achieved in other (cheaper) ways.
V. Wage formation		
Minimum wage and the adult/youth differential	The minimum wage was increased in March 2002 in line with average wage growth over the previous year. The youth minimum wage has been raised from 70 to 80 per cent of the adult minimum wage, and the adult age threshold has been lowered to 18 from 20.	These measures risk raising unemployment for youths and the lower-skilled. Effects should be monitored, and additional increases in the minimum wage should be avoided (as previously recommended).
Industrial relations	The Employment Relations Act replaced the Employment Contracts Act in 2000.	So far, the effects on wage bargaining have been limited, but the risk remains of a shift toward more centralised bargaining over time. The government should ensure that where multi-employer contracts are signed, the individual circumstances facing firms are taken into account. It should also monitor the dispute resolution procedure to assess whether it is raising compliance costs.
B. Education		
Quality of early childhood education	Funding has been partially linked to staff qualifications, with extra money given to in-service professional development.	Evaluate the steps already taken.
Teaching remedial reading	New issue. A review in 2001 highlighted insufficient use of alternative teaching methods, inadequate teacher training and a shortage of Maori-speaking teachers.	Ensure resources are being used sufficiently, especially in low-decile schools.
Assessment of school performance	New issue.	School management and the Education Review Office lack information to review school performance adequately. Implement early nation-wide assessment and publish school performance indicators.

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Table 23. **Structural surveillance assessment and recommendations** (*cont.*)

Issue	Action taken/proposed by the authorities	Current EDRC assessment/recommendations
Supply of teachers	New issue.	There may be a need to make the teaching profession more attractive by having a merit-based component to pay and/or by differentiating pay to reflect teacher shortages in certain subjects, such as Science and Maori language.
Steering tertiary enrolments	New issue. A tertiary education review committee recommended changing funding arrangements to exert more leverage over which courses are taken.	Ensure this is implemented in a way that does not reduce access to tertiary education, and that it treats public and private providers equally.
Student loan programme	Generosity was increased by charging no interest during studies. Little progress on previous recommendation to assess the programme's impact, although improved data is now being collected.	Poorly targeted and possibly cost-ineffective reform. Little is known about its socio-economic effects. Evaluate the impact to determine whether it is raising tertiary enrolment.
Tertiary education and lifelong learning	New issue. Private training enterprises (PTEs) have led to greater diversity and innovation in tertiary education and have been especially useful for beneficiaries and those with low skills. This development has now been restricted by a moratorium on new PTEs, but the same restrictions are not imposed on public providers.	Treat public and private institutions equally. Encourage competition in the provision of tertiary education.
Adult literacy	New issue. An Adult Literacy Strategy has been developed, which focuses in the first instance on raising the quality of existing courses.	Implement quickly, and move to getting more people re-skilled.
C. Product markets		
Competition policy	The Government introduced amendments to the Commerce Act redefining the basis for thresholds on mergers and acquisitions (from use of a dominant position to substantially lessening competition).	The new regulations are more closely aligned with Australian law, which will reduce business compliance costs for trans-Tasman companies.
Trade policy	Tariffs frozen at the present level until 2005, but the government is committed to the goal of free trade within APEC by 2010.	Re-start the phase-out of tariffs.

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Table 23. **Structural surveillance assessment and recommendations** (*cont.*)

Issue	Action taken/proposed by the authorities	Current EDRC assessment/recommendations
Agricultural producer boards	Following deregulation of the raspberry and apple and pear industries, regulatory reform of the dairy industry was adopted. A transitional regime has been maintained for dairy export quota rights.	The dairy sector reform has created the potential for competing exporters, but has created a concentrated domestic industry. Whether that reduces incentives for innovation and efficiency will need to be assessed. Moving to a market-based allocation of dairy export quotas should be a priority when the transitional regime is reviewed, or possibly even earlier.
Electricity sector	New issue. New legislation established an Electricity Governance Board that will set industry rules.	The current framework is working effectively, but some issues will need to be addressed. In particular, industry progress in implementing agreed actions for increasing transparency of the hedge market should be monitored. And investment will be needed to upgrade the state-owned transmission grid.
Telecommunications	New issue. New regulatory framework introduced. Telecommunications Commissioner given powers to regulate specific services where self-regulation found to be ineffective; two levels of access regulation; no unbundling of the local loop.	The new regulatory regime should allow the timely and efficient resolution of access disputes, but it will be necessary to watch whether present access regulations are hindering competition and investment in infrastructure. Commit to the current timetable for reviewing the unbundling of the local loop in 2003.
D. Policies to promote business creation and innovation		
Business compliance costs	The government is implementing several of the recommendations of the Ministerial Panel on Business Compliance Costs. In particular, it intends to issue guidelines to local authorities to avoid the inconsistent administration of the Resource Management Act (RMA). It has also boosted resources for the environment court, which deals with RMA disputes.	Quickly implement the recommendations of the Ministerial Panel. Deadlines for making RMA decisions should be imposed on councils. Introduce the possibility of direct referral to the Environmental Court. Assess whether court resources are sufficient to reduce the significant case backlog.
	Impact assessment requirements for new regulations have been tightened.	Helpful move to stem the flow of new compliance costs.

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Table 23. **Structural surveillance assessment and recommendations** (*cont.*)

Issue	Action taken/proposed by the authorities	Current EDRC assessment/recommendations
Financial and other support to enterprises	Industry New Zealand has started to operate. It provides advisory and information services and limited direct financial support in the form of grants to start-up enterprises.	Results have been mixed. Selection criteria have been rigorously applied. However, the programmes are still not targeted to address any well-identified market failure. Overlap with other government agencies should be reduced.
Encouraging innovation	New issue. The government's Innovation Strategy has set out broad goals but few specific policies. It has picked three sectors for special emphasis.	Minimise regulatory compliance costs for biotech research. Consider making donations to non-profit research trusts tax deductible. Avoid tax breaks for R&D. Clarify rules about intellectual property ownership, particularly for university research. Channel resources to industry and universities ahead of government labs.
Internet and electronic commerce	An Electronic Transactions Bill is before Parliament	Quickly implement the Bill. Companies still make limited use of the opportunities offered by e-commerce
E. Tax policy		
A comprehensive capital gains tax	The Tax Review recommended against an across-the-board capital gains tax, proposing instead that individual items of capital gains be brought into the tax base if necessary. It suggested further study of the risk-free return method as an alternative to a realisation-based capital gains tax.	The absence of a comprehensive capital gains tax represents an important gap in the tax base and is a source of distortions. The government should consider implementing a comprehensive capital gains tax (as recommended in the previous *Survey*).
Taxing the imputed rental value of owner-occupied housing while making mortgage interest deductible	In its Issues Paper, the Tax Review Panel had proposed applying the risk-free return method to the net equity in owner-occupied housing. However, citing widespread opposition to this proposal, it did not recommend its adoption in its Final Report.	The government should consider taxing the imputed rental value of owner-occupied housing and – only if it does this – make mortgage interest tax deductible (as recommended in the previous *Survey*).
Tax rates	New issue. The Tax Review proposed moving to a two-step personal income tax scale: 18 per cent for income up to NZ$ 29 500; 33 per cent above that threshold. The top marginal rate on personal income would be aligned with the company tax rate.	Aligning the top personal tax rate with the corporate rate would eliminate distortions. The government should not delay addressing this issue.

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Table 23. **Structural surveillance assessment and recommendations** (*cont.*)

Issue	Action taken/proposed by the authorities	Current EDRC assessment/recommendations
The corporate tax base	No new corporate tax concessions are planned. The Tax Review recommended making tax treatment more uniform across types of corporate entities, using a distinction between widely-held and closely-held entities. This would be implemented when individual classes of entities are reviewed.	Proposals on the treatment of entities and on tax rates go in the right direction. Moreover, the Tax Review's proposal to align the top personal tax rate with the corporate tax rate would help reduce the incentive to exploit loopholes. The government should announce at the outset the broad lines of the new regime for entities, even if changes for the individual classes of entities will not be implemented simultaneously.
International taxation and the "grey list" regime	The Tax Review recommended reducing the company tax rate for foreign investors to 18 per cent. The lower rate should preferably apply only to "new" FDI. It also recommended taxation of residents' foreign portfolio investment in "grey list" countries using the risk-free return method. The government is considering this proposal.	Lowering tax rates could be effective in attracting FDI, provided non-tax policies are also appropriate, but the potential gains must be weighed against the efficiency losses from distorting competition between foreign and domestic companies. Limiting tax incentives to "greenfields" investment may reduce the risk of subsidising investment that would have taken place anyway, but would probably increase the scope for active tax avoidance.
Incentives for private retirement savings	The Tax Review recommended against new saving incentives. The government, however, remains of the view that retirement savings are insufficient and is exploring options for their expansion.	Tax incentives for retirement savings would probably have limited or no effect on total savings and are likely to distort the allocation of savings across instruments. Policy should focus on removing existing distortions and not introduce new ones.
Tax base mobility	The Tax Review recommended setting a cap of NZ$ 1 million on an individual's yearly income tax and introducing a 7-year tax holiday on all overseas income for new residents.	The focus on ensuring that tax rates are not high relative to international levels is appropriate. Aligning the top personal tax rate with the corporate rate would be a step in the right direction.
F. State owned enterprises		
Privatisation	The privatisation process has been halted.	The privatisation process should be resumed. Scarce capital resources should be channelled toward the areas with growing and urgent investment needs (*e.g.* in infrastructure).

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Table 23. **Structural surveillance assessment and recommendations** (*cont.*)

Issue	Action taken/proposed by the authorities	Current EDRC assessment/recommendations
Kiwibank	Kiwibank, a retail bank that will operate through the branch network of New Zealand Post, has been established. The cost to the government was NZ$ 78 million.	Use of public funds does not offset a market failure.
Air New Zealand	New issue. The government took an 82 per cent stake in Air New Zealand in January 2002 following the collapse of Air New Zealand's Ansett subsidiary. The cost to the government was NZ$ 885 million plus a further NZ$ 150 million before June 2003.	Re-privatise the company as soon as market conditions allow.
G. Environment		
Climate change	The government intends to ratify the Kyoto protocol. It announced the strategy for meeting the Kyoto targets in April 2002.	The economic costs of meeting the emissions reduction targets should be assessed, and the issue of how they are to be allocated should be discussed explicitly. The government should rely on economic instruments (such as carbon taxes and/or tradable permits) to meet the targets.

Source: OECD.

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Notes

1. In the MCI, a 2 per cent change in the trade-weighted exchange-rate index was considered equivalent to a movement of 100 basis points in the 3-month interest rate.
2. All the discussion in this chapter refers to central government. However, the picture for general government (central plus local) is virtually the same, given that government is highly centralised: local government is small (with operating expenditure around 3 per cent of GDP in 2000/01) and runs a minor operating surplus (around 0.3 per cent of GDP). Its gross liabilities are around 4 per cent of GDP. In addition, official data for general government on a fully consolidated basis are several years out of date and so less useful than looking at the detailed central government accounts.
3. Contributions to the NZS fund are calculated over a rolling 40-year horizon.
4. Net debt, as defined in the Crown accounts, excludes the financial assets in the NZS Fund and therefore exaggerates the level of net indebtedness of the government.
5. These include changes in forecasting both macroeconomic developments and the levels of spending and revenue given the expected state of the economy. Both types of changes have contributed roughly equally over the past five years.
6. The main one-off items explaining this difference between the underlying and total operating balance were re-valuations of unfunded future liabilities in the Accident Compensation (ACC) and Government Superannuation (GSF) schemes. The value of the ACC liability is affected by expected exit rates from the scheme and by changes in interest rates.
7. These increases are cumulative, so the level of expenditure will be NZ$ 1 200 million (1 per cent of GDP) higher than the previous baseline by 2005.
8. The difference between countries is exaggerated in the chart because it is calculated on a pre-tax basis, and European countries claw back more than other countries through their higher tax rates (Adema, 2001).
9. Clarifying some terminology would be useful here. Since 1992, Crown accounts have been presented on an accruals basis, with current and capital expenditures treated separately. In this chapter, the term "expenses" refers to *current (or operating) expenditure measured on an accruals basis*. As in a private firm, it includes depreciation (which maintains the existing asset base), while new investment (expanding the balance sheet) is treated as capital expenditure. N*ational accounts* estimates for *general government* include both local government and Crown entities on a fully consolidated basis and are cash-based. The official figures for general government stop in March 1998 (a deficiency which should be rectified); figures beyond that date are OECD estimates based on the accounts of the Crown (excluding Crown entities) calculated on an SNA-consistent basis, along with operating accounts of local government. What is missing is local gov-

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ernment investment and intra-government transactions (in order to consolidate the figures).

10. There is no clear-cut way to split the spending increase into policy *vs.* other effects, although estimates can be made. Treasury (1997) analyses the increase in spending from 1992/93 to 1996/97 and splits it into non-discretionary effects (demand and demographics, plus the impact of indexing benefits to inflation) and policy effects (all other). A similar breakdown is available from the financial accounts for subsequent years. In the Treasury analysis any other increase above the fixed nominal baseline, including wage increases for public employees, is regarded as a policy decision. The estimate of 5 per cent of GDP in this paragraph, however, treats wage increases as an unavoidable cost pressure.
11. A broad range of evidence from 40 studies is surveyed in Petrie and Webber (2001). International benchmarking, however, is not common. One exception is the Department of Corrections, which runs prisons and seems to be quite efficient by international standards (Department of Corrections, 2001).
12. It is striking that of the five international case studies of reallocation in OECD (2001*a*) all discussed a major one-off reallocation process that occurred at a time of fiscal crisis rather than an ongoing process.
13. In the ten years to 1995/96, Australia's regular expenditure-review process generated savings of A$ 27 billion, offset by spending on new policy of A$ 20 billion. Total policy changes stemming from expenditure reviews over this decade has amounted to about 45 per cent of the average annual budget outlays (Keating 2001). A direct comparison with New Zealand is difficult, but the provisions framework encourages savings to be identified so they can be reallocated to new initiatives; however, identified savings have been small since 1997.
14. See Ussher and Kibblewhite (2001) for a more detailed discussion.
15. In any case, the distinction between outputs and outcomes is greater in theory than in practice. The textbook case of outcome targeting in New Zealand is the Reserve Bank's inflation target. Even here, however, accountability is not based entirely on outcomes. Under the law, the primary function of the Bank is "to formulate and implement monetary policy" (an output) "with the economic objective of ... maintaining price stability" (an outcome). The Governor is not automatically dismissed for failing to achieve the outcome, but may be if he fails to produce the output (by not setting policy appropriately, given the information he had available at the time).
16. Canada's experience provides salutary lessons. It tried putting funding in common pools and attempted to relocate within them. This failed. No savings were offered up, even by a Minister to fund another project under his or her control, because those savings could be hijacked by someone else.
17. Senior managers themselves see this as a problem according to a survey undertaken in 1995 (Norman, 1995).
18. Other examples include: the amalgamation of the Specialist Education Service with the Ministry of Education following a review that found the SES was "increasingly ineffectual, fragmented and distanced from schools and parents" (Chen, 2002); and a dysfunctional relationship among agencies in the defence arena. The government has signalled that it may also look at re-attaching the Ministry of Justice (where policy is made) to the delivery agencies (the Department for Courts and the Department of Corrections).
19. Examples include agencies that administer regulations (such as the Commerce Commission), distribute grants (Lottery Grants Board), undertake scientific research (the

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various Crown Research Institutes), distribute social services (Housing New Zealand), or that have primarily cultural functions (such as the Symphony Orchestra).

20. See SSC (2000*b*) for more information. A review by SSC in 1999 found that many of their Statements of Intent (SOIs) did not comply with legal requirements and failed to provide sufficient information to assess performance. Governance and accountability arrangements can be either incomplete or inconsistent, the roles and responsibilities of the main actors – boards, chief executives, and ministers – can be unclear, inappropriate payments have been made to board members, and monitoring by departments on behalf of ministers has been patchy.

21. The number of beneficiaries did decline after the tightening of requirements, but the decline was almost as large amongst those who were not subject to a work test as amongst those who were. The study also found that the probability of no longer receiving the benefit after 12 months rose only marginally (from 22 to 25 per cent) – see MOSD (2001*b*).

22. To be fair, some state funding is provided to private schools (although these educate just 3 per cent of students). In 1999, they received a government subsidy for each student equal to 30 to 40 per cent of the average per pupil (operating) cost of a state school, up from 14 per cent ten years earlier. Integrated schools, attended by around 12 per cent of students, have private owners but in most respects are run as if they were state schools. They maintain the right to keep their own special character (which is mostly religious) and the right to restrict entry to faith adherents, in return for which they teach the national curriculum, keep opening times more or less the same as state schools, and have parents elected onto their managing Boards.

23. In 2001, the Auditor General was unwilling to sign off the accounts on a "going concern" basis of several polytechnics unless they had received a letter of support from the government. The government would not automatically provide such support unless the polytechnics first formulated an adequate business plan. Two polytechnics in deep financial difficulty were taken over in 2000/01.

24. This includes students in their first year of study, so median debt at graduation will be higher.

25. See Maani (1999). However, this study assigns zero weight to the external (spillover) benefits of education.

26. As in most countries, there is clear public dissatisfaction with the health system. However, survey responses are a little inconsistent. In a recent survey of the elderly in five English-speaking countries, New Zealanders were the most likely of any country to rate as "excellent" their recent hospital experiences and overall health care (Commonwealth Fund, 1999). Yet New Zealand was the only country where more people felt the system needed to be completely rebuilt rather than thinking it was working well and required only minor changes.

27. Fees must be set at a level that covers long-term costs. A shortfall in revenue in any year requires an extra appropriation from parliament to cover the deficit, so there is a tendency to forecast conservatively and set fees too high. Multi-year appropriations would reduce this bias, as would more innovative appropriations such as one that covers overheads and a per unit "price" that covers variable costs.

28. This would promote consistency with the expense, operating balance and net-debt objectives.

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29. Departments were not funded for the accumulated depreciation that existed at their time their balance sheets were set up, and so require additional funding to cover the shortfall between the book value and replacement cost of assets.
30. For example, the Auditor General (2001) found serious defects in the tendering process for the NZ $670 million purchase of 105 light armoured vehicles for the defence force, more than triple the original funding cap of NZ $212 million. The report concluded that the project was poorly defined, had deficient market research, restricted competition, lacked strategic management and suffered from dysfunctional relationships amongst the various defence agencies. Other examples include the abandoned NZ $82 million police computer system and a 70 per cent cost overrun on a motorway extension south of Auckland.
31. Local government revenues are around 3½ per cent of GDP, half of which comes from taxes (rates) on residential and commercial property. Less than a tenth of its funds come from central government, almost all of which is to fund road-building.
32. Half the population lives in the top of the North Island in an area the size of a large US county.
33. The Local Government Forum states that it has been "business as usual" since the financial management reforms were introduced in 1996, with "very few changes in the classes of services provided, privatisation of commercial activities, … contracting out, or the method of funding" (LGF, 2001, page 69).
34. See, for example, OECD (1998), Chapter IV.
35. Most of the information on transport costs in this paragraph is based on material in Hummels (1999). For a survey of the empirical literature on transport costs, geography and trade, see Overman, Redding and Venables (2001).
36. Real air transport costs have fallen continuously – and considerably – over the whole period. In contrast, there has been little trend decline in ocean freight rates. They have tended to track oil prices: they rose from 1970 to the mid-1980s in real terms but have since returned to their 1970 level.
37. Ocean freight costs for a 9 000 km voyage are only 6 per cent more expensive than for a 5 000 km voyage (roughly, a transatlantic trip). The difference for air transport is around 16 per cent.
38. Redding and Venables (2001) estimate that, on average, access to a coast raises per capita income by about the same amount as halving the distance to all trading partners. However, the precise estimates must be treated with some caution, as their model omits some important factors that may help explain cross-country differences in per capita income.
39. Hummels (2001) finds that each additional day of ocean transit time between two countries reduces the probability that a good is traded by 1 per cent. The effect is stronger for manufactures (1.5 per cent).
40. Hummels, Ishii and Yi (2000), using trade data and input-output tables for 10 OECD countries, find that vertical specialisation in trade (defined as the use of imported inputs in exported goods) has increased by 30 per cent since 1970, and has been responsible for at least one-third of overall trade growth.
41. Briggs, Bishop and Fan (2001) reach similar results using more disaggregated data on the composition of New Zealand's exports.
42. Amongst school leavers in 1990, 38 per cent of Maori and 12 per cent of non-Maori left with no formal qualification. In 2000, the corresponding figures were 35 and 15 per cent.

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Results from the first external examination faced by most students (school certificate, taken around the age of 15) also suggest little relative improvement since the mid-1980s. Three-quarters of non-Maori "passed" School Certificate in 1985, compared to half of Maori. In 1999, the corresponding figures were 68 per cent for non-Maori and 41 per cent for Maori (the latter figures are the proportion of students who received grades A-C).

43. See the International Adult Literacy Survey (IALS), as presented in OECD (2000*c*).

44. The Ministry of Education now spends around NZ$ 32 million each year on adult education courses.

45. These figures include the number who definitely did not participate in pre-school education and the number where pre-school attendance was unknown (*www.minedu.govt.nz*). While the attendance rate has increased over time, the relative rates amongst Pakeha, Maori, and Pacific pre-schoolers have stayed approximately the same over the past two decades (based on a 1984 Department of Education publication, cited in Treasury, 1987).

46. The 2001 Budget lifted funding for early childhood education by 2.8 per cent. In addition, it introduced a differential funding scheme in order to target government funding towards those most in need of assistance. The subsidy is higher for community-based services in low socio-economic communities, isolated areas that are based on a language or culture other than English, or which have a large number of children with special needs or from non-English-speaking backgrounds. There is also a childcare subsidy, which is a fee subsidy targeted to families on the basis of income.

47. The PISA study looked at reading and scientific and mathematical literacy. The 1999 Third International Mathematics and Science Survey (TIMSS) assessed science and maths performance amongst eighth graders (mostly 13 year-olds). The 1995 TIMSS survey looked at math and science literacy for several age groups including school leavers (which is mostly grade 12, and some grade 11 students in New Zealand). For most countries the PISA and TIMSS surveys gave fairly consistent signals. New Zealand was by far the largest exception.

48. The number of fee-paying foreign students has been growing at 20 per cent per annum for the past five years, and in July 2001 they accounted for 1.4 per cent of enrolments. When the tertiary sector is included, the education of foreign students has become a billion-dollar-a-year industry, and the government would like to boost that several fold in coming years.

49. For every ten new entrants from high-decile (most advantaged) schools who are competent or expert in maths, seven new entrants from low-decile schools meet the same standards. By senior secondary school, for every ten students from high-decile schools who qualify to enter university, only three from low-decile schools have comparable grades (Ministry of Education, 1999*b*).

50. In 2000, three-quarters of the most advantaged (decile 10) schools offered reading recovery programmes, compared with around 60 per cent of decile 1 and 2 schools (Education and Science Committee, 2001).

51. Other immigration streams include family reunion, business migrant and refugee categories. In February 2001, the stream for general skills was raised to 33 200 per year, or around 0.9 per cent of the population.

52. See Coppel *et al.* (2001) and OECD (2001*d*), section G4, for international comparisons. A consequence is that the foreign-born population is quite high: in the 1996 census,

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18 per cent of residents were born overseas (although this is less than Australia's 24 per cent).

53. There are now three "temporary to residence" categories under which work permits can be converted to residence status after two years: talent policy, where accredited employers can effectively write their own work permits; talent policy for people with exceptional talent in art, sport, or culture; and priority occupation list policy for people entering skilled occupations in absolute shortage.

54. In principle, graduates who go overseas must pay back their student loan at the same rate as if they were earning in New Zealand. However, enforcement is poor.

55. As regards the Health and Safety in Employment Act of 1992, compliance costs were identified as resulting mainly from a lack of clearly defined requirements and inadequate guidance as to their interpretation. The Panel, therefore, recommended encouraging the Occupational Safety and Health Service to work more closely with companies; providing it with clearer, easily accessible guidelines and best practice benchmarks; training industry-specific inspectors; and improving co-ordination with the Accident Compensation Corporation in order to reduce overlapping requirements. These recommendations have been accepted by the government.

56. In the area of taxation, the Panel's report raised issues that partly overlap with a separate review process on tax compliance costs for small business, initiated in May 2001 with the publication of a discussion document (Inland Revenue Department, 2001). Among the recommendations to which the government has responded favourably are those to reduce the number of tax payments by aligning those for the Goods and Services Tax (GST) and the provisional income tax, to consider aligning tax and accounting practices in some cases, and to study the introduction of a simplified tax regime for small businesses. On the other hand, proposals to allow the voluntary alignment of tax payment dates, to simplify depreciation rules, and to consider radical changes to the existing entertainment expenditure regime and to the Fringe Benefits Tax were not accepted.

57. Other government agencies spend an additional NZ$ 150 million on direct industry assistance (this is a rough estimate, as it is difficult to determine exactly what to count as industry assistance, and it excludes NZ$ 57 million on marketing New Zealand as a tourist destination).

58. Based on a survey commissioned by the Independent Business Foundation, reported in *New Zealand Herald*, 26 November 2001, "Firms at sea in a storm of advice".

59. At the end of 2000, there were 14 New Zealand venture capital firms that were members of the Australian Venture Capital Association, with total funds around NZ$ 750 million. Infometrics (2000) estimated the market at around NZ$ 2 billion, half of which was invested and half was still available.

60. Six per cent of New Zealanders surveyed in the *Global Entrepreneurship Monitor* (2001) reported having given funds to someone else to start a business, the highest rate amongst the 29 participating countries.

61. The figures for New Zealand refer to a survey taken of businesses with at least six full-time-equivalent employees. Only 15 per cent of firms are this big.

62. There is also a co-location requirement on the transmission towers of the government-owned broadcasting company.

63. In particular, owners need to be compensated for the significant risks associated with sunk-cost infrastructure investment in the same way that pharmaceutical companies

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earn "high" profits on drugs that turn out to be successful. Estimating a "fair" or economically efficient return for this risk is extremely difficult.

64. Exactly how low is not clear because research expenditures may be under-reported relative to other countries. With no R&D tax incentives, there is no incentive to maximise the amount of costs that is classified as research.

65. Econometric evidence that higher local R&D intensity increases the benefits of foreign research is presented in Guellec and van Pottelsberghe de la Potterie (2001). For a review of other evidence see OECD (2000*d*, Chapter 3).

66. Much of this paragraph is based on empirical evidence reviewed in OECD (2001*e*).

67. Under the old rules, research was taxed differently to development. The former could be expensed immediately, while the other was capitalised, but only when it had resulted in a tangible asset or sufficiently certain economic benefits.

68. A third of New Zealand scientific papers are co-authored internationally, a rate twice the world average. But universities do not work closely with CRIs, other local universities or with firms: co-authorship rates are only 8, 4, and 2 per cent, respectively (MORST, 2001).

69. A research "top-up" is added to the basic per-student funding, with the size of the top-up depending on the type of institution (universities receive more). However, they do not need to use the extra funds for research.

70. Hydro storage amounts to only 13 per cent of annual supply, so production is largely dependent on inflows.

71. The transmission grid is separate from generation. The national grid is owned by Transpower, an SOE. Most power is produced in the south of the South Island, but two-thirds of demand is in the North Island. That, plus the shape of the country, results in a "stringy" (long, thin) grid. Hence, transmission losses and bottlenecks are important. Local line companies have been largely separated from generation and retailing.

72. These include disclosure of forward hedge prices and generator offer prices, arrangements for setting transmission prices, arrangements for agreeing on and paying for new transmission investments, and the development of financial instruments to manage transmission risk.

73. In 2000/01, road users paid around NZ$ 1.7 billion in taxes and charges: around half from petrol tax, a third from user charges on (mainly) trucks, and the remainder from vehicle registration fees. Around NZ$ 1 billion is then distributed to local authorities and Transit NZ for road building and repairs. Transit NZ is responsible for the State Highway network and allocates funds to projects that have the highest benefit-cost ratio. Central government funds can be supplemented with local funding; *Infrastructure Auckland*, which holds some public assets in a trust fund intended to finance infrastructure projects, plans to spend around NZ$ 100 million per annum for the next five years.

74. Currently, all projects are evaluated against the same criteria, so a highway project and a public transport project are evaluated against each other. Under the proposed reforms, more emphasis would need to be placed on benefits to public health, the community and the environment.

75. The estimates reported in the Tax Review Report indicate that the first option would have an annual fiscal cost of approximately NZ$ 460 million; the second only NZ$ 50 million.

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Annex I

Around the world in 80 months: the health system in the 1990s

Around 80 per cent of health-care costs are paid for from the public purse; the rest is a combination of insurance and out-of-pocket payments. The health system operated under four different structures in the 1990s. Until 1993, 14 elected area health boards supplied hospital services with funding based on population. A purchaser-provider split was introduced as part of market reform in 1993. Purchasing was put in the hands of four ministerially-appointed regional health authorities, while providers were required to earn commercial rates of return and were encouraged to compete with one another and with private providers. In practice, little competition took place. This system failed to live up to expectations largely because of faults in implementation. Monopoly problems were not adequately addressed, and the system became loaded with controls that, in effect, partly reversed the split. The myriad of accountability documents were often in conflict. In 1996, a single Health Funding Authority (HFA) replaced the four regional purchasers, and the profit motive was removed. Documentation was simplified to a strategic plan and a Statement of Intent, and became the model for many other Crown Entities. A formal purchase agreement was signed between the Ministry of Health and the HFA although, as in the rest of the public sector, the formal "contract" was not key: it was just a mechanism to get the needed improvements in governance, clarity, transparency and long-term planning. Deficits reduced over time as contracting methods improved. In 1999, the incoming government abolished the purchaser-provider split and re-introduced 21 district health boards to act as both buyers and sellers of health care. The health system had come full circle in less than a decade, although it has retained some of the more useful baggage accumulated over its travels such as aspects of the largely successful planning and account-ability documents.

The most interesting part of the experiment was separating purchase from provision. It had some positive outcomes:[1]

- Improved information on the costs and use of services, enabling better allocative choices.
- Better mechanisms to manage fiscal pressures.
- More emphasis on primary and preventive care.
- Improved access by Maori[2] and more equal access and quality of care across the country.
- Emergence of new providers and innovations in service delivery, such as associations of primary-care providers and greater use of community organisations to deliver services. For example, the number of Maori service providers rose from 23 to 240 from 1993-98.
- Greater reliance on evidence of effectiveness in purchase decisions.
- Investment in public hospitals.

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The main drawbacks have been:

- While productivity has improved in some areas – for example, the average length of stay in acute care has fallen to one of the lowest levels in the OECD – productivity gains have overall been disappointing.
- Limited competition among service providers.
- Worsening relationships among health groups.
- High transaction costs, at least initially.
- Reduced public confidence.

Perhaps the major problem was the bilateral monopoly between hospitals and purchasers. Public hospitals have an effective monopoly on acute secondary and tertiary services, and contestability for provision of services existed only at the margin, even in the cities where geographical monopoly was less of a problem. This was compounded by the government "owning" both the buyer and the sellers, with its implicit guarantee affecting negotiating positions and the incentives to finalise contracts. Significant productivity gains remain difficult to extract unless the problem of monopoly provision is tackled, although clear goals and accountability arrangements were found to be helpful.

Notes

1. See Ministry of Health (1999) and *Report of the Health and Disability Steering Group* (1997).
2. Ministry of Health (1999).

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Annex II

The Fiscal Responsibility Act

The Fiscal Responsibility Act took effect on 1 July 1994. Its aim was to improve fiscal management. Its two main features are principles of responsible fiscal management and stringent reporting requirements in order to encourage transparency.

The five principles of responsible fiscal management are:

- Reduce total Crown debt to prudent levels by running an operating surplus each year.
- When that has been achieved, maintain that debt level by running operating surpluses on average over a "reasonable period of time" (which has been interpreted as meaning over a business cycle).
- Achieve and maintain a prudent level of Crown net worth.
- Manage prudently the fiscal risks facing the Crown.
- Ensure that tax rates are reasonably stable and predictable.

The Act does not define "prudent" or "reasonable." These are left to the Government of the day to interpret.

The reporting requirements aim to ensure that the short term and long term fiscal objectives are clear, and that some degree of "top-down' fiscal control is placed on the budgeting process. The key reports required are:

- The *Budget Policy Statement*, which must be published by the end of March. This is the "top-down" document that sets out: *a*) long-term goals for operating expenses, revenues, balance, debt and net worth; *b*) short-term intentions for these variables for the next three years; and *c*) broad strategic priorities for the coming Budget.
- The *Fiscal Strategy Report*, which is tabled with the Budget. It must: *a*) compare the fiscal forecasts with those contained in the earlier Budget Policy Statement, and explain any differences between them; *b*) contain Progress Outlook projections of the main fiscal variables over at least the next ten years; and *c*) assess whether that outlook is consistent with the long-term objectives, and explain any inconsistencies.
- Several fiscal updates throughout the year. These include an Economic and Fiscal Update at the time of the Budget and each December, and a pre-election Fiscal Update to be published before each general election. They must include macroeconomic and projections of Crown financial statements.

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Annex III

Lessons from the winter 2001 electricity shortage

The electricity framework was tested to the limit in 2001 and performed well. It was squeezed from both the supply and demand directions: inflows to the hydro system were the lowest for at least seventy years, while a cold winter boosted demand for heating. The strain this put on the system was equivalent to the demand from an extra city the size of Auckland. As a consequence, prices in the spot market began to rise quite early in the winter, which gave major players plenty of warning about the impending problem. At their peak, wholesale prices had risen nearly ten-fold above their long run average of NZ$ 0.04 per kWh (Figure A1). Major industrial users, some of whom buy power directly in the spot market, cut back demand by rescheduling production or bringing forward planned maintenance shutdowns. That, combined with a government-led conservation campaign, resulted in no customers losing supply involuntarily. The absence of blackouts can be counted as a major success for the system, but the experience over the winter raises several issues.

Spot prices increased, as could be expected. But did they go too high? On balance, the evidence suggests they did not, *given what happened to demand*. The supply curve is steep once hydro generation has been exhausted because the next cheapest option – thermal generation – is relatively expensive to bring on line. Prices remained within the cost range of each successive generation option (Figure A1). In addition, there was still interruptible (variable) demand that was not switched off, but could have been if prices had gone higher.

Having said that, retail prices did not move so initially there were no direct financial incentives for households or smaller commercial enterprises to economise. However, towards the end of the winter, buy-backs and reward schemes for decreased power usage began to operate. One private-sector retailer, who had not hedged its exposure to the spot market, tried to raise its prices to avoid bankruptcy but backed off when the other retailers, including the state-owned ones, held prices fixed. Its retail arm essentially went bust, and it was forced to sell its retail customer base to its competitors. While some degree of price smoothing is economically efficient, and large firms are often in a better position than others to manage their demand, stable retail prices or sluggish changes in household demand may have pushed all the burden of adjustment onto large industrial users.

These rigid retail prices raise the question of whether there is inadequate retail competition, though the answer is far from clear. All five major retailers are vertically integrated with generation businesses, four are regionally based, and three are government-owned. Each of these three features has generated comment. *First*, some players have called for generation to be separated from retailing. It is not clear whether this would improve efficiency. It has the advantage that it may encourage new entrants, who currently may be put off by the need to buy hedges from generators who are also their competitors in the retail market. On the other hand, a retail network is a natural hedge for a generation business, so vertical integration may be a cheap way to manage the most significant risk in the business. *Second*, the regionalisation

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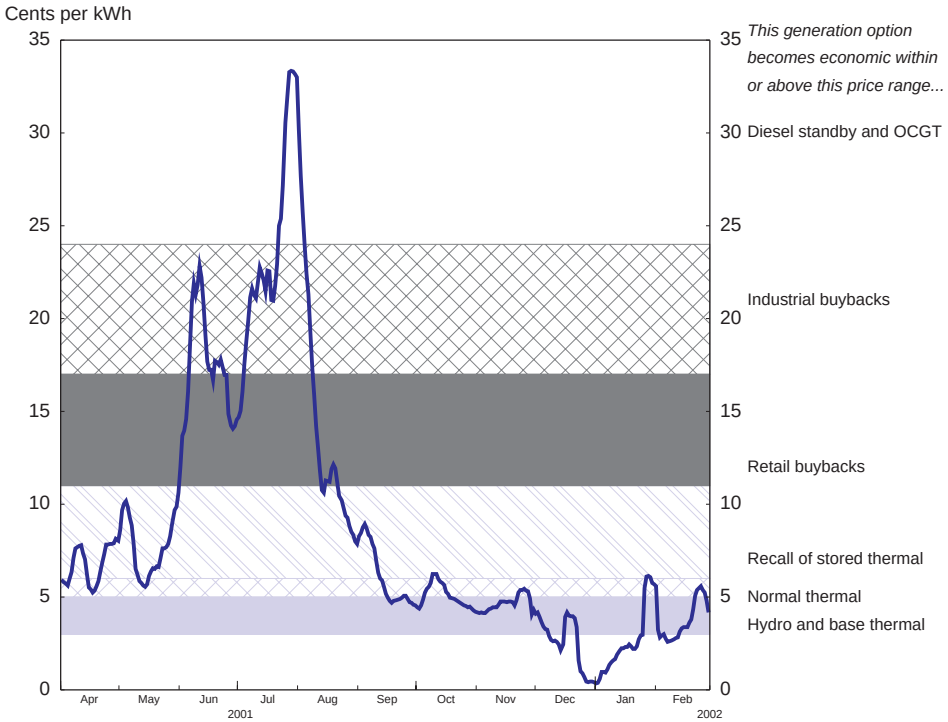
Figure A1. **Wholesale electricity prices**
New Zealand cents per kWh, daily averages



1. Retail buybacks are schemes that encourage retail consumers to reduce consumption in return for direct monetary benefits or donations to community or national causes. Industrial buybacks are where customers are paid to temporarily shut plant, bring forward maintenance, or use their diesel standby generation.

Source: M-Co.NZ Ltd.; Contact Energy Ltd.

of the industry is partly caused by bottlenecks in the transmission grid, which can lead to large differences and high volatility of prices across regions, which in turn reflects insufficient investment in the grid over the past decade. This occurs partly because no investment can take place unless all affected parties agree to share the cost, so the framework has a free-rider problem. At present, this bottleneck risk is difficult to hedge against, although the development of new financial instruments (Financial Transmission Rights) should help. In addition, the government should also consider whether the grid owner, Transpower, has adequate incentives to invest in extra capacity where it is economically efficient to do so. Its incentives to lower the safety margin in the system temporarily during shortages, in order to boost the capacity of the system, may also need to be reassessed. F*inally*, there may be a perception by other retailers that the SOEs will be less willing to raise retail prices during a power shortage. Selling the SOEs would remove any such perception.

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The spike in spot prices put some large consumers under considerable financial pressure, largely because they did not take out hedges before the winter. To some extent that may have been a gamble that did not pay off: three good years with low wholesale prices may have lulled some firms into a false sense of security. It may also reflect insufficient transparency in the futures market. This could be partly overcome by mandatory publication of hedge prices and contract terms or compulsory hedge tendering ("market making") by generators. The first option has been a government requirement of the industry since the government's *Policy Statement* of December 2000, although the industry has dragged its feet in implementing this and other requirements; the second is being investigated by government, and it should ensure that a decision is made before the winter of 2002.

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Annex IV
The conclusions of the 2001 Tax Review

The final report of the Tax Review Panel concluded that the broad architecture of New Zealand's tax system is sound and does not require a radical overhaul. Nevertheless, a number of problems were identified. On some of them the report contains specific recommendations or presents different alternative options. On others, the panel chose not to issue any recommendation, as no satisfactory practical solution appeared available or further study would be needed.

The main recommendations of the Tax Review report were the following:

- Move to a two-step personal income tax scale: 18 per cent for income up to NZ$ 29 500 and 33 per cent thereafter. The top marginal rate on personal income would thus be aligned with the company tax rate. The latter would remain unchanged at 33 per cent, but its level may need to be reviewed in the future in light of developments in other countries.
- Consider steps to align the tax treatment of the different categories of business entities, *i.e.* companies, trusts and partnerships, so as to minimise distortions and opportunities for tax avoidance. As regards savings and investment entities, now subject to a variety of regimes, it is proposed to move to a single regime based on the risk-free return method, whereby taxable income on all assets is calculated on the basis of the initial value of the assets and the real risk-free interest rate.
- Introduce a more favourable tax regime for foreign direct and portfolio investment. For FDI two alternatives are proposed: *a*) applying a lower company tax rate (18 per cent) to the extent that a New Zealand company is owned by non-residents; *b*) applying the lower rate only to "new" activities. Under both options the reduction in the company tax rate would be combined with a non-resident withholding tax (NRWT) of 2 per cent (against the present 15 per cent) and repeal of the foreign investor tax credit (FITC). For portfolio investment it is proposed to apply a company tax rate of 18 per cent, with a 15 per cent NRWT and an extended FITC.
- Applying the risk-free return method to all portfolio investments by residents in offshore listed entities and offshore retail unit trusts, regardless whether investments are in the countries that currently have bilateral tax-credit agreements with New Zealand (the "grey list"). This proposal is aimed at removing certain distortions in the treatment of income earned offshore by residents.
- Setting a cap of NZ$ 1 million to the tax imposed on a single individual in any one year, and exempting from taxation for the first seven years all overseas income earned by foreign individuals who become New Zealand residents. These two proposals are aimed at increasing the attractiveness of New Zealand as a country of residence for wealthy individuals.

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The report also touched upon a number of additional issues, on which the panel's views were presented, although no specific recommendations were made. In particular, the report:

- Recognised that the absence of taxation of owner-occupied housing represents an important gap in the income tax framework, somewhat in contrast with the "broad base, low tax rates" philosophy.[1] However, on the basis of its consultations the panel concluded that there would not be a consensus in the country on taxing either capital gains or the imputed rental income from owner-occupied housing and, therefore, chose not to recommend it.
- Recognised that the absence of a comprehensive tax on capital gains also creates some gaps in the tax base. However, it argued that introducing a general realisations-based capital gains tax would probably make the system more complex without making it more effective, while the risk-free return method does not offer a general solution unless some practical issues are resolved.[2] That method can be applied in certain cases, as it was in fact proposed (see above). The suggested approach, therefore, is to deal only with specific problems referring to certain categories of capital gains when they are identified as relevant.
- Concluded that while the existing tax and benefit systems are unduly complex, ways to reduce effective marginal tax rates so as to encourage labour market participation could probably be found in more effective targeting of benefits and tax credits, which however lay outside the mandate of the tax review.
- Concluded that there is no evidence that the rate of private saving in New Zealand is too low and that, even if this were the case, tax incentives for saving would probably be ineffective. Therefore, it argued that the tax system should concentrate on avoiding distortions in the allocation of savings and investment.[3]
- Argued that, if the Kyoto Protocol is ratified and comes into force, a broad carbon tax, also covering the agricultural sector, should be considered as a means for its implementation.

Notes

1. In its "Issues paper" released in June 2001 as part of the consultation process, the Tax Review Panel had suggested a possible solution to this problem based on applying the risk-free return method to the net equity component of owner-occupied and rental houses.
2. Among the issues to be resolved in order for the risk-free return method to be generally applicable to capital gains are: its integration with company tax; within-year portfolio changes; isolation of attributable debt; and liquidity issues (*i.e.* the possibility that if the actual return on assets greatly differs from the risk-free return, some taxpayers may not have sufficient liquidity to pay the taxes).
3. On this issue, the government has asked the Treasury to analyse alternative options to provide incentives for private retirement saving. A Treasury paper prepared in response to this request (Treasury, 2001) indicated that, if it were decided to proceed in this direction, the preferred option should be lowering the tax rate on income that is contributed to a retirement fund, up to a relatively low cap. However, it cautioned that it is doubtful that either this or any of the alternative schemes considered would have a substantial, or even a net positive effect, on aggregate saving rates.

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Annex V

Calendar of main economic events

2000

October

The new Employment Relations Act comes into force.

The Official cash rate (OCR) remains at 6.5 per cent. New Zealand dollar falls below 40 US cents for the first time.

The CPI rises by 1.4 per cent in the September quarter and there was an annual increase of 3 per cent for the year to September 2000.

The Government announces its response to the Ministerial Inquiry into the Electricity Industry. The Inquiry's recommendations were accepted, either directly or in a modified form.

November

The unemployment rate for was 5.9 per cent in September 2000, a drop of 0.9 per cent since September 1999.

Crown Financial Statements for the year to 30 June 2000 were released. The Crown's operating surplus was NZ$1.4 billion in the June 2000 year, down from the previous year's surplus of NZ$1.8 billion.

December

The December Economic and Fiscal Update 2000 predicts an operating surplus of 2.3 per cent of GDP in 2002/03.

2001

January

Terralink, a state-owned enterprise goes broke and is put into statutory management.

The CPI rose 1.2 per cent in the December 2000 quarter, giving an annual increase of 4 per cent.

A trade partnership with Singapore came into effect.

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February

Under a new trans-Tasman travel arrangement, Australian social security payments are only available to New Zealanders who become Australian permanent residents.

The Government releases the Independent Review of the Operation of Monetary Policy in New Zealand, prepared by Professor Lars Svensson. The report concluded that monetary policy in New Zealand is currently consistent with the best international practice of flexible inflation targeting. The review also made several recommendations to strengthen accountability.

March

The Reserve Bank reduced the OCR from 6.5 per cent to 6.25 per cent.

New Zealand quarantine officials place a ban on all animal product imports from the European Union as foot and mouth disease spreads in the United Kingdom.

April

The CPI fell 0.2 per cent in the March quarter. The annual increase was 3.1 per cent.

The Reserve Bank cuts the OCR from 6.25 per cent to 6.0 per cent.

May

The Telecommunications Bill is introduced to Parliament. The Bill follows the Ministerial Inquiry into Telecommunications, which reported back to the Government in September 2000.

The Government announces the deregulation of the apple and pear industry.

The unemployment rate for the March 2001 quarter was 5.4 per cent, the lowest level for 13 years.

The OCR is cut by 25 basis points to 5.75 per cent.

The 2001 Budget is released. It announces new operating spending of around NZ$700 million, including contingency funding. Initiatives fall into three priorities:

- investing in education, health and disability services, social services and housing;
- enhancing economic transformation and cultural development;
- investing in the defence and police forces, conservation, biosecurity and the environment.

June

Directors place Tasman Pacific Airways (Qantas New Zealand) into liquidation.

Growth in the year ended March 2001 was 2.5 per cent, down on 4.6 per cent in the previous year.

Air New Zealand formally approaches the government with a re-capitalisation proposal, requiring it to raise the 25 per cent limit on foreign ownership of the airline.

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July

The Meat and Wool Service reports the best financial results for sheep and beef farms for 21 years.

The CPI rises 0.9 per cent in the June 2001 quarter and 3.2 per cent from the June 2000 quarter.

Wholesale electricity prices hit 30 NZ cents per kWh, eight times higher than normal, due to a cold and dry winter.

August

The Government releases its response to Independent Review of the Operation of Monetary Policy. Some recommendations concerning better accountability are accepted; the key recommendation for a decision-making committee was rejected.

The Government launches a power saving campaign in response to the electricity shortage.

September

Terrorist attacks in New York and Washington cause major loss of life and disruption in the United States.

Air New Zealand directors place Ansett Australia in voluntary administration.

Parliament passes the Dairy Industry Restructuring Act, enabling New Zealand Dairy Group and Kiwi Dairies to merge, absorb the Dairy Board and form Fonterra Co-operative.

The Reserve Bank makes an unscheduled interest rate cut, reducing the Official Cash Rate from 5.75 per cent to 5.25 per cent.

The Crown Financial Statements for the Year ended 30 June 2001 are released, showing an operating surplus of NZ$1.4 billion in the June 2001 year. The surplus is the same as last year with a higher underlying operating balance being offset by valuation movements.

October

The Tax Review Panel releases its final report. The report endorses the broad direction of New Zealand tax policy but makes several recommendations including aligning the top personal tax rate with the company tax rate, and changing the international tax regime.

The Government announces that it will acquire a controlling stake in Air New Zealand.

The New Zealand Superannuation Fund passes into law.

The CPI rises 0.6 per cent in the September 2001 quarter, and 2.4 per cent over the year to September 2001.

The Government announces that it will buy the Auckland rail corridor from Tranz Rail.

November

The Government releases its response to the Royal Commission into Genetic Modification. The response includes a two-year moratorium on commercial release while allowing strictly controlled contained research on a case-by-case basis.

Kiwibank receives its banking licence. It will be a nation-wide bank owned domestically, operated by NZ Post branches throughout New Zealand.

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The Reserve Bank releases its Monetary Policy Statement and lowers the OCR from 5.25 per cent to 4.75 per cent.

A taxpayer-funded paid parental leave scheme is announced, and will take effect on 1 July 2002. It gives up to NZ$325 per week (before tax) for 12 weeks.

December

The December Economic and Fiscal Update is released, and forecasts an operating surplus of 1.5 per cent of GDP in 2002/03, down from the Budget forecast of 2 per cent.

The Government responds to the review of business compliance costs. Most importantly, several initiatives are announced that are designed to improve the administration of the *Resource Management Act*.

The current account deficit for the year to September 2001 was 3.4 per cent of GDP. Over the same period, GDP grew by 2.4 per cent.

2002

January

The decline in unemployment came to an end, with the unemployment rate rising slightly to 5.4 per cent.

February

The Government announces its *Innovation Strategy*, which aims to encourage innovation, lift productivity and boost exports. Details are due to be fleshed out over coming months.

March

The Government announces the likely shape of its future Land Transport Strategy, and raises the petrol tax by 17 per cent to help fund it.

The United States imposes tariffs on New Zealand-made steel.

The monetary policy easing cycles ends, with an increase in the OCR to 5 per cent.

April

New accident compensation legislation takes effect, including a return to lump sum payments for injuries.

The OCR is raised again by ¼ per cent.

Reserve Bank Governor, Don Brash, resigns after serving 14 years.

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